

IRC

Compliance with the IRC is mandatory for all the persons included in its scope of application and any noncompliance may be reported in a confidential manner to the Ethics Committee, pursuant to the provisions of the Ethics Line Procedure.

In this regard, noncompliance with the IRC may give rise to the relevant disciplinary sanctions, as the case may be, to civil, criminal and/or administrative liability, and to the obligation to compensate any damages incurred, where appropriate.

Last, there is a Market Transparency Committee (formerly, the "Compliance Supervisory Board") which reports directly to the Audit and Compliance Committee, composed of:

- The CEO
- The General Counsel and Secretary of the Board
- The Chief Financial Office
- The Capital Markets Director, and
- The Chief People Officer.

The Committee is mainly responsible for developing procedures and implementing regulations to enforce the IRC. The General Counsel's Office, led by the General Counsel and the Board of Directors is accountable to the Market Transparency Committee. The General Counsel's Office is tasked, inter alia, with enforcing the conduct regulations of securities markets and the rules and procedures of the IRC on directors, officers, employees and any other person to which the IRC applies.

The IRC sets out the principles and criteria to ensure (i) that the information released to the market and to CNMV is reliable, clear, quantified and complete, avoiding subjective evaluations that lead or may lead to confusion or deception, as well as (ii) the appropriate use and dissemination of inside information and other relevant information of the Company.

The proceedings of the companies that are part of the Group and of all the individuals with access to information that may be deemed to be inside information and/or other relevant information, and namely financial information, shall comply with the following principles, without limitation: regulatory compliance, transparency, collaboration, information, confidentiality and neutrality. Both the Market Transparency Committee and the General Counsel's Office ensure that the above referred principles are observed.

With regard to the IRC, the General Counsel's Office keeps a General Documentary Register of Affected Persons. The General Counsel's Office informs Affected Persons that they have been included in such Register and that they are subject to the provisions of the IRC and reports any breaches and penalties which may result, as the case may be, from an inappropriate use of inside information.

Compliance with the Codes of Conduct of the Inditex Group and, in general, with its internal regulations of conduct is ensured through the Ethics Committee, composed of:

- The General Counsel and Secretary of the Board, who chairs it.

- The Chief Compliance Officer, in her capacity of Deputy Chair.
- The Chief Sustainability Officer
- The Chief People Officer
- The Chief Audit Officer, in an advisory capacity

The Committee of Ethics may act of its own motion or at the behest of any employee, manufacturer or supplier of Inditex, or any third party involved in a direct relation and with a lawful business or professional interest, further to a report made in good faith.

The Committee of Ethics reports to the board of directors through the Audit and Compliance Committee and has the following basic responsibilities:

- To oversee compliance with the Code and the internal circulation thereof to the Group's s personnel.
- To receive any manner of written instruments with regard to the enforcement of the Code and to send them, where appropriate, to the relevant body or department which may be responsible for processing and issuing a resolution regarding such instrument.
- To oversee the Ethics Line and compliance with the Ethics Line Procedure..
- To monitor and oversee proceedings and their settlement.
- To resolve any questions that may arise regarding the enforcement of the Code..
- To propose to the board of directors, following a report of the Audit and Compliance Committee, any explanation or implementation rule that the enforcement of the Code may require, and at least, an annual report to review its enforcement.
- To promote training plans for employees on internal conduct regulations and the proceedings of the ethics line.

In the performance of its duties, the Ethics Committee shall ensure:

- The confidentiality of all information and background details and of the action taken unless the disclosure of information is required by law or by a court order.

To ensure that the Ethics Line is effective, and that the privacy of the parties concerned is protected, the Ethics Committee may handle ex-officio anonymous concerns..

- The thorough review of any information or document that triggered its action.
- The commencement of proceedings that adjust to the circumstances of the case, where it shall always act with independence, fully respecting the right of the parties to be heard, to honour and to the presumption of innocence
- Prohibition of retaliation and indemnity of anyone who reports through the Ethics Line in good faith.

After the due investigation of the case, the Ethics Committee resolves to either close it or that an actual breach exists. In the event of a breach, the Committee will decide on its severity and the advisability of taking action, but the specific preventive, corrective and/or disciplinary measures will be determined by the competent department or area which will report them to the Ethics Committee.

Decisions of the Ethics Committee are binding for the Inditex Group and its employees.

The Ethics Committee submits a report to the Audit and Compliance Committee at least every six months, reviewing its proceedings and the enforcement of the Code of Conduct and Responsible Practices.

Additionally, the Audit and Compliance Committee apprises the board of directors, on an annual basis as well as whenever this latter so requires, of the enforcement of the Code of Conduct and Responsible Practices and the additional documents which comprise the Model of Compliance with internal regulations, from time to time in force.

With regard to the dissemination of the above-mentioned conduct regulations, the Group Human Resources Department is responsible for distributing a copy of the Code of Conduct and Responsible Practices to all new employees when they join the organisation.

Likewise, conduct regulations, as amended, are available on the corporate website under the Compliance tab, and on INET. They are subject to the appropriate measures regarding disclosure, distribution, training and awareness-raising, so that they may be understood and implemented within the whole organisation.

- **Whistleblowing channel allowing notifications to the audit committee of irregularities of a financial and accounting nature, in addition to potential breaches of the code of conduct and unlawful activities undertaken in the organisation, indicating whether this channel is confidential and whether anonymous notifications can be made, protecting the rights of the whistleblower and the person reported.**

An Ethics Line is available to all employees of the Group, manufacturers, suppliers or third parties with a direct relation and a lawful business or professional interest, regardless of their tier or geographic or functional location, so that they may report, even anonymously and within the remit of the Ethics Committee, any breach of the Group's internal conduct regulations by employees, manufacturers, suppliers or third parties engaged in an employment, business or direct professional relations with the Group, which affect Inditex or its Group.

Therefore, any breach and/or any manner of malpractice, including those of a financial and accounting nature, may be reported.

The Ethics Committee is responsible for overseeing the Ethics Line and compliance with the Ethics Line Procedure.

The proceedings of the Ethics Line are described in the Ethics Line Procedure approved by the board of directors on 17 July 2012 and amended on 10 December 2019. The Ethics Line Procedure clarifies and reinforces guarantees and protective measures for all parties in the process: (i) maximum confidentiality; (ii) non-retaliation; (iii) presumption of innocence and respect for the right to honour of reported parties; (iv) the right of the parties to be heard, and; (v) appropriate use of personal data processed.

Full information on the Ethics Committee and the Ethics Line is available on the intranet and on the corporate website where a direct link to such Line is available.

Reports of noncompliance and/or queries regarding the construction or enforcement of internal conduct regulations may be sent to the Company either (i) by post - to the attention of the Ethics Committee to the following postal address: Avenida de la Diputación, Edificio INDITEX, 15143 Arteixo, A Coruña (Spain) – or (ii) by email - (ethicsline@inditex.com).

- **Training and periodic refresher programmes for personnel involved in the preparation and revision of financial information, as well as in the assessment of the ICFR system, covering at least accounting standards, auditing, internal control and risk management.**

The Group's Training and Career Development Area, reporting to the HR Department, is charged with preparing, together with each of the areas reporting to the Financial Department, training and refresher courses addressed to staff responsible for drawing up and overseeing the financial information of each company within the Group. Said schemes include, both general courses, focusing on business expertise and knowledge of the different interrelated departments that make up the company, and specific schemes aimed at training and refreshing employees in respect of regulatory developments on financial reporting and oversight of financial information.

General Induction

Aimed at gaining internal knowledge of each business unit, as well as of each department and the respective activities, functions and duties within the business. Under this scheme, employees begin by working at the stores, getting directly acquainted with the whole process of running a store and they continue at different headquarters

Specific training

Group employees responsible for the processes associated with the preparation of financial information regularly take training and refresher courses that seek to acquaint them with local and international regulations on financial reporting, as well as with existing regulations and best practices in the area of internal control. An e-learning platform (TraIn) is available to employees, to train them on issues regarding financial reporting or information security, among others.

Within the financial environment, training and refresher schemes are arranged by the Human Resources Department liaising with each of the areas of the Financial Department.

Training courses are provided on an annual basis for all new heads of financial areas in each country, in order to get them acquainted with the Inditex Group's management model, as well as with the internal control system over financial reporting implemented by the Group. Specific training on the system is run to every employee who starts to play a role associated with ICFR (control owner, process owner, etc.).

Additionally, courses are taught by internal staff on the operation of financial software tools used to draw up financial information.

Among the specialised training run to employees of the different units and areas of the Financial Department, training is imparted every year on risk management, the update on international accounting standards (IFRS), local accounting standards and tax regulations. In addition, specific training is imparted on ICFR and on financial hedging.

F.2. Assessment of risks in financial reporting

Report on at least the following:

F.2.1. The main characteristics of the risk identification process, including risks of error and fraud, as regards:

- **Whether the process exists and is documented.**

The risk identification process has been documented in the Procedure for Enterprise Risk Management regarding Financial Reporting. This Procedure seeks to describe the mechanisms for identifying and assessing, on an annual basis, the risks that might lead to material errors in financial reporting

- **Whether the process covers all the objectives of financial reporting, (existence and occurrence; completeness; valuation; presentation; disclosure and comparability; and rights and obligations), whether it is updated and if so how often.**

The above-mentioned risks management process consists of five stages:

- Gathering financial information.
- Identifying the operating processes with an impact on financial information.
- Assessment of risks by the reporting unit of financial statements.
- Prioritising the accounts' criticality.
- Checking risks versus operating processes.

As a result of this process, a scoping matrix of risks regarding financial information (ICFR Scoping Matrix) is updated on an annual basis. This Scoping Matrix is used to identify the material headings of the financial statements, assertions or goals of financial information with respect to which any risks may exist, and the prioritisation of operational processes that have an impact on financial information.

Assessment covers all the goals of financial information: (i) existence and occurrence; (ii) integrity; (iii) assessment; (iv) release and breakdown; and (v) rights and obligations.

Following the identification of potential risks, they are assessed on an annual basis based upon the management's information and understanding of the business and upon materiality criteria.

Assessment criteria are established (i) from a quantitative perspective in accordance with parameters such as turnover, size of assets and pre-tax profit; and, (ii) from a qualitative perspective in accordance with different issues such as transactions standardising and processes automation, composition of accounting headings, changes versus the previous year, complexity of accounting, likelihood of fraud or error or degree of use of estimates in book recording.

- **The existence of a process for identifying the scope of consolidation, taking into account, among other factors, the possible existence of complex corporate structures or special purpose vehicles.**

The Group relies on a Corporate Master of Companies wherein all the companies that are part of the Inditex Group are included. Said Master is at the basis of the consolidation perimeter and is managed and updated in accordance with the Procedure for Incorporating and Financing of Companies.

The Master covers, on the one hand, general corporate information, such as company name, accounting closing date and currency, and on the other, legal details such as the date of incorporation, share capital, list of shareholders, equity interest, and other relevant information. The Legal Department is responsible for updating the Master as regards legal information.

The External Reporting area, which reports to the Planning and Management Control Department, reviews and updates, on a monthly basis, the number of companies that make up the Consolidation Perimeter, as well as the consolidation methods that apply to each of the companies included in the above-mentioned perimeter.

- **Whether the process takes into account the effects of other types of risk (financial, geopolitical, technological, environmental, social and governance) to the extent that they affect the financial statements.**

In addition to the above-mentioned quantitative and qualitative factors, the main risks identified through the Risks Map of the Inditex Group are considered in the process for the assessment of financial information risks.

Potential risks identified through the ICFR Scoping Matrix are taken into account upon preparing the Risks Map of the Group, which is updated on an annual basis by the Enterprise Risks Management Department (reporting to the Financial Department) with the assistance of all areas of the Organisation involved in the process. The Group may thus consider the impact that the remaining risks classified in the following groups: financial, geopolitical, technological, environmental, social and governance risks, may have on financial statements.

- **The governing body within the company that oversees the process..**

The whole process is overseen and approved on an annual basis by the Audit and Compliance Committee.

F.3. Control activities

Report on whether the company has at least the following, describing their main characteristics:

F.3.1. Review and authorisation procedures for financial information and a description of the ICFR, to be disclosed to the securities markets, indicating those responsible, as well as documentation describing the flow of activity and controls (including those relating to the risk of fraud) of the various types of transactions that may materially affect the financial statements, including accounting closing procedures and the specific review of significant judgements, estimates, valuations and projections.

Pursuant to the Board of Directors' Regulations, the Audit and Compliance Committee is responsible, inter alia, for reviewing the annual accounts and the periodic information that the board of directors must submit to the markets and their supervisory bodies, verifying at all times compliance with statutory requirements and the appropriate use of generally accepted accounting principles upon drawing up such information.

Likewise, pursuant to the above-mentioned Regulations the Audit and Compliance Committee shall meet on a quarterly basis to review the periodic financial information to be submitted to the Stock Exchanges authorities and the information that the board of directors must approve and release as its annual public documentation.

Furthermore, the ICFR Area monitors that the ICFR is effective and appraises the Financial Department and, where appropriate, the Audit and Compliance Committee, of the findings of this monitoring.

The Group relies on mechanisms to review financial information. Each of the organisational structures is responsible for reviewing the financial information reported. Analytical reviews of the financial information reported by said structures are carried out at corporate level. Prior to stating the annual accounts and approving the half-yearly financial statements, the Financial Department and the external auditor meet, for the purposes of reviewing and assessing the financial information.

The Audit and Compliance Committee submits this information to the board of directors, which is ultimately responsible for approving it before releasing it to the market.

The Group keeps its main business processes with ICRF scope duly documented. Each process is structured into a number of sub-processes, with their relevant flowcharts, including the proceedings that play a direct or indirect role on financial reporting.

These processes describe the controls that make it possible to respond appropriately to risks associated with the achieving the objectives related to the reliability and integrity of the financial information, identifying any risks that may result in accounting fraud, so as to prevent, detect, reduce and correct the risk of any potential error way in advance. Each ICFR process has its scoping matrix of risks and controls associated, and they are separated between processes carried out at local level and at corporate level for the entire Group. Design of flowcharts, description of the different processes and sub-processes and identification of risks and controls is carried out with a process modelling software application.

This software application allows keeping the entire documentation relating to the Group's ICFR processes within a single environment, which results in streamlined processes, as flowcharts, narratives and scoping matrices of risk and control are integrated.

The ICFR monitoring model is implemented based upon a tool to manage and oversee internal control systems. In such tool, each control is assigned to an owner who carries them out with the defined frequency.

Each process is assigned to a process owner who assesses on a quarterly basis the effectiveness of controls and defines and updates the ICFR processes for which they are responsible.

The ICFR Area monitors on a quarterly basis the assessments made by processes owners about the effectiveness of controls. It also coordinates and encourages the periodic review of processes and controls design.

In addition, the ICFR Area is subject every year to an internal certification process whereby financial officers of the markets within the scope of ICFR monitoring, process owners and corporate directors of areas who take part in the process of preparation and monitoring of financial information certify that they have implemented the controls for which they are responsible.

With regard to closing, consolidation and reporting processes, the Financial Department issues the instructions together with the calendar and contents of the financial information to be reported by each of the local financial structures to draw up the consolidated financial statements.

Risks are identified in the ICFR's risk and controls matrix of the closing process, which includes controls relating to relevant opinions, estimates, assessments and projections.

F.3.2. Internal IT control policies and procedures (access security, control of changes, system operation, operational continuity and segregation of duties, among others) that support significant processes within the company relating to the preparation and publication of financial information.

The internal control framework of the Group's information systems seeks to set up controls over the main business processes, which are closely related to Information Technologies ("IT").

Based upon the link between business processes and associated systems, basic risks are reviewed, enabling the company to prioritise and focus on the IT environments that are deemed to be especially relevant.

Within the ICFR IT controls defined by the Group, a number of general controls on applications are identified, including the following domains:

- Secure access to both applications and data.
- The application of logic and physical security measures
- Control and monitoring on changes in applications and their data.
- Environment segregation.
- Appropriate operation of applications.
- Availability of data and continuity of applications.

It bears mention that design of such controls is reviewed on an annual basis for the purposes of implementing such changes, if necessary, which ensure that associated risks are appropriately mitigated. Following such review, new controls have been included in 2022 aimed at shoring up controls on privileged access to platforms within the scope.

The implementation of ITGCs on the applications identified within the ICFR scope is monitored on an annual basis. As a general rule, the yardstick to identify applications within such scope is that they play a significant role in the preparation and monitoring of financial information.

The findings of such monitoring are reported to the Financial Department through the annual report assessing ICFR controls.

It bears mention that, in the process to design and implement applications and products, the Group has defined a methodological framework with different requirements aimed at ensuring that the solution implemented actually meets both the functions demanded by users and the security standards set out.

Likewise, the Group relies on contingency mechanisms and procedures, which have been defined to ensure recovery of information systems in case of lack of availability.

In 2022, the Information Security Committee met on a quarterly basis. Said Committee is charged with ensuring the effective and consistent enforcement of best practices regarding information security management across the organisation, reducing risks affecting security to the minimum, taking into account the company's business.

The members of such Committee as at 31 January 2023 are:

- The COO & Head of Digital and Sustainable Transformation
- The General Counsel and Secretary of the Board
- The Chief Digital Officer.
- The Chief Information Security Officer (CISO).
- The Chief Financial Officer
- The Chief Audit Officer (CAO).
- The Chief Compliance Officer.

The CEO, Mr Óscar García Maceiras, attended the last committee meeting held on 5 December 2022. The CEO will chair the Information Security Committee as of 1 February 2023.

The Information Security Policy sets forth the principles and guidelines whereby Inditex will protect its information, pursuant to applicable regulations and its ethical values defined in the Code of Conduct and Responsible Practices as well as the provisions of the Regulations of the Information Security Committee and of any other applicable internal regulations.

The overarching principles that inform the Policy are:

- (i) classification of information, in accordance with its value, relevance and criticality for the business;
- (ii) limited use of information systems to lawful and exclusively professional purposes;
- (iii) segregation of duties to avoid risks;
- (iv) setting retention periods by information category, where necessary or convenient;
- (v) setting monitoring procedures to control how information is made available to third parties;
- (vi) security in Information Systems;
- (vii) setting a process for continuity management to ensure recovery of critical Information for the Group in the event of disaster; and
- (viii) alignment of Information Systems and communications of the Group with the requirements of applicable laws and regulations..

The Information Security Department performs its monitoring duties in an independent manner and is responsible for implementing the Policy and monitoring compliance therewith, and with all requirements arising from applicable laws, regulations and best practices in the field of Information Security. In the framework of the Information Security Policy, the CISO's Charter has been approved in the year, which seeks to define the framework for action, the competences and the internal and external responsibilities of the Information Security function.

F.3.3. Internal control policies and procedures for overseeing the management of activities subcontracted to third parties, as well as of those aspects of assessment, calculation or valuation entrusted to independent experts, which may materially affect financial statements.

Included in the ICFR processes are controls on calculations made by third parties and on the criteria used for the purposes of mitigating the risks that might impact financial information.

Outsourced services are commissioned by the supervisors of the relevant areas, ensuring the technical and legal qualifications, capacity and independence of the experts hired.

F.4. Information and communication

Report on whether the company has at least the following, describing their main characteristics::

F.4.1. A specifically assigned function for defining and updating accounting policies (accounting policy area or department) and addressing concerns or conflicts arising from their interpretation, maintaining a free flow of information to those responsible for operations in the organisation, as well as an up-to-date accounting policy manual distributed to the business units through which the company operates..

Within the Planning and Management Control Department, the External Reporting area is responsible for drawing up, disclosing, implementing and updating the Group's Manual on Accounting Policies. With regard to the Group's accounting policies, this area is responsible for, inter alia:

- Defining the accounting treatment of the transactions that make up the business of the Group.
- Defining and updating the accounting practices of the Group.
- Addressing concerns and conflicts arising from the construction of accounting standards.
- Standardising the accounting practices of the Group.

The Manual covers the different transactions inherent in the Groups' business and their accounting treatment in accordance with the benchmark accounting framework of the Inditex Group.

The Manual is regularly updated. As part of these updating procedure, the External Reporting area includes all accounting changes identified that were advanced to those in charge of drawing up the financial statements.

The Manual is available on the Company's INET.

F.4.2. Mechanisms for capturing and preparing financial information in standardised formats for application and use by all units of the entity or group, and support its main financial statements and notes, as well as disclosures concerning ICFR.

The process of consolidating and preparing financial statements is centralised and is incumbent on the External Reporting area, which reports to the Planning and Management Control Department.

Drawing up the consolidated financial information begins with the addition of individual financial statements of each company included in the consolidation perimeter, to be subsequently consolidated based upon the accounting regulations of the Group.

Financial information reported to CNMV is prepared based upon consolidated financial statements gathered through the above-mentioned tool, and upon certain supplementary information reported by the markets, required to prepare the annual/half-yearly report. Contemporaneously, certain specific controls are exerted to confirm integrity of said information.

The board of directors approved on 14 December 2020 the Policy on Disclosure of Economic-Financial, Non-Financial and Corporate Information that seeks to establish a framework for action and define the overarching principles that will govern disclosure by the Company of economic-financial, non-financial and corporate information via regulated and non-regulated channels.

Under said Policy, the board of directors, as the highest supervisory body responsible for overseeing economic-financial, non-financial and corporate information, shall ensure the broadest circulation and the highest quality of the information provided to the stakeholders, in accordance with a set of principles that include transparency, objectivity, accuracy, immediacy and symmetry in disclosure of information.

F.5. Supervision of the system's operation

Give information on the key features of at least:

F.5.1. The activities of the audit committee in overseeing ICFR as well as whether there is an internal audit function one of the responsibilities of which is to provide support to the committee in its task of supervising the internal control system, including ICFR. Additionally, describe the scope of ICFR assessment made during the year and the procedure through which the person responsible for performing the assessment communicates its results, whether the company has an action plan detailing possible corrective measures, and whether their impact on financial reporting has been considered.

With regard to the evaluation of ICFR and the procedure set to disclose its results, the ICFR area monitors on a quarterly basis, via the owners of processes with an impact on financial information, the implementation of controls, requesting and reviewing a sample of evidence from the owners of each control.

As a result of such monitoring, improvement areas are identified and they are assigned an action plan to remedy them. Follow up ensues to ensure they have been complied with.

Likewise, the ICFR area issues on a quarterly basis a report with the findings of each control, the main action lines followed in the quarter and the incidences identified. Such reports are submitted to the Financial Department, the heads of financial departments and the Internal Audit Department.

In 2022 and specifically regarding ICFR oversight activities, the Audit and Compliance Committee has carried out the following proceedings, without limitation:

- It has reviewed the consolidated annual accounts of the Group and the periodic quarterly and half-yearly financial information that the Board of Directors has to provide to the markets and its supervisory bodies, overseeing compliance with statutory requirements and the appropriate application of the generally accepted accounting principles upon drafting this information.
- As part of its supervision duties regarding the Internal Audit function, it has approved its annual activities report, as well as its budget and the annual internal audit plan that includes specific audits on ICFR processes, pursuant to a pluri-annual plan set.
- It has reviewed the annual audit plan of external auditors that includes the audit objectives based upon the evaluation of risks of financial information and the main areas of interest or significant transactions subject to review in the year.
- It has reviewed with the external auditor and with Internal Audit the internal control weaknesses revealed, where appropriate, in the course of the different audit and review assignments. Meanwhile, both external auditors and Internal Audit have regularly advised the Audit and Compliance Committee on the degree of enforcement of recommendations resulting from these assignments.
- It has met regularly with other corporate departments of the Inditex Group for the purposes of overseeing the effectiveness of internal control systems of the Group, including ICFR, verifying their suitability and integrity and the degree of implementation of action plans to meet audit recommendations.

Internal Audit is a corporate function directly linked to the board of directors, which ensures full independence in the performance of its activities. Internal Audit functionally reports to the Audit and Compliance Committee.

The area is centrally managed from headquarters and has representatives in the geographic areas where the presence of the Inditex Group so requires. Additionally, it is divided into specialised areas, which allows for gaining a deep understanding of risks and processes.

Internal Audit's budget is approved on an annual basis by the Audit and Compliance Committee, which provides for the human and material assets, both internal and external of the Internal Audit Department.

The mission of the Internal Audit function consists, inter alia, of assessing risk exposure and the suitability and effectiveness of controls in respect of risks identified and namely, those related to reliability and integrity of financial and operational information.

Based upon the ICFR Scoping Matrix, Internal Audit drafts a pluri-annual plan for the regular review of ICFR of the Group, which is submitted to the Audit and Compliance Committee for approval every year.

This pluri-annual plan entails conducting ICFR reviews of the significant processes and elements of the Group's financial statements. Review priorities are set based upon the risks identified. This plan is implemented through annual planning that determines the scope of the annual ICFR reviews. The suitability of this plan is reviewed every year, further to the update of the process to identify and assess financial information risks. Additionally, annual planning includes compliance with the provisions of current internal corporate policies, including the ICFR Policy.

Namely, the following issues are subject to review: the design and effective operation of key transactional controls and general controls on the main software tools involved in financial reporting, as well as the review of the general control environment.

To carry out its activities, Internal Audit uses different audit techniques, mainly interviews, analytical reviews, specific control tests, reviewing both the appropriateness of design and the effective operation thereof, review of the effectiveness of software tools and material tests.

Results of the assignments, together with the corrective measures recommended, where appropriate, are reported to the Financial Department and the Audit and Compliance Committee. Internal Audit follows up on the implementation of these measures, which is then reported to the Audit and Compliance Committee.

F.5.2. Whether there is a discussion procedure whereby the auditor (as defined in the Spanish Technical Audit Standards), the internal auditor and other experts can report to senior management and the audit committee or directors of the company any significant weaknesses in internal control identified during the review of the annual financial statements or any others they have been assigned. Additionally, state whether an action plan is available for correcting or mitigating any weaknesses detected.

Internal Audit regularly discloses to the Financial Department and the Audit and Compliance Committee the internal control weaknesses identified in the reviews carried out, as well as the follow-up on the action plans set out to settle or reduce them.

In turn, external auditors meet regularly with the Financial Department and Internal Audit, both to gather information and to disclose any potential control weaknesses that may have been revealed, where appropriate, in the course of their work.

In its meetings, the Audit and Compliance Committee considers the potential weaknesses in control that might have an impact on financial statements, requesting, where appropriate, from the affected areas, the necessary information to assess any effects on the financial statements.

Section 45.5 of the Board of Directors' Regulations provides that: *"The Board of Directors shall ensure that the annual accounts are drawn up in accordance with accounting standards, endeavouring to draft them in such a manner that they do not give rise to qualifications on the part of the auditor. However, in the exceptional circumstances where the auditor expresses a qualified opinion and the Board of Directors considers that it must stick to its position, it shall publicly explain the contents and scope of the discrepancy. The foregoing without prejudice to the information that the Chair of the Audit and Compliance Committee would make available to the shareholders at the General Meeting of Shareholders"*

To meet the provisions of section 45.5 above-mentioned, any discussions or differing views that may exist are advanced in the meetings of the Audit and Compliance Committee with external auditors. In turn, external auditors report, where appropriate, on the main internal control issues that need to be improved that have been identified as a result of their work. Additionally, Management reports on the degree of implementation of the relevant action plans set in train to correct or reduce the issues identified.

Meanwhile, the Audit and Compliance Committee meets with the statutory auditors of the individual and consolidated annual accounts for the purposes of reviewing on the one hand the Group's annual account, and on the other, certain periodic financial information that the board of directors must provide to the market and its supervisory bodies, overseeing compliance with statutory requirements and the appropriate enforcement of generally accepted accounting principles upon preparing such information.

Moreover, the Committee regularly receives from the statutory auditor information on the audit plan and the results of its implementation, follows up on the recommendations proposed by the statutory auditor and may request its collaboration whenever this is deemed necessary.

In 2022 members of the Internal Audit function were in attendance at 5 of the 6 meetings held by the Audit and Compliance Committee and external auditors were in attendance at 4 of them.

F.6. Other relevant information

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F.7. External auditor's report

Report:

F.7.1. Whether the ICFR information sent to the markets has been subjected to review by the external auditor, in which case the entity should include the corresponding report as an attachment. If not, reasons why should be given.

The information on ICFR included in this section F of the Annual Corporate Governance Report for 2022 and prepared by the Group's Management is reviewed by the external auditors.

G. Degree of compliance with corporate governance recommendations

Specify the company's degree of compliance with recommendations of the Good Governance Code for listed companies.

In the event that a recommendation is not followed or only partially followed, a detailed explanation of the reasons must be included so that shareholders, investors and the market in general have enough information to assess the company's conduct. General explanations are not acceptable.

1. That the articles of association of listed companies should not limit the maximum number of votes that may be cast by one shareholder or contain other restrictions that hinder the takeover of control of the company through the acquisition of its shares on the market..

Complies x Explain

2. That when the listed company is controlled by another entity within the meaning of section 42 of the Commercial Code, whether listed or not, and has, directly or through its subsidiaries, business relations with said entity or any of its subsidiaries (other than the listed company) or carries out activities related to those of any of them it should make accurate public disclosures on:

- The respective areas of activity and possible business relationships between the listed company or its subsidiaries and the parent company or its subsidiaries..
- The mechanisms in place to resolve any conflicts of interest that may arise.

Complies x Complies partially Explain

3. That, during the Annual General Meeting, as a complement to the distribution of the written annual corporate governance report, the chairman of the Board of Directors should inform shareholders orally, in sufficient detail, of the most significant aspects of the company's corporate governance, and in particular:

- Changes that have occurred since the last Annual General Meeting.
- Specific reasons why the company has not followed one or more of the recommendations of the Code of Corporate Governance and the alternative rules applied, if any

Complies x Complies partially Explain

4. That the company should define and promote a policy on communication and contact with shareholders and institutional investors, within the framework of their involvement in the company, and with proxy advisors that complies in all aspects with rules against market abuse and gives equal treatment to shareholders who are in the same position. And that the company should publish this policy on its website, including information on how it has been put into practice and identifying the contact persons or those responsible for implementing it. And that, without prejudice to the legal obligations regarding dissemination of inside information and other types of regulated information, the company should also have a general policy regarding the communication of economic-financial, non-financial and corporate information through any channels that as it may consider appropriate (media, social media or other channels) that helps maximise the dissemination and quality of information available to the market, investors and other stakeholders..

Complies x Complies partially Explain

5. That the Board of Directors should not submit to the General Meeting of Shareholders any proposal for delegation of powers allowing the issue of shares or convertible securities with the exclusion of pre-emptive rights in an amount exceeding 20% of the capital at the time of delegation.

And that whenever the Board of Directors approves any issue of shares or convertible securities with the exclusion of pre-emptive rights, the company should immediately publish the reports mentioned by company law on its website.

Complies x Complies partially Explain

6. That listed companies that prepare the reports listed below, whether under a legal obligation or voluntarily, should publish them on their website well in advance of the Annual General Meeting, even if their publication is not mandatory:

- Report on auditor independence..
- Reports on the proceedings of the audit and nomination and remuneration committees
- Report by the audit committee on related party transactions.

Complies x Complies partially Explain

7. That the company should broadcast its Annual General Meeting live on its website

And that the company should have mechanisms in place allowing to grant proxy and to cast votes by means of data transmission and even, in the case of large-caps and to the extent that it is proportionate, attendance and active participation in the General Meeting to be conducted by said remote means

Complies x Explain

8. That the audit committee should ensure that the financial statements submitted to the General Meeting of Shareholders are prepared in accordance with accounting regulations. And that in cases in which the auditor has included a qualification or reservation in its audit report, the chairman of the audit committee should clearly explain to the general meeting the opinion of the audit committee on its content and scope, making a summary of this opinion available to shareholders at the time when the meeting is called, alongside the other Board proposals and reports.

Complies x Complies partially Explain

9. That the company should permanently publish on its website the requirements and procedures for certification of share ownership, the right of attendance at the General Meeting of Shareholders, and the exercise of the right to vote or to issue a proxy.

And that these requirements and procedures promote attendance and the exercise of shareholder rights in a non-discriminatory manner..

Complies x Complies partially Explain

10. That when a duly authenticated shareholder has exercised his or her right to supplement the agenda or submit new proposals for resolutions in advance of the General Meeting of Shareholders, the company should:

- immediately distribute the supplementary items and new proposals for resolutions.
- publish the standard form of attendance card or the form to vote by proxy or cast absentee voting with the necessary changes so that the new agenda items and alternative proposals may be voted on in the same terms as those proposed by the Board of Directors.
- put all these items or alternative proposals to the vote applying the same voting rules as for those submitted by the board of directors, with particular regard to presumptions or deductions about the direction of votes.
- after the General Meeting of Shareholders, disclose the breakdown of votes on said supplementary items or alternative proposals.

Complies x Complies partially Explain Not applicable

11. That if the company intends to pay premiums for attending the General Meeting of Shareholders, it should establish in advance a general policy on said premiums and this policy should be stable..

Complies Complies partially Explain Not applicable x

12. That the board of directors should perform its functions with a unity of purpose and independence of criterion, treating all similarly situated shareholders equally and being guided by the best interests of the company, which is understood to mean the pursuit of a profitable and sustainable business in the long term, promoting its continuity and maximising the economic value of the business..

And that in pursuit of the company's interest, in addition to complying with applicable law and rules and conducting itself on the basis of good faith, ethics and a respect for commonly accepted best practices, it should seek to reconcile its own company interests, when appropriate, with the interests of its employees, suppliers, customers and other stakeholders that may be affected, as well as the impact of its corporate activities on the communities in which it operates and on the environment..

Complies x Complies partially Explain

13. That the Board of Directors should be of an appropriate size to perform its duties effectively and in a collegial manner, which makes it advisable for it to have between five and fifteen members..

Complies x Explain

14. That the Board of Directors should approve a policy aimed at encouraging an appropriate composition of the Board and that::

- Is specific and ascertainable;
- Ensures that motions for appointment or re-election are based upon a prior analysis of the needs of the board of directors; and
- Favours diversity of knowledge, experience, age and gender. For these purposes, it is considered that the measures that encourage the company to have a significant number of female senior executives favour gender diversity.

That the result of the prior analysis of the competences required by the board of directors are written up in the explanatory report from the nomination committee published upon calling the Annual General Meeting to which the ratification, appointment or re-election of each director is submitted.

The nomination committee shall verify annually compliance with this policy and explain its findings in the annual corporate governance report.

Complies x Complies partially Explain

15. That proprietary and independent directors should constitute a substantial majority of the board of directors and that the number of executive directors be kept to a minimum, taking into account the complexity of the corporate group and the ownership interest of executive directors.

And that the number of female directors should represent at least 40% of the members of the Board of Directors before the end of 2022 and thereafter, and not less than 30% prior to that date.

Complies x Complies partially Explain

16. That the number of proprietary directors out of all non-executive directors should not be greater than the proportion of the company's share capital represented by those directors and the rest of the capital.

This yardstick may be relaxed:

- In large-cap companies where very few shareholdings are legally considered significant.
- In the case of companies where a plurality of shareholders is represented on the board of directors without ties among them.

Complies x Explain

17. That the number of independent directors should represent at least half of the total number of directors.

That, however, when the company does not have a high level of market capitalisation or in the event that it is a large-cap company with one shareholder or a group of shareholders acting in concert who together control more than 30% of the company's share capital, the number of independent directors should represent at least one third of the total number of directors.

Complies x Explain

18. That companies should publish the following information on its directors on their website, and keep it regularly updated:

- Professional experience and biography.
- Any other boards to which the directors belong, regardless of whether or not the companies are listed, as well as any other remunerated activities engaged in, regardless of type.
- Directorship type, indicating, in the case of individuals who represent significant shareholders, the shareholder that they represent or to which they are connected.
- Date of their first appointment as a director of the company's board of directors, and any subsequent re-elections.
- Company shares and share options that they own.

Complies x Complies partially Explain

19. That the annual corporate governance report, following verification by the nomination committee, should explain the reasons for the appointment of any proprietary directors on the proposal of shareholders whose holding is less than 3%. It should also explain, where applicable, any rejection of a formal request for a board position from shareholders whose equity stake is equal to or greater than that of others applying successfully for a proprietary directorship.

Complies Complies partially Explain Not applicable x

20. That proprietary directors representing significant shareholders should resign from the board when the shareholder they represent disposes of its entire shareholding. They should also resign, in a proportional fashion, in the event that said shareholder reduces its stake to a level that requires a decrease in the number of proprietary directors.

Complies x Complies partially Explain Not applicable

21. That the board of directors should not propose the removal of any independent director before the completion of the director's term provided for in the articles of association unless the Board of Directors finds just cause and a prior report has been prepared by the nomination committee. Specifically, just cause is considered to exist if the director takes on new duties or commits to new obligations that would interfere with his or her ability to dedicate the time necessary for attention to the duties inherent to his or her position as a director, are in breach of their fiduciary duty, or is affected by any of the circumstances that would cause the loss of independent status in accordance with applicable law.

The removal of independent directors may also be proposed as a result of a public takeover bid, merger or other similar corporate transaction entailing a change in the shareholder structure of the company, provided that these changes in the structure of the Board are the result of application of the proportionate representation criterion provided in Recommendation 16.

Complies x Explain

22. That companies should establish rules requiring that directors inform the Board of Directors and, where appropriate, resign from their posts, when circumstances arise that affect them, whether or not related to their actions in the company itself, and that may harm the company's standing and reputation, and in particular requiring them to inform the board of any criminal charges brought against them as well as of how the legal proceedings subsequently unfold..

And that, if the board is informed or becomes aware in any other manner of any of the circumstances mentioned above, it must examine the case as quickly as possible and, depending on the specific circumstances, decide, based on a report from the nomination and remuneration committee, whether or not any measure must be adopted, such as the opening of an internal investigation, asking the director to resign or proposing that he or she be dismissed. And that these events must be reported in the annual corporate governance report, unless there are any special reasons not to do so, which must also be noted in the minutes. This without prejudice to the information that the company must disclose, if appropriate, at the time when the corresponding measures are implemented..

Complies x Complies partially Explain

23. That all directors clearly express their opposition when they consider any proposal submitted to the board of directors to be against the company's interests. This particularly applies to independent directors and directors who are unaffected by a potential conflict of interest if the decision could be detrimental to any shareholders not represented on the board of directors.

Furthermore, when the board of directors makes significant or repeated decisions about which the director has serious reservations, the director should draw the appropriate conclusions and, in the event the director decides to resign, explain the reasons for this decision in the letter mentioned in the next recommendation..

This recommendation also applies to the secretary of the Board of Directors, even if he or she is not a director

Complies x Complies partially Explain

24. That whenever, due to resignation or resolution of the General Meeting of Shareholders, a director leaves before the completion of his or her term of office, the director should explain the reasons for this decision, or in the case of non-executive directors, their opinion of the reasons for the general meeting resolution, in a letter addressed to all members of the board of directors.

And that, without prejudice to all this being reported in the annual corporate governance report, as far as it is relevant to investors, the company should publish an announcement of the departure as rapidly as possible, with sufficient reference to the reasons or circumstances provided by the direct.

Complies x Complies partially Explain

25. That the nomination committee should make sure that non-executive directors have sufficient time available in order to properly perform their duties.

And that the Board regulations establish the maximum number of company boards on which directors may sit.

Complies x Complies partially Explain

26. That the board of directors meet frequently enough to be able to effectively perform its duties, and at least eight times per year, following a schedule of dates and agendas established at the beginning of the year and allowing each director individually to propose other items that do not originally appear on the agenda.

Complies x Complies partially Explain

27. That director absences occur only when absolutely necessary and be quantified in the annual corporate governance report. And when absences do occur, that the director appoint a proxy with instructions.

Complies x Complies partially Explain

28. That when directors or the secretary express concern regarding a proposal or, in the case of directors, regarding the direction in which the company is headed and said concerns are not resolved by the board of directors, these concerns should be included in the minutes at the request of the director expressing them.

Complies x Complies partially Explain Not applicable

29. That the company should establishes adequate means for directors to obtain appropriate advice in order to properly fulfil their duties including, should circumstances warrant, external advice at the company's expense.

Complies x Complies partially Explain

30. That, without regard to the knowledge necessary for directors to complete their duties, companies make refresher courses available to them when circumstances make this advisable

Complies x Complies partially Explain

31. That the agenda for meetings should clearly indicate those matters on which the board of directors is to make a decision or adopt a resolution so that the directors may study or gather all relevant information ahead of time.

When, under exceptional circumstances, the chairman wishes to bring urgent matters for decision or resolution before the board of directors that do not appear on the agenda, the prior express agreement of a majority of the directors shall be required, and said consent shall be duly recorded in the minutes.

Complies x Complies partially Explain

32. That directors be periodically informed of changes in shareholding and of the opinions of significant shareholders, investors and rating agencies of the company and its group.

Complies x Complies partially Explain

33. That the chairman, as the person responsible for the efficient workings of the board of directors, in addition to carrying out the duties assigned by law and the articles of association, should prepare and submit to the board of directors a schedule of dates and matters to be considered; organise and coordinate the periodic evaluation of the board as well as, where applicable, the chief executive of the company, should be responsible for leading the board and the effectiveness of its work; ensuring that sufficient time is devoted to considering strategic issues, and approve and supervise refresher courses for each director when circumstances make this advisable.

Complies x Complies partially Explain

34. That when there is a lead independent director, the articles of association or Board regulations should confer upon him or her the following powers in addition to those conferred by law: to chair the board of directors in the absence of the chairman and deputy chairmen, should there be any; to reflect the concerns of non-executive directors; to liaise with investors and shareholders in order to understand their points of view and respond to their concerns, in particular as those concerns relate to corporate governance of the company; and to coordinate a succession plan for the chairman.

Complies x Complies partially Explain Not applicable

35. That the secretary of the board of directors should pay special attention to ensure that the activities and decisions of the board of directors take into account the recommendations regarding good governance contained in the Good Governance Code as may be applicable to the company.

Complies x Explain

36. That the board of directors meets in plenary session once a year and adopt, where appropriate, an action plan to correct any deficiencies detected in the following:

- Quality and efficiency of the proceedings of the board.
- Proceedings and composition of its committees.
- Diversity of board membership and competences.
- Performance of the chairman of the board of directors and of the chief executive officer of the company.
- Performance and input of each director, paying special attention to those in charge of the various board committees.

In order to perform its evaluation of the various committees, the Board of Directors shall take a report from the committees themselves as a starting point and for the evaluation of the Board, a report from the nomination committee..

Every three years, the Board of Directors will turn for its evaluation to an external advisor, whose independence shall be verified by the nomination committee.

Business relationships between the external adviser or any member of the adviser's group and the company or any company within its group must be specified in the annual corporate governance report.

The process and the areas evaluated must be described in the annual corporate governance report.

Complies x Complies partially Explain

37. That if there is an executive committee, it must contain at least two non-executive directors, at least one of whom must be independent, and its secretary must be the secretary of the Board

Complies x Complies partially Explain Not applicable

38. That the board of directors must always be aware of the matters discussed and decisions taken by the executive committee and that all members of the board of directors receive a copy of the minutes of meetings of the executive committee..

Complies x Complies partially Explain Not applicable

39. That all members of the audit committee, in particular its chairman, be appointed in consideration of their knowledge and experience in accountancy, audit and risk management issues, both financial and non-financial..

Complies x Complies partially Explain Not applicable

40. That under the supervision of the audit committee, there should be a unit in charge of the internal audit function, which ensures that information and internal control systems operate correctly, and which reports to the non-executive chairman of the board or of the audit committee.

Complies x Complies partially Explain Not applicable

41. That the person in charge of the unit performing the internal audit function should present an annual work plan to the audit committee, for approval by that committee or by the board, reporting directly on its execution, including any incidents or limitations of scope, the results and monitoring of its recommendations, and present an activity report at the end of each year.

Complies x Complies partially Explain Not applicable

42. That in addition to the provisions of applicable law, the audit committee should be responsible for the following:

1) With regard to information systems and internal control:

- a) Overseeing and evaluating the process of preparation and the completeness of financial and non-financial information, as well as the control and management systems for financial and non-financial risk relating to the company and, where applicable, the group - including operational, technological, legal, social, environmental, political and reputational risk, or risk related to corruption- reviewing compliance with regulatory requirements, the appropriate delimitation of the scope of consolidation and the correct

application of accounting criteria.

- b) Ensuring the independence of the unit charged with the internal audit function; proposing the selection, appointment and dismissal of the head of internal audit; proposing the budget for this service; approving or proposing its orientation and annual work plans for approval by the Board, making sure that its activity is focused primarily on material risks (including reputational risk); receiving periodic information on its activities; and verifying that senior management takes into account the conclusions and recommendations of its reports
- c) Establishing and overseeing a mechanism that allows employees and other persons related to the company, such as directors, shareholders, suppliers, contractors or subcontractors, to report any potentially serious irregularities, especially those of a financial or accounting nature, that they observe in the company or its group. This mechanism must guarantee confidentiality and in any case provide for cases in which the communications can be made anonymously, respecting the rights of the whistleblower and the person reported.
- d) Generally ensuring that internal control policies and systems are effectively applied in practice

2) With regard to the external auditor:

- a) In the event that the external auditor resigns, examining the circumstances leading to their resignation.
- b) Ensuring that the remuneration paid to the external auditor for its work does not compromise the quality of the work or the auditor's independence..
- c) Making sure that the company informs the CNMV of the change of auditor, along with a statement on any differences that arose with the outgoing auditor and, where applicable, the contents thereof.
- d) Ensuring that the external auditor holds an annual meeting with the Board of Directors in plenary session in order to make a report regarding the tasks performed and the development of the company's accounting situation and risks..
- e) Ensuring that the company and the external auditor comply with applicable rules regarding the provision of services other than auditing, limits on the concentration of the auditor's business, and, in general, all other rules regarding auditors' independence.

Complies x Complies partially Explain

43. That the audit committee be able to require the presence of any employee or manager of the company, even stipulating that he or she appear without the presence of any other member of management..

Complies x Complies partially Explain

44. That the audit committee be kept abreast of any corporate and structural changes planned by the company in order to perform an analysis and draw up a prior report to the Board of Directors on the economic conditions and accounting implications and, in particular, any exchange ratio involved.

Complies x Complies partially Explain Not applicable

45. That the risk management and control policy identify or determine, as a minimum:

- a) The various types of financial and non-financial risks (including operational, technological, legal, social, environmental, political and reputational risks and risks relating to corruption) that the company faces, including among the financial or economic risks contingent liabilities and other off-balance sheet risks.
- b) An enterprise risk management model based on different levels, which will include a specialised risk committee when sector regulations so require, or the company considers it to be appropriate..
- c) The level of risk that the company considers to be acceptable.
- d) Measures in place to mitigate the impact of the risks identified in the event that they should materialise.
- e) Internal control and information systems to be used in order to control and manage the aforementioned risks, including contingent liabilities or off-balance sheet risks.

Complies x Complies partially Explain

46. That under the direct supervision of the audit committee or, where applicable, of a specialised committee of the Board of Directors, an internal risk control and management function should exist, performed by an internal unit or department of the company that is expressly charged with the following responsibilities:

- a) Ensuring the proper functioning of the enterprise risk management systems and, in particular, that they adequately identify, manage and quantify all material risks affecting the company.
- b) Actively participating in drawing up the risk strategy and in important decisions regarding risk management.
- c) Ensuring that the enterprise risk management systems adequately mitigate risks as defined by the policy set forth by the Board of Directors.

Complies x Complies partially Explain

47. That in designating the members of the nomination and remuneration committee—or of the nomination committee and the remuneration committee if they are separate—efforts are made to ensure that they have the knowledge, skills and experience appropriate to the functions that they are called upon to perform and that the majority of said members are independent directors.

Complies x Complies partially Explain

48. That large-cap companies have separate nomination and remuneration committees.

Complies x Complies partially Explain

49. That the nomination committee consult with the chairman of the Board of Directors and the chief executive of the company, especially in relation to matters concerning executive directors.

And that any director be able to ask the nomination committee to consider potential candidates that he or she considers suitable to fill a vacancy on the board of directors

Complies x Complies partially Explain

50. That the remuneration committee operates independently and that, in addition to the functions it has been assigned by statute, it should be responsible for the following:

- a) Proposing to the board of directors the basic terms and conditions of employment for senior management.
- b) Verifying compliance with the company's remuneration policy.
- c) Periodically reviewing the remuneration policy applied to directors and senior managers, including share-based remuneration systems and their application, as well as ensuring that their individual remuneration is proportional to that received by the company's other directors and senior managers.
- d) Making sure that potential conflicts of interest do not undermine the independence of external advice given to the committee.
- e) Verifying the information on remuneration of directors and senior managers contained in the various corporate documents, including the annual report on director remuneration.

Complies x Complies partially Explain

51. That the remuneration committee should consult with the chairman and the chief executive of the company, especially on matters relating to executive directors and senior management.

Complies x Complies partially Explain

52. That the rules on membership and proceedings of the supervision and control committees should appear in the regulations of the Board of Directors and that they should be consistent with those applying to legally mandatory committees in accordance with the foregoing recommendations, including:

- a) That they be composed exclusively of non-executive directors, with a majority of independent directors
- b) That their chairpersons be independent directors.
- c) That the board of directors appoints members of these committees taking into account their knowledge, skills and experience and the duties of each committee; discuss their proposals and reports; and require them to render account of their activities and of the work performed in the first plenary session of the Board of Directors held after each committee meeting.
- d) That the committees be allowed to avail themselves of outside advice when they consider it necessary to perform their duties.
- e) That their meetings be recorded and their minutes be made available to all directors.

Complies x Complies partially Explain Not applicable

53. That verification of compliance with the company's policies and rules on environmental, social and corporate governance matters, and with the internal codes of conduct be assigned to one or divided among more than one committee of the Board of Directors, which may be the audit committee, the nomination committee, a specialised committee on sustainability or corporate social responsibility or any other specialised committee that the Board of Directors, in the exercise of its powers of self-organisation, may have decided to create. And that this committee be composed exclusively of non-executive directors, with a majority of these being independent directors, and that the minimum functions indicated in the next recommendation be specifically assigned to it.

Complies x Complies partially Explain

54. The minimum functions mentioned in the foregoing recommendation are the following:

- a) Monitoring compliance with the company's internal codes of conduct and corporate governance rules, also ensuring that the corporate culture is aligned with its purpose and values.
- b) Monitoring the application of the general policy on disclosure of economic and financial information, non-financial and corporate information and communication with shareholders and investors, proxy advisors and other stakeholders. The manner in which the entity communicates and handles relations with small and medium-sized shareholders must also be monitored.

- c) The periodic evaluation and review of the company's corporate governance system, and environmental and social policy, with a view to ensuring that they fulfil their purposes of promoting the interests of society and take account, as appropriate, of the legitimate interests of other stakeholders
- d) Oversee the company's environmental and social practices to ensure that they are in alignment with the established strategy and policy.
- e) Oversee and evaluate the company's interaction with its different stakeholders..

Complies x Complies partially Explain

55. That environmental and social sustainability policies identify and include at least the following:

- a) The principles, commitments, objectives and strategy relating to shareholders, employees, customers, suppliers, social issues, the environment, diversity, tax responsibility, respect for human rights, and the prevention of corruption and other unlawful conduct.
- b) Means or systems for monitoring compliance with these policies, their associated risks, and management.
- c) Mechanisms for supervising non-financial risk, including that relating to ethical aspects and aspects of business conduct.
- d) Channels of communication, participation and dialogue with stakeholders..
- e) Responsible communication practices that impede the manipulation of data and protect integrity and honour.

Complies x Complies partially Explain

56. That director remuneration be sufficient in order to attract and retain directors who meet the desired professional profile and to adequately compensate them for the dedication, qualifications and responsibility demanded of their posts, while not being so excessive as to compromise the independent judgement of non-executive directors

Complies x Explain

57. That only executive directors should receive variable remuneration linked to corporate results and personal performance, as well as remuneration in the form of shares, options or rights to shares or instruments referenced to the share price and long-term savings plans, such as pension plans, retirement schemes or other provident schemes.

Consideration may be given to delivering shares to non-executive directors as remuneration providing this is conditional upon their holding them until they cease to be directors. The foregoing shall not apply to shares that the director may need to sell in order to meet the costs related to their acquisition.

Complies x Complies partially Explain

58. That as regards variable remuneration, remuneration policies should incorporate the necessary limits and technical safeguards to ensure that this remuneration is in line with the professional performance of its beneficiaries and not based solely on general developments in the markets or in the sector in which the company operates, or other similar circumstances.

And, in particular, that variable remuneration components:

- a) Are linked to pre-determined and measurable performance criteria and that said criteria take into account the risk incurred to achieve a given result.
- b) Promote the sustainability of the company and include non-financial criteria that are geared towards creating long term value, such as compliance with the company's rules and internal operating procedures and with its risk management and control policies.
- c) Are based on balancing the attainment of short-, medium- and long-term objectives, so as to allow remuneration of continuous performance over a period long enough to be able to assess its contribution to the sustainable creation of value, in such a way that the elements used to measure performance are not associated only with one-off, occasional or extraordinary events.

Complies x Complies partially Explain Not applicable

59. That the payment of variable remuneration components be subject to sufficient verification that previously established performance or other conditions have effectively been met. Entities must include in their annual report on director remuneration the criteria for the time required and methods used for this verification depending on the nature and characteristics of each variable component.

That, additionally, companies consider the inclusion of a reduction ('malus') clause for the deferral of the payment of a portion of variable remuneration components that would imply their total or partial loss if an event were to occur prior to the payment date that would make this advisable.

Complies x Complies partially Explain Not applicable

60. That remuneration related to company results should take into account any reservations that might appear in the external auditor's report and that would diminish said results.

Complies x Complies partially Explain Not applicable

61. That a material portion of executive directors' variable remuneration be linked to the delivery of shares or financial instruments referenced to the share price.

Complies x Complies partially Explain Not applicable

62. That once shares or options or financial instruments have been allocated under remuneration schemes, executive directors be prohibited from transferring ownership or exercising options or rights until a term of at least three years has elapsed.

An exception is made in cases where the director has, at the time of the transfer or exercise of options or rights, a net economic exposure to changes in the share price for a market value equivalent to at least twice the amount of his or her fixed annual remuneration through the ownership of shares, options or other financial instruments.

The forgoing shall not apply to shares that the director may need to sell in order to meet the costs related to their acquisition or, following a favourable assessment by the nomination and remuneration committee, to deal with any extraordinary situations that may arise and so require.

Complies x Complies partially Explain Not applicable

63. That contractual arrangements should include a clause allowing the company to demand reimbursement of the variable remuneration components in the event that payment was not in accordance with the performance conditions or when payment was made based on data subsequently shown to have been inaccurate.

Complies x Complies partially Explain Not applicable

64. That payments for contract termination should not exceed an amount equivalent to two years of total annual remuneration and should not be paid until the company has been able to verify that the director has fulfilled all previously established criteria or conditions for payment.

For the purposes of this recommendation, payments for contractual termination will be considered to include any payments the accrual of which or the obligation to pay that arises as a consequence of or on the occasion of the termination of the contractual relationship between the director and the company, including amounts not previously vested of long-term savings schemes and amounts paid by virtue of post-contractual non-competition agreements

Complies x Complies partially Explain Not applicable

Further information of interest

1. If there is any significant aspect regarding corporate governance in the company or other companies in the group that has not been included in other sections of this report, but that must be included in order to provide a more comprehensive and reasoned picture of the structure and governance practices in the company or its group, describe them briefly below.

2. This section may also be used to provide any other information, explanation or clarification relating to previous sections of the report, so long as it is relevant and not repetitive.

Specifically, indicate whether the company is subject to any corporate governance legislation other than that of Spain and, if so, include any information required under this legislation that differs from the data required in this report.

3. The company may also indicate whether it has voluntarily subscribed to other ethical or best practice codes, whether international, sector-based, or other. In this case, name the code in question and the date on which the company subscribed to it. Specific mention must be made as to whether the compan

The codes and global commitments undertaken voluntarily by INDITEX include:

- *UNI GLOBAL UNION* (www.uniglobalunion.org). It encourages respect and promotion of fundamental rights and decent work within the retail and distribution network. Date of endorsement: 2 October 2009.
- *The United Nations Global Compact* (www.globalcompact.org). A United Nations initiative that encourages social dialogue between companies and the civil society. Date of endorsement: 31 October 2001.
- *Ethical Trading Initiative (ETI)* (www.ethicaltrade.org). A dialogue platform to improve working conditions of workers across the supply chains. It is an alliance of companies, international trade unions, and non-governmental organisations. Date of endorsement: 17 October 2005.
- *Global Framework Agreement with IndustriALL Global Union* (formerly, ITGLWF) (www.industriall-union.org). To promote fundamental human and social rights within Inditex's supply chain, including the definition of mechanisms of joint action within the supply chain to implement the Code of Conduct for Manufacturers and Suppliers. Date of endorsement: 4 October 2007. Inditex and IndustriALL executed on 4 May 2012 the "Protocol to define the involvement of trade unions in the reinforcement of the International Framework Agreement within Inditex's supply chain." On 8 July 2014, the Framework Agreement was renewed by both parties at ILO headquarters in Geneva, Switzerland. A new Agreement was executed on 25 April 2016 between Inditex and IndustriALL, that introduces the concept of "union experts" to enforce the Global Framework Agreement. The Global Framework Agreement was renewed on 13 November 2019. At this new stage, both parties have agreed to set up a Global Union Committee on which worker representatives from each of the Inditex Group's key areas of production will sit.
- *Zero Discharge of Hazardous Chemicals (ZDHC)*: Multi-stakeholder organisation comprising brands and representatives of the supply chains of the textile and footwear industry committed to the elimination of certain chemicals in the textile and footwear product manufacturing process. Date of execution: 27 November 2012.
- The ILO's *Better Work Programme* (www.betterwork.org). Platform to improve compliance with labour regulations and competitiveness of global supply chains. Date of endorsement: October 2007. In the course of this partnership, Inditex and Better Work executed on 9 October 2013 a specific partnership agreement whereby Inditex became a direct buyer partner of the Better Work programme.
- *CEO Water Mandate* (www.ceowatermandate.org). A United Nations initiative to support companies in the development, implementation and disclosure of their water-related strategies and policies. Date of endorsement: 30 June 2011
- *Sustainable Apparel Coalition* (www.apparelcoalition.org). An initiative of the textile sector to set in train a joint sustainable index to assess the environmental performance of retail brands, suppliers and products. Date of endorsement: 20 October 2011..
- *Textile Exchange* (www.textileexchange.org): we are members of Textile Exchange, a global non-profit organisation with the mission of inspiring and equipping people to accelerate the adoption of preferred materials through clear and actionable guidance.
- *Better Cotton Initiative* (www.bettercotton.org). An initiative that develops and promotes best practices in the traditional growing of cotton to benefit the farmers and the environment, and to ensure the future of the sector. Date of endorsement: 1 July 2011
- *Code of Good Tax Practices*. It encourages a mutually cooperative relationship between the Tax Administration Authority of Spain and the companies. Date of endorsement: 21 September 201
- *Cooperation Agreement between the Ministry of Health and Consumption and the fashion sector in Spain*. It promotes the defence and encouragement of the rights of Spanish customers in the world of fashion, namely as regards creating and encouraging a healthy-looking appearance.
- *Cotton Campaign*: this is an initiative led by companies and organisations of the third sector to improve working conditions and defend Human Rights in the production and supply of cotton. Date of endorsement: 26 October 2012.

- International Accord (<https://internationalaccord.org/>). Agreement signed in 2021 by brands and international trade unions, witnessed by non-governmental organisations to honour the commitment to continue and expand the efforts towards a safe and healthy textile industry, based on the principles first upheld in Bangladesh in 2013. Inditex is a founding member and serves on its Steering Committee. The International Accord recognises the RMG Sustainability Council (RSC) as an independent organisation that continues the efforts in Bangladesh. Date of execution: 1 September 2021
- *Fur Free Alliance* (www.infurinformation.com). Inditex is a member of the Fur Free Retailer Program of the Fur Free Alliance. The Fur Free Alliance is an international coalition of animal protection organisations working to bring an end to the exploitation and killing of animals for their fur. Date of endorsement: 1 January 2014.
- *ACT (Action Collaboration Transformation)*: an initiative of international brands & retailers, manufacturers, and trade unions to address the issue of living wages in the textile and garment supply chain. In development thereof, a Memorandum of Understanding was subscribed by ACT's brands and IndustriALL Global Union to establish within the supply chains the principles of freedom of association, collective bargaining and living wages. Date of execution: 13 March 2015.
- *Canopy*: As founders of the Canopy Style initiative we collaborate with the Canopy organisation to protect primary high conservation-value (HCV) forests, and are particularly committed to ensuring that no cellulose originating in such forests will be used in man-made fibres (viscose, modal, Lyocell).
- *CEOE* (Spain's Employers' Association): We cooperate actively with CEOE, the main spokesperson between companies in Spain and the Government and international institutions. Inditex is part of a number of work groups linked to different sustainability and circularity related issues.
- *Red Cross*: We have been collaborating with the Red Cross since 2004 in a number of emergency relief programmes linked to natural disasters and similar crises. Over the course of the last 18 years we have cooperated to tackle emergency situations in countries such as India, China, Japan, Mexico, Australia, Italy and Spain, among others. We also have a stable arrangement with the Red Cross through programmes such as Salta or our used garments collection programme.
- *Organic Cotton Accelerator (OCA Foundation)*. One of the founding partners of OCA Foundation in 2016 and member of the Investment Committee, being actively committed to contributing to develop a responsible and healthy market of organic cotton for all parties involved.
- International Labour Organization (ILO): Execution of a global Public-Private Partnership aimed at promoting respect for the fundamental principles and rights at work in the cotton sector. Date of execution: 11 May 2017. Inditex has also joined ILO's Global Business and Disability Network that aims at creating an inclusive work culture respectful of disability worldwide. They encourage employment policies and practices inclusive of disabled people across every environment and help raise awareness among businesses for disability inclusion to be a pillar of their social commitment. Date of execution: 25 January 2023
- *Open for Business*: Coalition of leading global companies dedicated to LGBT+ inclusion and the rights of the LGBT+ community (lesbian, gay, bisexual and transgender) to prove that inclusive societies are better for business and that companies that promote LGBT+ inclusion are more dynamic, productive and innovative. Inditex joined this coalition in 2016.
- *Open to All*: Inditex is a supporter of Open to All and one of the brands that signed in 2022 the "Mitigate Racial Bias in Retail Charter", a campaign led by retailers in the US to combat racial discrimination and make everyone visiting our stores feel welcome irrespective of their race, ethnicity, origin, gender, sexual orientation, gender identity and expression, religion or disability.
- *Fashion Industry Charter for Climate Change*. The Fashion Industry Charter was subscribed with the UN Climate Change Office. Aligned with the goals of the Paris Agreement, the Charter has set an initial target of 30% GHG emission reduction by 2030. Date of execution: 28 November 2018.
- *Better Than Cash Alliance*. Based in the UN, this is an alliance of governments, companies and large international organisations that seek to globally promote the transition to a digital economy. Inditex is focused on achieving digitalisation and financial education across its supply chain. Inditex became a member in November 2018.
- *Sustainable Fibre Alliance (SFA)*: Non-profit international organisation that works with the extended cashmere supply chain, from herders to retailers. Its goal is to promote a global sustainability standard for cashmere production in order to preserve and restore grasslands, ensure animal welfare and secure livelihoods. Year of endorsement: 2019.
- *Tent Partnership for Refugees*: Founded by Tent Foundation, a non-profit organisation, this is a global network of more than 200 companies that seeks to mobilise the private sector to create partnerships to improve the lives of refugees.
- *The Fashion Pact* (<https://thefashionpact.org/>): Global coalition of companies in the fashion industry committed to key specific common goals to meet the challenges that the industry faces to stop climate change, preserve the oceans and restore biodiversity. Date of endorsement: 23 August 2019.

- *Global Fashion Agenda (GFA)* (<https://globalfashionagenda.com/>): The Company continues to strive to improve and sustain the circularity commitments made to the GFA and achieved in 2020, known as GFA 2020 Commitments. Our stores continue offering the used garments collection programme, we continue training our design teams in circularity and we have stepped up our activity to scale up textile to textile recycling. Inditex has been a signatory since 11 May 2017. 11 May 2017.
- *Accelerating Circularity*: A collaborative project of the garment industry that brings together the efforts of various operators from areas ranging from waste collection, recycling, fibre production or textile distribution, to promote circularity. With the support of Textile Exchange, Euratex, Wrap, Circle Economy, Fashion for Good, ReFashion or Apparel Impact Institute among others, Inditex is a founding partner and member of the Steering Committee of the initiative in Europe. We also belong to the initiative's Brand & Retailer Working Group in the US
- *ASA. Action for Social Advancement*: Since 2022, we have been collaborating with Action for Social Advancement (ASA), along with Laudes Foundation, IDH The Sustainable Trade Initiative and WWF India, to promote regenerative agriculture, ecosystem restoration and community well-being in a 300,000 hectares area in the Indian states of Madhya Pradesh and Odisha. The initiative seeks to improve soil quality and biodiversity, optimise water management and reduce greenhouse gas emissions.
- *United Nations High Commissioner for Refugees (UNHCR)*: Inditex and UNHCR have been working together since 2020 with the common goal of protecting the rights and well-being of refugees and internally displaced people. Through this strategic partnership, Inditex, in collaboration with its suppliers, supports UNHCR in its task of sheltering refugees who have been forced to abandon their homes and helping to restore their dignity.
- *Arborus*: Inditex collaborates since 2018 with the Arborus Endowment Fund, created by the Arborus association and large international corporations, with the support of the European Economic and Social Council. Its goal is to promote equality between women and men in the world, in particular through the dissemination of a European and global standard: the European and international label GEEIS (Gender Equality European and International Standard), which is a tool that fosters diversity and inclusion in enterprises and with which Inditex has certified several of its subsidiaries.
- *Arctic Corporate Shipping Pledge*: An Ocean Conservancy initiative that seeks that consumer goods companies and shipping logistics operators avoid the Arctic Trans-shipment Routes to protect the region's communities, marine life and ecosystems. Inditex joined this organisation in 2021.
- *Istanbul Textile and Apparel Exporter Association (ITKIB)*: In Türkiye, we have established a long and fruitful collaboration with ITKIB (Istanbul Textile and Apparel Exporter Associations) and EKOTEKS (the customs surveillance laboratory), to develop new techniques for the analysis of cosmetics and sustainable fibres.
- *Asociación Española para la Calidad (AEC)* (Spanish Association for Quality): We are a member of the *Asociación Española para la Calidad* as we sit on the Fashion Industries committee. A large number of Spanish companies from the fashion industry sit on this committee that aims at driving competitiveness within the industry through quality and sustainability.
- *Asociación Nacional de Perfumería y Cosmética (Stanpa)* (National Perfumery and Cosmetics Association): We are a member of the *Asociación Nacional de Perfumería y Cosmética*, that represents and promotes a competitive, dynamic, innovating and sustainable industry, committed to ensuring people's care and well-being. Date of endorsement: 10 November 2021
- *AFIRM GROUP*: working forum of leading brands in the fashion, footwear and sport goods sector who share the common goal of reducing the use and impact of harmful substances across the textile and leather supply chain.
- *Partnership for Sustainable Economic Recovery*: initiative promoted in 2020 by Ecodes and the Spanish Green Growth Group, among others, to advocate for economically and socially effective stimulus policies and in turn to ensure they are aligned with sustainability and biodiversity policies.
- *Business for Social Responsibility (BSR)*: Global non-profit organisation that works with a network of more than 200 members to build a fair and sustainable world. Inditex has been a member of BSR since 2019 and takes part in several of BSR's initiatives, such as the HER Project to promote women's empowerment or projects on the social impact of the transition into a circular economy.
- *UN Business Ambition for 1.5°C*: Inditex joined in 2020 this urgent call for action from UN Global Compact, for a global coalition of business and industry leaders to commit their companies to set science-based emission reduction targets.
- *Race to Zero*: a campaign under the umbrella of the United Nations Framework Convention on Climate Change (UNFCCC) aimed at driving the change to a decarbonised economy. Inditex has been involved in the Race to Zero initiative since it was launched on 05/06/2020.
- *Business for Nature*: Business for Nature is a global coalition that brings together forward-thinking companies and conservation organisations aimed at demonstrating and amplifying a credible business voice on nature calling for governments to adopt policies to reverse nature loss in this decade. Inditex has signed up its Call to Action. Date: 27 September 2021
- *Business for Societal Impact (B4SI)*: Global standard, formerly known as LBG, to measure corporate social impact. Inditex belongs to the global B4SI network which currently comprises more than 150 companies.
- *The Fashion Industry Charter for Climate Action (UNFCCC)*: Inditex is a signatory of the Charter with the UN Climate Change Office, aligned with the goals set in the Paris Agreement, to be climate-neutral by 2050 (net-zero GHG emissions). The Fashion Industry Charter was launched in December 2018 at the COP24 summit in Katowice, Poland.

- *Covid-19: Action in the global garment industry:* this initiative aims to catalyse action from across the global garment industry to support manufacturers to survive the economic disruption caused by the COVID-19 pandemic and to protect garment workers' income, health and employment. This call to action has been coordinated in 2020 by the International Organisation of Employers (IOE), the International Trade Union Confederation (ITUC) and IndustriALL Global Union together with international brands, with the technical support of the International Labour Organization (ILO). Inditex is a member of the international working group convened by ILO to implement it.
- *CIQ Shanghai:* We participate in the Pre-Testing Programme with CIQ Shanghai which belongs to the China Customs Inspection and Quarantine Department reserved for companies with a very high level of compliance with health regulations on imported goods.
- *Disability:IN:* With a network of over 400 corporations Disability:IN is a non-profit organisation that works to expand opportunities for people with disabilities across enterprises and for people with disabilities to participate fully and meaningfully in an inclusive global economy. Based in the US, Disability:IN also promotes accessible innovation for all and the creation of inclusive work environments. Inditex has been a corporate partner of the organisation since 2022.
- *REDI (Business Network for LGTB+ Diversity and Inclusion):* Inditex is a member of REDI, Spain's first inter-company and expert network for diversity and inclusion of LGBTI employees and allies, since 2018. REDI aims to nurture an inclusive and respectful environment in organisations that appreciate talent, regardless of sexual identity, gender expression and sexual orientation.
- *Foro Social de la Moda [Fashion Industry Social Forum]:* This forum was founded in 2018 as a joint initiative involving organisations in the third sector, local unions affiliated with IndustriALL Global Union (CCOO and UGT) and various Spanish textile brands including Inditex. It provides a forum for dialogue on global supply chains between various stakeholders.
- *Euratex Rehubs:* As a founding partner, in 2021 Inditex joined the Business Council of the ReHubs initiative developed by Euratex to set up five recycling centres in Europe with the aim of collecting, processing and recovering textile waste.
- *Fashion for Good:* global initiative for accelerating innovation specialising in the textile sector. Through this platform, brands, producers, suppliers, non-profit organisations and innovators work together to scale sustainable solutions. At Inditex we participated in a study on the actual typology of post-consumer textile waste according to its characteristics and composition. The goal is to gauge textile waste sorting capacities in Europe. Inditex began collaborating with this organisation in 2021.
- *Four Paws:* We have had a public positioning against mulesing since 2022, in an initiative led by global animal welfare organisation Four Paws that seeks to stop this practice from the wool industry. This initiative is currently supported by over 50 brands worldwide.
- *Massachusetts Institute of Technology (MIT):* Inditex has partnered with the Massachusetts Institute of Technology (MIT) in the MIT-MISTI (International Science and Technology Initiatives) initiative to research the development of recycling processes and the creation of textile fibre processes through new clean methods, or from waste, or any other sustainable initiative related to the circular economy in the textile industry. We have endowed the Inditex Materials Science and Engineering Fellowship Fund Chair at MIT's Department of Materials Science and Engineering. This lifelong chair focuses on promoting research into sustainability.
- *MIT Climate and Sustainability Consortium (MCSC):* Inditex is part of the group of founding companies of the MIT Climate and Sustainability Consortium (MCS), created in 2021 with the aim of accelerating the development of large-scale solutions to combat climate change. The initiative brings together leading multinationals from various industries to work with the Massachusetts Institute of Technology (MIT) to share processes and strategies for environmental innovation.
- *Medicus Mundi:* Since 2015, we have been working with this international NGO founded in 1963 towards the common goal of promoting the right to health. Through this partnership, we contribute to improving the social and health situation for workers in the garment industry in Morocco.
- *Médecins Sans Frontières (MSF):* Since 2008 we have been cooperating with the medical-humanitarian endeavours of Médecins Sans Frontières/Doctors Without Borders (MSF) to help people threatened by armed conflict, epidemics, natural disasters or exclusion from medical care. As a result of this strategic partnership in community investment, we have rolled out projects in 52 countries that have benefited more than six million people.
- *NAACP Legal Defense and Educational Fund:* NAACP Legal Defense and Educational Fund is the foremost US legal organisation advocating for racial justice. Inditex collaborates with this organisation to finance projects primarily in the area of education that seek to improve access for African-American students, bringing about structural changes in society to eliminate disparities and achieve racial equality. NAACP LDF works for civil rights and to improve the quality of education.
- *Shift:* non-profit organisation specialising in Human Rights led by Professor John Ruggie, the author of the UN Guiding Principles on Business and Human Rights. Inditex has been a participant of Shift's Business Learning Program since 2018. This leading program in Human Rights involves companies of all sectors willing to work towards implementing the Guiding Principles.

- *RMG Sustainability Council (RSC)*: The RMG Sustainability Council (RSC) is the Bangladeshi organisation that continues the inspection and remediation efforts in production facilities to ensure building security, taking over from Accord in 2020. The same number of representatives from each of its three constituents: textile industry brands, trade union federations and employers' associations in the country sit on its board of directors. Inditex works actively with its suppliers and manufactures in the programmes above and is a member of its board of directors.
- *Plena Inclusión* (Full Inclusion): association that works in Spain advocating for the rights of people with intellectual or development disabilities and their families. Supporting and actively searching for job opportunities, they help people with disabilities develop a life quality project and feel that they are fully included in the society and at the workplace. Inditex began collaborating with this organisation in 2019.
- *Smart Freight Centre*: Inditex has joined in 2020 this global non-profit organisation dedicated to sustainable freight. Its vision is achieving an efficient and zero-emissions global logistics sector, contributing to the Paris Agreement targets and the Sustainable Development Goals. To achieve this, it brings together the global logistics community through its Global Logistics Emissions Council (GLEC). The Clean Cargo initiative joined the Smart Freight Centre family in 2022. Inditex adhered to Clean Cargo Group in 2020. Its CO2 emission calculation methodology is the shipping standard used by other initiatives, such as the US Environmental Protection Agency (EPA) SmartWay programme and the Global Logistics Emissions Council (GLEC).
- *Social & Labor Convergence Program (SLCP)*: this initiative provides tools to gather accurate data on working conditions across global supply chains facilitating data exchanges and minimising the need for individual social audits. Inditex has been a member of SLCP since its inception and has played an active role in reinforcing the programme in terms of management and contents. Inditex sits on the SLCP Council representing the interests of the adhering brands and providing a strategic oversight of the programme.
- *Policy Hub-Circularity for Apparel and Footwear*: Inditex actively collaborates with *Policy Hub-Circularity for Apparel and Footwear*, an organisation that brings the textile industry and its stakeholders together to speed up the sector's transformation to a circular model. Inditex has been collaborating with the Policy Hub since its inception in 2018 as member of the SAC organisation work group.
- *UN Uniting Business and Governments to Recover Better*: Inditex signed in 2020, together with some other 150 companies in the Science Based Targets initiative, this joint statement urging governments across the world to align their COVID-19 economic aid and recovery efforts with the latest climate science.
- *Alianza país por la pobreza infantil cero* [Country Alliance for Zero Child Poverty]: This initiative was launched by the High Commissioner against Child Poverty of the Government of Spain. It seeks to encourage participation and joint alliances from social players to work together towards a common goal: a country where all kids and teens have the same opportunities irrespective of their birth conditions. Inditex has been a member of the Alliance since January 2021.
- *Cargo Owners for Zero Emissions Vessels (COZEV)* (<https://www.cozev.org/>): This initiative is led by Aspen Institute as part of its Shipping Decarbonization Initiative (SDI) programme to accelerate the transition towards zero emissions vessels and to set a commitment to use only zero-carbon ocean shipping by 2040. Date of endorsement: 19 October 2021.
- *Cáritas*: We have been working with this non-profit organisation since 2007 to help improve well-being in the community. Within the frame of our strategic partnership with Cáritas, we are currently developing a number of projects such as the circular economy project *Moda Re-* or the programme to boost employment in Spain.
- *Ellen MacArthur Foundation*: Within the framework of our collaboration with the Ellen MacArthur Foundation, we have signed a 2025 commitment to the *New Plastics Economy* launched by the Ellen MacArthur Foundation and the UN Environment Programme that targets a circular economy for plastic. Under such commitment, every plastic that we use in our activity should be reused or recycled so that they can be reintroduced into the circuit, at the same time that unnecessary plastic in packaging is reduced and the percentage of recycled plastic in such packaging is increased. We are also endorsing its *Jeans Redesign* project undertaking to put on sale garments designed focusing on recycling and durability. Date of endorsement: 12 September 2021.
- *Entreculturas*: We have been collaborating with the Jesuit-sponsored NGO since 2001 with the goal of generating social change through education. Thanks to this partnership, over the last 20 years we have developed a number of educational programmes that have directly benefited more than 1.3 million vulnerable people in Africa, America and Asia.
- *EuroCommerce*: Since 16 March 2005, we are actively involved with EuroCommerce, the largest representative body of the retail industry in Europe, with over 6 million retail and wholesale companies from various sectors. We are also members of its environmental committee and founding members of its representative body, TEFRIG, made up of companies from the textile industry.

- *European Network Against Racism (ENAR)*: Like the ENAR Foundation (“European Network Against Racism”, which advocates racial equality), Inditex envisions a society where there is full equality, solidarity and well-being for all and where discrimination against people based on their skin colour, religion, culture, nationality or origin is not tolerated. In 2021, the ENAR Foundation granted the Holistic Diversity Management Certificate to the Inditex network of Champions of Diversity in Europe, developed in conjunction with experts in D&I management.
- *Every Mother Counts*: A charitable organisation dedicated to helping women receive quality healthcare to prevent infant and maternal mortality. Our partnership with Every Mother Counts, which commenced in 2015, has developed (among others) a number of maternal health projects in countries such as Bangladesh and the United States.
- *Global Reporting Initiative (GRI)*: GRI is an international non-profit organisation that provides companies and organisations with universal sustainability reporting standards. Inditex has been following the criteria and guidelines of this international reporting framework since 2007. Inditex is also a member of the GRI Community, a community of companies from different sectors that collaborate, demonstrate leadership in reporting and share knowledge and best practices.
- *IFRS Sustainability Alliance*: Inditex is a member of the IFRS Sustainability Alliance that combines the SASB Alliance and <IR> Business Network. This alliance seeks to provide a global framework of reference for sustainability reporting standards to achieve a consistent and comprehensive corporate reporting system. Inditex has been a member of the organisation from inception, and as a member of the <IR> Business Network, has been guided by its principles since the initiative was launched. It took part in the first pilot carried out by IIRC in 2011.
- *Chinese Institute of Public and Environmental Affairs (IPE)*: We work with the Chinese Institute of Public and Environmental Affairs (IPE) to improve the environmental management of our supply chain in China and to disseminate the results of wastewater analyses. We continue working together to prepare a map to monitor the performance of textile companies in China.
- *LEAF Coalition* (<https://leafcoalition.org/>). Voluntary global coalition that brings together the private sector and governments to focus on the protection of tropical forests to halt deforestation and support sustainable development in the countries where they are found. Inditex became a participant in November 2021.
- *Leather Working Group (LWG)*: Inditex is a member of the *Leather Working Group (LWG)*, an international non-profit organisation from the leather industry. LWG’s mission is to guarantee the responsible supply of leather to the industry and consumers and is committed to driving best practices and a positive social and environmental change to ensure a responsible leather production. The LWG standard includes environmental best practices for the industry and it promotes continuous improvement.
- *London Benchmarking Group Spain (LBG)*: A methodology that measures business social impact. Inditex is a member of LBG Spain, currently composed of 20 companies.
- *The Ali Forney Center*: The Ali Forney Center (AFC), based in New York City, is the largest LGBT community centre helping LGBTQ+ homeless youth in the United States. It provides them with stable housing as well as support and integrated services linked to healthcare, education and safety. Its mission is to empower them with the tools needed to live independently. Inditex has been a corporate partner of the organisation since 2022.
- *Tsinghua University*: Through our partnership with Tsinghua University, since 2016 we have been involved in a number of academic programmes related to our community investment model. Notable are the Sustainable Development Fund, the Oversea Student Scholarship and Teaching Fund or the collaboration programme with this university’s School of Economics and Management, among others.
- *Universidade da Coruña (UDC)*: As part of our strategic alliance with Universidade da Coruña (UDC), we have launched a number of programmes such as Intalent, the Inditex-UDC Sustainability Chair, the Inditex Chair of Spanish Language and Culture in Bangladesh or the Inditex-UDC Predoctoral Residency Grant Programme, among others.
- *Universidade de Santiago de Compostela (USC)*: In the framework of our community investment, we have been working together with the University of Santiago de Compostela since 2010 to develop the Inditex Chair of Spanish Language and Culture in Bangladesh.
- *Universidad Miguel Hernández (UMH)*: We collaborate with UMH to develop the TEMPE-APSA Disability and Employability Chair as part of our community investment initiatives.
- *Universidad Pontificia de Comillas*: We collaborate with this University to run the Inditex Chair of Refugees and Forced Migrants within the scope of our community investment.
- *Universitat de Lleida*. A3 Leather Innovation Center in Igualada: Our collaboration with A3 Center revolves around the development of the best leather tanning and finishing technologies, as well as sensitive and versatile methods to analyse key substances such as formaldehyde and chromium (IV).
- *Universidad Politécnica de Catalunya (UPC)*: Inditex has joined forces with the Universitat Politècnica de Catalunya to research microplastics present in marine ecosystems as a result of laundry wastewater. The project aims at minimising detachment of such particles (< 5 mm) from garments, to prevent their ending up into the sea.
- *University of Cambridge*: We have joined forces with the Centre for Risk Studies at the University of Cambridge to enhance our climate risk assessment model and explore the resilience of our value chain under different scenarios and greenhouse gas emissions pathways. Date of execution: 2 March 2020.

- *University of Dhaka*: We have been working together with the University of Dhaka since 2010 to develop the Inditex Chair of Spanish Language and Culture. This Chair located at the University of Dhaka’s Institute of Modern Languages promotes Spanish language and culture in Bangladesh through various academic and cultural dissemination initiatives notably including annual courses in Spanish language and culture, student mobility grants programme and the hosting of especially significant artistic events.
- *University of Oxford*: Inditex has worked since 2019 with researchers from the University of Oxford to support innovation in improving well-being and empowerment of workers across the fashion supply chain. This collaboration has materialised in a project that seeks to understand the needs and preferences of workers in Morocco.
- *Water.org*: We have been working with global non-profit organisation Water.org since 2015 to improve access to drinking water and sanitation for vulnerable families in Bangladesh, Cambodia and India. Through our strategic alliance with Water.org, over three million people have improved their access to drinking water and sanitation through microloans. . Additionally, in 2022 we have launched a new programme named Water and Climate Fund to carry out projects to improve water and sanitation infrastructure in Bangladesh, India, Indonesia and the Philippines. The goal is to boost efficiency and savings, in addition to helping local communities gain access to such resource.
- *World Wildlife Fund (WWF)*: In 2022, we entered a global partnership with WWF to carry out projects aimed at nature restoration and ecosystem conservation. In addition to funding projects, the agreement also includes the joint work of both organisations in transformation projects in the textile industry aimed at conservation and creating a positive impact on large ecosystems.

This Annual Corporate Governance Report was approved by the Board of Directors of the company in the meeting held on 14 March 2023.

Indicate whether any director voted against or abstained from approving this report.

Yes No x

Name or company name of the member of the Board of Directors who has not voted for the approval of this report	Reasons (against, abstention, non attendance))	Explain the reasons



INDITEX

ANNUAL REPORT
ON REMUNERATION (ARR)
2022

Issuer Identification

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About this Report

This Report (the “Report” or the “Annual Report on Remuneration of Directors”) provides information on remuneration of directors for the period running from 1 February 2022 through 31 January 2023 (financial year 2022) and offers detailed information about the Directors’ Remuneration Policy of INDUSTRIA DE DISEÑO TEXTIL, S.A. (INDITEX, S.A.), (“**Inditex**” or the “**Company**”) for 2023.

This Report has been drawn up by the Remuneration Committee (the “Remuneration Committee” or the “Committee”) pursuant to the provisions of section 541 of the Spanish Companies Act (“**LSC**” (*Spanish acronym*) or the “**Companies Act**”); Order EEC/461/2013 of 20 March, whereby the contents and structure of the annual corporate governance report, the annual remuneration report, and of other information instruments of listed companies, savings banks and other entities which issue securities admitted to trading on official securities markets, are determined, as amended by Order ECC/2515/2013 of 26 December; Circular 3/2021 of 28 September issued by the National Securities Market Commission (“**CNMV**” (*Spanish acronym*)) amending Circular 4/2013 of 12 June, which provides the standard forms of the annual report on remuneration of directors of listed companies and of members of the board of directors or the control committees of savings banks and other entities that issue securities admitted to trading on official securities markets and section 30 of the Board of Directors’ Regulations and section 6 of Inditex’s Remuneration Committee’s Regulations.

This Report is filed in free format, in accordance with the provisions of CNMV’s Circular 4 of 12 June 2013 (consolidated text); however, its contents comply with the minimum requirements established in the regulations above and is accompanied by the standardised statistical appendix stipulated therein.

It bears mentioning that for reasons beyond the Company’s control and on account of CNMV’s own systems, the information shown in the standardised statistical appendix for financial year 2023 actually refers to Inditex’s financial year 2022, and so on and so forth for all the previous years.

This Annual Report on Remuneration of Directors for financial year 2022 was approved by Inditex’s Board of Directors on 14 March 2023, on the proposal of the Remuneration Committee. As provided in section 541(4) LSC, this Report will be submitted to an advisory say-on-pay vote at the next Annual General Meeting as a separate agenda item.

A. Company remuneration policy for the current year

A.1.1. Current directors' remuneration policy for the current year

Inditex's Directors' Remuneration Policy for financial years 2021, 2022 and 2023 was approved at the Annual General Meeting held on 13 July 2021 (the **"2021 AGM"**) with 98.42% of votes in favour.

The Annual General Meeting held on 12 July 2022 (the **"2022 AGM"**) subsequently approved the amendment to the Policy with 98.6% of votes in favour. The purpose of the amendment brought forward by the Board of Directors, following a substantiated proposal of the Remuneration Committee, was to adapt the contents of the Policy to the new corporate governance structure approved in 2021, which took full effect in financial year 2022, with the full separation of the position of Chair of the Board of Directors and CEO, with a new Chair without executive functions, and a single executive director.

The remuneration policy applicable in financial year 2023 is therefore the policy as set out in the consolidated text of the Remuneration Policy approved at the 2021 AGM (the **"Remuneration Policy approved at the 2021 AGM"**), after its amendment approved at the 2022 AGM (the **"Current Text of the Remuneration Policy"**).

A.1.1. a) Procedures and company bodies involved in determining, approving and applying the remuneration policy and its terms and conditions.

The procedures and Company bodies involved in determining and approving the Remuneration Policy and its terms and conditions are described below:

1. Annual General Meeting. Pursuant to section 529*septdecies* and *novodecies* LSC and article 31 of the Articles of Association, the Annual General Meeting shall be responsible for:

- Approving the Directors' Remuneration Policy, at least every three years.
- Determining the maximum amount of the annual remuneration to be paid to all directors in their status as such.

The Board of Directors plans to submit for approval at the 2023 Annual General Meeting the following proposed resolutions as separate agenda items: (i) the Annual Report on Remuneration of Directors for the year ended 31 January 2023 (submitted to an advisory say-on-pay vote); (ii) the Directors' Remuneration Policy for financial years 2024, 2025 and 2026; and (iii) approval of a new cash and shares Long-Term Incentive Plan for the management team, including the executive directors and other Inditex Group employees.

2. Board of Directors. Pursuant to sections 249 and 249*bis* LSC, the Board of Directors shall have the following powers, which are non-delegable:

- Decisions relating to remuneration of directors within the scope of the Articles of Association and of the Remuneration Policy approved by the General Shareholders' Meeting.
- The approval of the contracts entered into with the executive directors including, without limitation, the remuneration items they may be entitled to for the performance of executive functions, including the potential severance pay as a result of early termination, and the amounts to be paid by the Company as insurance premiums or contributions to savings systems.

3. Remuneration Committee.

Pursuant to the provisions of the Board of Directors' Regulations and the Remuneration Committee's Regulations, below is a summary of the duties the Committee is entrusted with regarding determination, enforcement, review and transparency of the Remuneration Policy:

a) Determination of the Remuneration Policy:

- To propose to the Board of Directors the Directors' Remuneration Policy as well as the regular review and update thereof.
- To propose to the Board of Directors the system and amount of the annual remuneration of directors, to be submitted to shareholders at the Annual General Meeting.
- To propose to the Board of Directors for approval, the individual remuneration of executive directors and the remaining basic terms and conditions of their contracts, including any potential severance pay or indemnity which may be payable in the event of termination of the contract by unilateral decision of the Company and the amounts to be paid by the Company as insurance premiums or contributions to savings schemes, pursuant to the provisions of the internal regulations of the Company and of the directors' remuneration policy from time to time in force.

b) Application of the Remuneration Policy:

- To approve at the beginning of each year the targets to which the annual variable remuneration of executive directors is tied and evaluate the achievement thereof at the end of the year. Further to such evaluation, the Remuneration Committee drafts a proposal on annual variable remuneration of executive directors that is submitted to the Board of Directors for approval.

- To approve the targets of each cycle of long-term variable remuneration for executive directors. The Remuneration Committee carries out an annual evaluation and an overall evaluation upon expiry of each cycle, of the level of achievement reached for each target, considering the information provided by the Company, and proposes to the Board of Directors for approval, the levels of incentive associated to achievement, based upon the performance scales set, and extraordinary factors, as the case may be, which may have occurred during the performance period of the plan in question.

The evaluation of targets and the level of achievement thereof to which long-term annual variable remuneration is linked, is based upon the results provided by different areas and departments of the company, pursuant to the terms of section A.1.10 below. Considering the foregoing, the Remuneration Committee drafts a proposal on annual variable remuneration of executive directors which is submitted to the Board of Directors for approval. In the proposal on variable remuneration, the Remuneration Committee also considers the quality of results in the long-term as well as any risk associated thereto.

- To propose to the Board of Directors the cancellation of payment or, where appropriate, the refund (clawback) of the variable items of the remuneration of executive directors based on results, when these items have been paid on the basis of information clearly shown later to be inaccurate, as well as, where appropriate, filing claims or any other applicable measures.

c) Review of the Remuneration Policy:

- To regularly review the Directors' Remuneration Policy, including share-based remuneration systems and the application thereof, verifying that it is consistent with the specific circumstances of the Company, and aligned with its strategy, in the short, mid and long-term, and with market conditions, considering whether it contributes to building sustainable value, and to ensuring an appropriate risk control and management.

d) Transparency of the Remuneration Policy:

- To prepare and submit to the Board of Directors, for approval, the Annual Report on Remuneration of Directors, and to verify the information on the remuneration of directors provided in the corporate documents, the notes to the annual accounts and in the interim financial statements of the Company.

The Remuneration Committee meets at least three times a year and whenever it is deemed appropriate for its smooth operations, and at any rate, each time the Board of Directors or its Chairman requests the issuing of a report or the passing of proposals within its remit.

The Board of Directors or its Chair will request information from the Remuneration Committee. Likewise, the Committee shall consider the suggestions made by the Chair, Board members, officers and/or shareholders of the Company. Moreover, the Remuneration Committee shall hold a regular meeting every year to prepare the information on the remuneration of directors, which the Board of Directors has to approve and include as part of its annual public documentation.

The Remuneration Committee shall report to the Board of Directors on the matters discussed and the decisions made, accounting for its proceedings and work done in the meeting that the Board of Directors holds immediately after each meeting of the Remuneration Committee. Additionally, a copy of all the minutes taken at the Committee's meetings shall be made available to all directors.

In accordance with its schedule for financial year 2023, the Remuneration Committee is expected to hold, at least, 4 meetings.

A.1.1. b) Consideration of comparable companies in order to establish the Company's Remuneration Policy

The Remuneration Committee deems essential to regularly review the Directors' Remuneration Policy, in line with best practices on corporate governance endorsed by institutional investors and the recommendations of the main proxy advisors.

In financial year 2022, in the context of implementing the current organisational structure, the Remuneration Committee considered a number of **analyses into the external competitiveness of total remuneration**, with the support of an independent external advisor specialising in director remuneration, to propose appropriate levels of remuneration for both the new Chair of the Board of Directors (without executive functions) and for the CEO for his functions as the only executive director. These analyses were updated in the first quarter of financial year 2023 to ensure that they were still relevant and that the decisions on remuneration taken in financial year 2022 remained in line with market practice.

In particular, with regard to the remuneration of the (non-executive) Chair of the Board of Directors, market practice in **relevant European countries** has been considered. For this purpose, the amounts and remuneration practices for the remuneration of chairs of the board without executive functions in the companies that make up the **main stock market indices** (Ibex-35 in Spain, CAC40 in France, FTSE MIB in Italy, DAX40 in Germany, SMI 20 in Switzerland and FTSE 100 in the United Kingdom) have been analysed.

With regard to the CEO, several comparator groups were considered in financial year 2022, selected on the basis of sector, size and geographic spread criteria, in line with the analyses carried out in previous years for the Company's chief executive. The **comparator groups** considered are the following:

- **STOXX Europe 50**, comprising the 50 companies with the largest market capitalisation in Europe. This index was designed by STOXX Ltd.

- Large Ibx-35 companies comparable in size to Inditex (Iberdrola, Santander, Telefónica and BBVA).
- *Dow Jones Retail Titans 30 Index*, made up of the 30 leading companies of the retail sector. These companies are selected by Dow Jones based upon ranking by market capitalisation, revenue and net profit.

In financial year 2023, the findings for the STOXX Europe 50 group and the large Ibx-35 companies have been revised.

A.1.1. c) Information on external advisors.

To better discharge its duties, the Remuneration Committee may request the Board of Directors to engage legal, accounting, financial or other experts at the expense of the Company.

In this regard, in the current year to this date, the Remuneration Committee has been advised, in the exercise of its powers, by WTW, an independent consultant with experience in the field of directors' and senior executives' remuneration, on preparing this Report and the aforementioned remuneration benchmarks.

A.1.1. d) Procedures set forth in the current directors' remuneration policy in order to apply temporary exceptions to the policy, conditions under which those exceptions can be used and components that may be subject to exceptions according to the policy.

The Current Text of the Remuneration Policy does not allow for the possibility of applying temporary exceptions.

A.1.2. a) Remuneration mix. Criteria and targets taken into consideration in their determination and to ensure an appropriate balance between fixed and variable remuneration items.

Remuneration of **directors in their position as such** is fully comprised of **fixed remuneration items**.

The **executive directors'** total remuneration, the total remuneration is made up of a **fixed** element, a short-term or **annual variable** element and a **long-term** or multi-year variable element, in cash and/or in shares.

Pursuant to the Current Text of the Remuneration Policy, under a scenario with maximum achievement of targets, the **weight** of **variable** or at-risk remuneration with respect to total remuneration (considered for these purposes as fixed remuneration, annual variable remuneration and long-term incentive annualised according to the share price at the beginning of each cycle) could represent **up to 75%** for the CEO.

The remuneration mix of the different remuneration scenarios based upon target achievement ensures that the fixed remuneration represents a significant part of total remuneration, for the purposes of preventing taking any unnecessary risks.

Variable remuneration items to compensate executive directors, tied to the achievement of Group's targets, are **flexible** enough to allow their shaping, including the possibility to pay no variable remuneration component under certain circumstances; in such case, fixed remuneration would represent 100% of total remuneration. **Under no circumstances is variable remuneration guaranteed.**

A.1.2. b) Actions adopted to adapt the Remuneration Policy to the long-term targets, values and interests of the Company, and measures to guarantee that the long-term results of the company are taken into account in the Remuneration Policy

In the design of the remuneration scheme, fixed and variable components are efficiently balanced, as indicated above. Specifically, pursuant to the Current Text of the Remuneration Policy, long-term or multi-year variable remuneration, on an annualised basis and for a maximum target achievement scenario, has a weighting of less than 40% of total remuneration of the CEO (considering for these purposes the fixed, short-term variable and long-term variable remuneration annualised based on the share price at the beginning of each cycle).

Long-term variable remuneration plans are encompassed in a **multi-year framework** (of at least 3 years) to ensure that the evaluation process is based upon long-term results and that the underlying economic cycle of the Company and the achievement of strategic targets is considered therein.

Part of this long-term variable remuneration is **granted and delivered in shares**, based upon value creation, so that the interests of the executive directors and officers are aligned with those of the shareholders. Specifically, in a scenario of maximum target achievement, close to 30% of the CEO's total variable remuneration would be delivered in shares (this value considers the share price at the start of each cycle; it does not take into account the potential change in share price during the performance period).

The CEO has undertaken to hold the net shares that he may receive as a result of any element of variable remuneration for a term of at least 3 years until he holds a number of shares equivalent to at least 2 years of his fixed remuneration. In any case, once this shareholding target has been reached, the CEO must comply with the retention obligations set out from time to time for shares delivered through incentive schemes. These courses of action result in a better alignment of the interests of the CEO with those of the shareholders.

Payment of variable remuneration at Inditex, both annual and multi-year, is tied to the achievement of **sustainability targets** (ESG). These targets are aligned with the Group's sustainable strategy, wherein all stakeholders are considered, and allows rewarding its implementation. Namely, in financial year 2023 the **weight** of sustainability objectives on the CEO's aggregate variable remuneration is approximately **20%**.

A.1.2. c) Actions adopted relating to the remuneration system to reduce exposure to excessive risks and avoid conflicts of interest and clauses reducing the deferred remuneration or obliging the director to return remuneration received.

(i) Measures taken by the Company to reduce exposure to excessive risks

The measures taken by the Company to **reduce exposure to excessive risks** are:

- Executive directors' total remuneration comprises different remuneration items, mainly consisting of: (i) a fixed remuneration, (ii) a short-term variable remuneration (annual), and (iii) a long-term (multi-year) variable remuneration. **The remuneration mix** in the different remuneration scenarios based upon achievement of targets, ensures that the fixed remuneration represents a significant part of aggregate compensation, for the purposes of preventing taking any unnecessary risks.
- **No guaranteed variable** remunerations exist. Variable remuneration items are flexible enough to allow their shaping, to the extent that it is possible that no amount is paid in terms of variable remuneration.

(ii) Measures taken in respect of those categories of staff whose professional activities may have a relevant impact on the Company's risk profile.

The measures taken in respect of those categories of staff whose professional activities may have a **relevant impact on the Company's risk profile** are:

- The Remuneration Committee is responsible for considering and reviewing the Directors' and Senior Managers' Remuneration Policy and for enforcing it. Those professionals whose activity may have a relevant impact on the Company's risk profile are included in this group.

In addition, the Committee is tasked with conducting regular reviews of the terms and conditions of the executive directors' and senior management's contracts and ensuring that they are consistent with the remuneration policies in force.

- All **members** of the **Remuneration Committee also sit on the Audit and Compliance Committee**. The Audit and Compliance Committee is responsible for overseeing enterprise risk management systems in respect of financial and non-financial risks. The presence of the same directors on both committees and the reporting to the Board of Directors by the Chairs of the Remuneration and the Audit and Compliance Committees on the main matters discussed in the meetings, ensures that risks associated to remuneration are considered in the course of the debates of the Remuneration Committee and of the Audit and Compliance Committee and in the proposals they submit to the Board of Directors, regarding both the determination and the evaluation of annual and multi-year incentives.

- Likewise, **three ordinary members** of the **Remuneration Committee also sit on the Sustainability Committee**. In particular, the Chair of the Sustainability Committee is a member of the Remuneration Committee. The Sustainability Committee is responsible for overseeing and monitoring proposals in the field of sustainability, on social and environmental issues, on health and safety of the products that the Company places on the market, and the relations with the different stakeholders, and with following up on the sustainable strategy, evaluating the level of compliance thereof and, as the case may be, proposing recommendations to improve the Group's positioning in the field. Thus, the fact that the same directors sit on the above referred board committees allows ensuring that alignment with the Group's priorities in the field of sustainability and with those of its stakeholders is considered upon establishing and enforcing the Remuneration Policy.

(iii) Measures taken by the Company to avoid potential conflicts of interest

With regard to the **measures** set to detect, determine and resolve any potential **conflicts of interest**, conflict of interest scenarios are defined in section 34 of the Board of Directors' Regulations, which also provides the rules which govern such conflicts. Sections 33 and 35 to 37 thereof cover the obligation of non-competition, the use of corporate assets, the use of non-public information for private purposes and the taking advantage of business opportunities corresponding to the Company. Meanwhile, section 39 covers such specific issues that Directors must report to the Company.

Additionally, section 1 of the Board of Directors' Regulations provides that the rules of conduct for directors shall apply, insofar as they are compatible with their specific nature, to senior managers of the Company, namely, the following sections: 32 (duty of confidentiality); 34 (conflicts of interest), with regard to the duty to inform the Company; 35 (use of corporate assets); 36 (non-public information); 37 (business opportunities), and 38 (prohibition to make undue use of the office).

Moreover, with regard to significant shareholders, senior managers and their related parties, section 40 of the Board of Directors' Regulations provides the rules applicable to "transactions with directors and significant shareholders". One of the duties assigned to the Audit and Compliance Committee consists of assessing and reporting on certain related party transactions. In light of this report, it is incumbent on the Annual General Meeting, the Board of Directors or another body with delegated authority, as the case may be, to approve the transaction when appropriate.

Meanwhile, section 4.8 of the Code of Conduct and Responsible Practices of the Group addresses how Inditex's employees must act when faced with a conflict of interest between their personal interests and those of the Company, as well as the situations which need to be reported to the Ethics Committee.

(iv) Measures taken by the Company regarding the clauses on reduction or return of variable remuneration

With regard to the **clauses on reduction** of the deferred remuneration or that force directors to **return** remuneration received when such remuneration has been based on certain figures that have clearly been shown to be inaccurate:

- The Remuneration Committee may propose to the Board of Directors the cancellation of payment or, where appropriate, the clawback of the variable items of the remuneration of executive directors based on results, when these items have been paid on the basis of information clearly shown later to be inaccurate. In such cases, the Committee may also propose the termination of the relationship with the relevant manager and the filing of the relevant claims, all the foregoing pursuant to the terms of section 6 of the Remuneration Committee's Regulations.

In this regard, should (i) any event or circumstance occur that would result in the negative change or variation, in final terms, of the financial statements, results, economic data, performance data or otherwise, upon which the accrual and payment to the executive directors of any amount in terms of variable remuneration would have been based, and, (ii) should such change or variation determine that, if they had become known at the date of accrual or payment, the executive directors would not have received any amount, or, would have received a lesser amount than the one initially paid, the Remuneration Committee may propose to the Board of Directors that the Company claims the clawback of the full sum or of any excess paid (regardless of whether or not the executive director in question is still with the Company at the time of the claim).

- With regard to the current 2021-2025 Long-term Incentive Plan, as well as any outstanding variable remuneration while the Current Text of the Remuneration Policy is in effect, the Company may cancel before payment and/or claim refund of the incentive previously paid, in full or in part, in the event that any of the following unforeseen circumstances would occur during (i) the period immediately before consolidation, or (ii) the 2 years following settlement of the incentive for the executive director's performance in each cycle, as the case may be:
 - (i) losses in the Group (negative PBT) in the 2 years after the expiry of each cycle, attributable to management decisions made in the performance period of each cycle;
 - (ii) material restatement of the Group's financial statements, when so considered by the external auditors, except where this is appropriate pursuant to a change in accounting standards;
 - (iii) serious breach of the internal regulations on the part of the executive directors, as proven by the Ethics Committee.

A.1.3. Amount and nature of fixed components that are due to be accrued during the year by directors in their capacity as such.

Pursuant to section 529septdecies LSC, the directors' remuneration policy must determine the maximum amount of remuneration that may be paid each year by the Company to all directors in their status as such. Under the Current Text of the Remuneration Policy, this maximum amount has been set at €3,380 thousand, in accordance with the current membership on the Board of Directors and its Committees.

Within the limit set by the Annual General Meeting, it is incumbent on the Board of Directors, upon proposal of the Remuneration Committee, to determine how and when such amounts are to be paid. At its meeting held on 14 March 2023 and on the proposal of the Remuneration Committee, the Board of Directors resolved to maintain the following amounts for financial year 2023 as set out in the Current Text of the Remuneration Policy (approved at the 2022 AGM with 98.6% of votes in favour):

- Each director will receive an annual fixed remuneration in the amount of €100,000 for their directorship.
- The Non-Executive Chair of the Board of Directors will receive an additional fixed remuneration of €900,000.
- The Deputy Chair or Deputy Chairs of the Board of Directors will receive an additional fixed remuneration of €80,000.
- Directors who in turn sit on the Audit and Compliance Committee, the Nomination Committee the Remuneration Committee and/or the Sustainability (including the Chair of each Committee) will receive an additional fixed remuneration of €50,000.
- The Chairs of the Audit and Compliance Committee, the Nomination Committee, the Remuneration Committee and the Sustainability Committee, will receive an additional fixed remuneration of €50,000.

Such amounts are fully independent and compatible with each other. They are paid fully in cash.

These items and amounts have remained unchanged since they were approved at the Annual General Meeting held on 19 July 2011 (with 99.59% of votes in favour), except for the fixed remuneration established for the non-executive Chair of the Board of Directors, as a position without executive functions created in financial year 2022, following the full separation of the position of Chair of the Board of Directors and CEO of the Company. This allocation also remains unchanged in 2023.

Except for the remuneration of the CEO for the performance of executive functions, the amounts shown above represent the only remuneration paid to directors of the Company for membership on the Board of Directors of Inditex or any Group company. No *per diems* are paid for attendance at board and committees' meetings, nor is there any remuneration in the form of profit-sharing or bonuses, or remuneration systems or pension plans incorporating variable remuneration, or severance payments for the termination of their relationship with the Company or any other items determined for the performance of executive functions. The remuneration of the (non-executive) Chair of the Board of Directors will not include either any other remuneration and/or compensation item in addition to the above.

The foregoing is notwithstanding the refund to the directors of any reasonable travelling and accommodation fees incurred upon attending the meetings of the Board of Directors or of the Committees where they sit.

Inditex has also taken out a D&O liability policy for directors, officers and staff performing similar duties in the Company.

A.1.4. Amount and nature of fixed components that are due to be accrued during the year for the performance of senior management functions of executive directors.

Pursuant to the provisions of the Current Text of the Remuneration Policy and as anticipated in the Annual Report on the Remuneration of Directors for financial year 2021, the CEO's fixed remuneration for financial year 2023 totals €2,500 thousand, remaining unchanged with respect to financial year 2022 (from the 2022 AGM).

A.1.5. Amount and nature of any component of remuneration in kind that will accrue during the year.

No remunerations in kind exist other than the delivery of shares referred to in the following section regarding variable components of remuneration.

A.1.6. Amount and nature of variable components, differentiating between those established in the short and long terms. Financial and non-financial, including social, environmental and climate change parameters selected to determine variable remuneration for the current year, explaining the extent to which these parameters are related to performance, both of the director and of the company, and to its risk profile, and the methodology, necessary period and techniques envisaged to be able to determine the effective degree of compliance, at the end of the year, with the parameters used in the design of the variable remuneration, explaining the criteria and factors applied in regard to the time required and methods of verifying that the performance or any other

conditions linked to the accrual and vesting of each component of variable remuneration have effectively been met.

Monetary terms of the different variable components according to the degree of fulfilment of the objectives and parameters established, and whether any maximum monetary amounts exist in absolute terms.

With regards to directors in their status as such, including the Chair of the Board of Directors, the fixed remuneration items referred to above are the only remuneration paid to them for membership on the Board of Directors of Inditex. There is no remuneration under a profit-sharing scheme, nor any remuneration systems or schemes covering a variable remuneration.

For the **CEO**, the variable components of his remuneration for the performance of his executive functions, as stipulated in the Remuneration Policy approved at the 2021 AGM and the Current Text of the Remuneration Policy, are as follows:

- Short-term or annual variable remuneration.
- Long-term or multi-year variable remuneration.

Below is a description of the main features of each of such components:

• Short-term or annual variable remuneration:

Annual variable remuneration is tied to the achievement of annual quantitative and qualitative targets, specific, pre-established and quantifiable, aligned with the interest of the Company and consistent with the medium to long-term strategy.

Quantitative targets represent at least 60% of the aggregate incentive. They consist of metrics which ensure an appropriate balance between financial and operational elements of the management of the Company. Non-financial metrics represent at least 30% of the aggregate incentive.

A performance scale is associated, when reasonably possible, to targets. Such scale, fixed at the beginning of each financial year, includes a minimum threshold below which no incentive is paid, a level of achievement on target, which corresponds to the standard level of achievement of targets, and a maximum level of achievement, above which the incentive is not increased. Each metric is associated a specific performance scale, determined and calibrated in accordance with the variability of each of them and the target's level of requirement. In this regard, scales may have different slopes (i.e. relationship between level of achievement and level of payment). Additionally, the scale may include different payout levels between minimum and on target level, and between on target and maximum level of achievement regarding the same target.

The Remuneration Committee is responsible for approving the targets at the beginning of each financial year and evaluating their achievement at year end. This evaluation is done based upon the data and the results provided by the Financial Division, the General Counsel's Office –Compliance Office, the Corporate

Development Department and the Sustainability Department, all of which are first reviewed by the Audit and Compliance Committee and the Sustainability Committee, as the case may be, as well as upon the level of achievement of the relevant targets.

Further to such review, the Remuneration Committee draws up a proposal on annual variable remuneration which is submitted to the Board of Directors for approval. In this proposal, the Remuneration Committee also considers the quality of results in the long-term as well as any associated risk.

For the purposes of ensuring that the annual variable remuneration is effectively aligned with the performance of the CEO, any positive or negative economic effects arising from any extraordinary events which might introduce distortions into the results of the evaluation, may be removed upon determining the level of achievement of the quantitative targets.

In accordance with the Current Text of the Remuneration Policy, the **target amount** of the CEO's **annual variable remuneration**, i.e., the one which corresponds to a level of achievement of the objectives on target, shall be equivalent to **120% of the fixed remuneration** for the performance of executive functions. In case of **overachievement** of the pre-established targets, it could reach a maximum of **125% of the annual target variable remuneration** (150% of the fixed remuneration for the performance of senior management duties, i.e. €3,750 thousand).

The terms of the annual variable remuneration system for the CEO, including the structure, maximum levels of remuneration, targets established and the weight of each of them, are reviewed every year by the Remuneration Committee, considering the Company's strategy, business needs and status, and the recommendations and best practices in the market in the field of remuneration. Such terms are submitted to the Board of Directors for approval.

Namely, the Board of Directors has resolved on 14 March 2023, on the proposal of the Remuneration Committee, that the annual variable remuneration for the CEO in financial year 2023 will be determined in accordance with the following criteria:

Weighting	Target	Measurement criteria
70%	Net sales (35%) and contribution margin (35%)	The same criteria established for senior managers according to the budget of the Company are applied.
15%	CEO's personal performance	Assessment by the Board of Directors, on the proposal of the Nomination Committee.
	Strategic development of the Company	Boost of store and online integration, through the development and implementation of new processes and tools allowing to provide a differentiated customer experience, pursuant to the Groups' targets, along with the ongoing development of new initiatives that strengthen our values of sustainability and responsibility pursuant to the Group's objectives.
15%	Progress in implementation of the strategy towards global sustainability, measured against the following indicators:	(i) Increase in the number of sustainable items, measured through the use of raw materials from preferred sources: cotton, linen, polyester and cellulose fibres. (ii) Progress of the collaborative plan aimed at the environmental improvement of the supply chain, with a focus on reducing water and energy consumption. (iii) Progress towards our commitment that, from 2023, the waste generated at our corporate headquarters, logistics centres, own factories and own stores are appropriately collected and managed to be made available as a resource for repurposing through reuse or recycling. (iv) Percentage of packaging material collected to be recycled or reused in the supply chain (Green to Pack). (v) Development of additionality mechanisms in the renewable energy infrastructure. (vi) Level of implementation of environmental and social projects related to the in-store paper bag and envelope charging initiative. (vii) Progress in the elimination of single-use plastics from customer sales; (viii) Innovation project related to textile recyclability:
	Progress in corporate governance	Degree of compliance with the recommendations of the Good Governance Code of Listed Companies and alignment with international best practices
	Progress in implementing diversity and compliance programmes	Approval of internal regulations and degree of international roll-out

The short-term variable remuneration for 2023 on account of achievement of the above referred targets will be paid in 2024 in cash.

• Multi-year or Long-term variable remuneration

a) 2023 LONG-TERM INCENTIVE PLAN

The Board of Directors plans to submit for approval at the 2023 Annual General Meeting a new long-term cash and share incentive plan for members of the management team, including executive directors and other Inditex Group employees.

b) 2021-2025 LONG-TERM INCENTIVE PLAN

The Annual General Meeting held on 13 July 2021 approved the **2021-2025 Long-Term Incentive Plan**. The Plan consists of the combination of **a multi-year bonus in cash and the promise to deliver shares**, which, once a specific period of time has elapsed and the achievement of the specific targets has been verified, will be paid to the beneficiaries of the Plan, either in full or in the relevant applicable percentage, as the case may be.

The total duration of the Plan is **4 years**. It is structured in **2 overlapping** independent cycles:

- The first cycle of the Plan runs from 1 February 2021 to 31 January 2024.
- The second cycle runs from 1 February 2022 to 31 January 2025.

The Plan is linked to the Company's strategic objectives for the duration thereof. Upon completion of the performance period of each cycle, the Remuneration Committee shall assess the achievement reached for each objective and of the cycle as a whole, based on the data and results provided by the Financial Division, the General Counsel's Office, the Compliance Office and the Sustainability Department, and analysed first by the Audit and Compliance Committee and the Sustainability Committee, as appropriate. On the basis of this information, the Remuneration Committee shall propose, for approval by the Board of Directors, the performance-related incentive levels based on the established performance scales. Upon setting the targets and evaluating the achievement thereof, the

Remuneration Committee will also take into consideration any associated risk. When determining the level of target achievement any positive or negative economic impact caused by extraordinary events that could distort the results of the evaluation is disregarded.

Under such Plan, executive directors will receive, if appropriate, an incentive which will materialize as follows: **60% in shares** and **40% in cash**. Regarding 60% of the incentive which would, if appropriate, be settled in shares, the number of shares to be granted at the commencement of each cycle will be determined based upon the average weighted share price on the 30 trading days immediately prior to the commencement date of each cycle. Upon expiry of each cycle, the Remuneration Committee will assess the level of achievement of objectives and propose the number of shares to be delivered.

The CEO has undertaken to hold for a term of at least 3 years the net shares that he may receive as a result of any element of variable remuneration, until he holds a number of shares equivalent to at least 2 years of his fixed remuneration. In any case, once this shareholding target has been reached, the CEO must comply with the holding obligations under this Plan, which involve holding a number of shares equivalent to the incentive received in shares, net of applicable taxes, for two years after their delivery.

Likewise, the Company may **cancel** before payment **and/or claim refund** of the long-term incentive previously paid, in full or in part, (clawback) should certain unforeseen circumstances occur during the 2 years following the delivery of the incentive for the proceedings of each cycle. Such specific circumstances have been addressed in section A.1 above.

The incentive amounts and features for the two cycles of the 2021-2025 Plan are detailed below.

- The **maximum amount of the incentive** assigned to the CEO would amount to:

	Maximum Incentive	=	Cash	+	Shares
First Cycle (2021-2024)	118% of annual fixed remuneration		€1,183 thousand		68,562
Second Cycle (2022-2025)	133% of annual fixed remuneration		€1,331 thousand		71,472

- With regard to the first cycle (2021-2024), the specified amount includes the total incentive granted for the full cycle taking into account the different positions held by the CEO, i.e. the amount granted for the performance of duties as General Counsel and Secretary of the Board in 2021 and the amount assigned as CEO, in accordance with the Remuneration Policy approved at the 2021 AGM, in force at the time of such assignment. The incentive, which is expressed as a percentage of the annual fixed remuneration, is calculated based on a fixed remuneration of €2,500 thousand (this amount corresponds to the annual fixed remuneration set for the CEO in accordance with the Current Text of the Remuneration Policy).
 - For the second cycle (2022-2025) the amount shown includes the total incentive allocated for the full cycle taking into account his sole position as CEO.
 - Upon expiry of each cycle, the Remuneration Committee will assess the level of target achievement and propose the cash amount and the number of shares to be delivered. Target achievement will be measured through identifiable and quantifiable parameters known as metrics.
- The incentive for the first cycle (2021-2024) will vary depending upon the following **metrics**, with the following weighting:

Weighting	Target	Measurement criteria
25%	Profit before Taxes ("PBT")	PBT figure for financial year 2023, expressed in euros, compared to the amount set by the Board of Directors as a target at the commencement of the first cycle.
25%	Store and Online Sales ("TTTT" (Spanish acronym))	Amount in euros of total sales in store and online in financial year 2023 at constant currency, according to the Company's information, measured against the amount set by the Board of Directors as a target at the commencement of the first cycle.
12.5%	Absolute Total Shareholder Return ("TSR")	Performance of an investment in Inditex shares over the period of the first cycle, determined by the ratio (expressed as a percentage) between the final value of a hypothetical investment in Inditex shares (reinvesting the dividends from time to time) and the initial value of that same hypothetical investment. The initial value is defined as average weighted share price on the 30 trading days immediately prior to 1 February 2021, excluding 1 February 2021 ¹ , and the final value is defined as average weighted share price on the 30 trading days immediately prior to 31 January 2024 (included). To this end, for calculating such final value, the dividends or other similar amounts received by shareholders on said investment during the respective period of time will be considered, as if the gross amount thereof (before taxes) would have been reinvested in more shares of the same class on the first date on which the dividend or any similar amount is payable to shareholders and at the closing share price on that date. The TSR achieved will be measured against the target set by the Board of Directors at the commencement of the first cycle.
12.5%	Relative Total Shareholder Return ("TSR")	Comparison of the evolution of an investment in Inditex's shares with the evolution of an investment in shares of any of the companies included in the Peer Group of companies (as defined below), determined by the ratio (expressed as a percentage) between the final value of a hypothetical investment in shares (reinvesting the dividends from time to time) and the initial value of that same hypothetical investment. The initial value of Inditex and the companies in the Peer Group is defined as the weighted average share price on the 30 trading days immediately prior to 1 February 2021 (excluded), and the final value is defined as the weighted average share price on the 30 trading days immediately prior to 31 January 2024 (included). To this end, for calculating such final value, the dividends or other similar amounts received by shareholders on said investment during the respective period of time will be considered, as if the gross amount thereof (before taxes) would have been reinvested in more shares of the same class on the first date on which the dividend or any similar amount is payable to shareholders and at the closing share price on that date.
25%	Sustainability index (comprising 4 indicators)	(i) Sustainable product, measured as the percentage of sustainable garments. (ii) Waste management, measured as the percentage of Inditex facilities (headquarters, factories, logistics centres and stores) where a waste management system for an appropriate waste recycle, recovery and processing is in place, to be made as a resource for repurposing through reuse or recycling. (iii) Decarbonisation, measured as the reduction in the volume of greenhouse gas emissions in the company's own operations (Scope 1 and 2). (iv) Social, measured as the percentage of Inditex suppliers rated A or B in social audits.

1. Having found that the resolution passed at the Annual General Meeting regarding the approval of the aforementioned 2021-2025 Long-Term Incentive Plan erroneously refers to a reference price of €25.81 per share for the first cycle of the Plan, when the average weighted price of the Company's shares on the 30 trading days immediately prior to 1 February 2021 (exclusive) was €25.88 per share, the Board of Directors of Inditex resolved, on the proposal of the Remuneration Committee, to set the amount of the average share price at such amount, pursuant to the authority granted to the Board by the Annual General Meeting to rectify the resolution passed at the AGM.

- For the purpose of calculating the payout ratio attained for each level of achievement of targets, a **performance scale** will be determined for each metric, set at the commencement of the cycle, which will include a minimum threshold below which no incentive will be paid, corresponding to a payout ratio of 30% of the maximum incentive granted, and a maximum level, corresponding to a payout ratio of 100% of the Maximum Incentive Granted. For intermediate levels, the results shall be determined by linear interpolation.

– PBT, TTTT, absolute TSR and Sustainability Index, the following will be measured:

Level of Incentive	
Level of achievement	(% of Maximum Incentive)
Below minimum	0%
Minimum	30%
Maximum	100%

Intermediate figures are calculated by linear interpolation.

- Regarding the evolution of relative TSR:
 - The Peer Group is made up of the companies included in the Dow Jones Retail Titans 30 index (the "Peer Group").

In this respect, for the first cycle (2021-2024), the index will be considered as it stood on 1 February 2021.

- At the end of the cycle, Inditex's TSR and the TSR of each company included in the Peer Group will be calculated. Afterwards, Inditex's TSR will be compared with the TSR of the companies within the Peer Group to identify between which positions Inditex is ranked. Subsequently, the portion of the incentive to be delivered shall be calculated, interpolating between the payout ratios of such positions, according to the difference between TSR values in accordance with the following scale:

Level of achievement	Place in ranking	Level of Incentive (% of maximum Incentive)
Below minimum	< 15th (median)	0%
Minimum	= 15th (median)	30%
Maximum	≥ 5th	100%

For intermediate positions, the payout ratio will be calculated by linear interpolation.

In order to be eligible to receive the relevant incentive, as a general rule, beneficiaries must remain in the Company until expiry of the accrual period.

The incentive for the second cycle (2022-2025) will vary depending upon the following **metrics**, with the following weighting:

Weighting	Target	Measurement criteria
25%	Profit before Taxes ("PBT")	PBT figure for financial year 2024, expressed in euros, compared to the amount set by the Board of Directors as a target at the commencement of the second cycle.
25%	Store and Online Sales ("TTTT" (Spanish acronym))	Amount in euros of total sales in store and online in financial year 2024 at constant currency, according to the Company's information, measured against the amount set by the Board of Directors as a target at the commencement of the second cycle.
12.5%	Absolute Total Shareholder Return ("TSR")	Performance of an investment in Inditex shares over the period of the second cycle, determined by the ratio (expressed as a percentage) between the final value of a hypothetical investment in Inditex shares (reinvesting the dividends from time to time) and the initial value of that same hypothetical investment. The initial value is defined as average weighted share price on the 30 trading days immediately prior to 1 February 2022 (excluded), and the final value is defined as average weighted share price on the 30 trading days immediately prior to 31 January 2025 (included). To this end, for calculating such final value, the dividends or other similar amounts received by shareholders on said investment during the respective period of time will be considered, as if the gross amount thereof (before taxes) would have been reinvested in more shares of the same class on the first date on which the dividend or any similar amount is payable to shareholders and at the closing share price on that date. The TSR achieved will be measured against the target set by the Board of Directors at the commencement of the second cycle.

Weighting	Target	Measurement criteria
12.5%	Relative Total Shareholder Return ("TSR")	The relative TSR is defined as the performance of an investment in Inditex shares compared to the performance of an investment in a Peer Group (as defined below) during the period corresponding to the second cycle, determined by the difference (by subtraction) between Inditex's annualised TSR and the annualised TSR of this Peer Group. In order to calculate the performance of the investment in shares of Inditex and of each company in the Peer Group, we determine the quotient (expressed as a percentage ratio) between the final value of a hypothetical investment in shares (reinvesting the dividends from time to time) and the initial value of that same hypothetical investment. The initial value is average weighted share price of each company on the 30 trading days immediately prior to 1 February 2022 (excluded) (the "Initial Value"). The final value is average weighted share price of each company on the 30 trading days immediately prior to 31 January 2025 (included) (the "Final Value"). To this end, for calculating such Final Value, the dividends or other similar amounts received by shareholders on said investment during the respective period of time will be considered, as if the gross amount thereof (before taxes) would have been reinvested in more shares of the same class on the first date on which the dividend or any similar amount is payable to shareholders and at the closing share price on that date.
25%	Sustainability index (comprising 4 indicators)	(i) Fibre consumption: measured as the reduction in percentage points of the weight of conventional fibres in total fibre consumption (in tn), for the four fibres subject to a public commitment (cotton, polyester, man-made cellulosic fibres and linen). (ii) Water consumption: measured as the percentage reduction of water consumption (litre/kg) in the supply chain. (iii) Decarbonisation: measured as the percentage reduction in the volume of Scope 3 greenhouse gas emissions in the category "goods and services purchased". (iv) Social: measured as the percentage of suppliers of Inditex products that are classified with social ranking A and B.

- For the purpose of calculating the payout ratio attained for each level of achievement of targets, a **performance scale** will be determined for each metric, set at the commencement of the cycle, which will include a minimum threshold below which no incentive will be paid, corresponding to a payout ratio of 30% of the maximum incentive granted, and a maximum level, corresponding to a payout ratio of 100% of the maximum incentive granted. For intermediate levels, the results shall be determined by linear interpolation.

Level of achievement	Level of Incentive
	(% of Maximum Incentive)
Below minimum	0%
Minimum	30%
Maximum	100%

Intermediate figures are calculated by linear interpolation.

Regarding the evolution of relative TSR:

- The Peer Group consists of 14 competitors in the textile industry whose share price can be potentially impacted by external factors similar to Inditex's, as shown below: Nike, Fast Retailing, Lululemon Athletica, Adidas, H&M, Associated British Foods, VF Corporation, Burberry, Next, Puma, Zalando, JD Sports Fashion, Ralph Lauren Corporation and Hugo Boss.

This Peer Group marks a departure from the Dow Jones Retail Titans 30 index, which Inditex has been using to measure relative TSR since the 2013-2016 cycle of the 2013-2017 Long-Term Incentive Plan.

The original makeup of the Dow Jones Retail Titans 30 index, though biased towards North American companies, consisted of retailers whose business models were based

on store sales or a combination of online and store sales, similar to Inditex. However, the index's makeup has shifted from European to Asian companies with an increasingly broader definition of "retail" and now includes a significant number of companies with a purely online business model at a different stage of the life cycle than Inditex.

As a result, the Remuneration Committee has conducted a thorough analysis with a view to defining a peer group to appropriately reflect the performance of Inditex share in comparison to relevant peer companies, as well as its operating dynamics and complexity as an organisation in the medium term.

The following selection criteria were applied:

- Consumer discretionary textile sector, excluding the luxury segment.
- Business model: mainly a combination of store and online sales.
- Companies whose results are monitored by Inditex.
- Share price correlation from 30%.
- Volatility +/- 25 p.p. with respect to the volatility of Inditex share.
- Higher proportion of European companies.
- Mainly mature companies.

As part of the selection process, a simulation of Inditex's TSR result and the TSR of this new Peer Group for the period covering the last four long-term incentive cycles that Inditex has had in place has been carried out to ensure that it

appropriately reflects the performance of Inditex's share in comparison to that of the selected peer companies.

- The following will be calculated at the end of the second cycle:
 - Inditex's TSR and the TSR of each company in the Peer Group for the 2022-2025 period.
 - The arithmetic mean of the TSR of each company, resulting in the average TSR for the Peer Group.
 - Inditex's annualised TSR and the annualised TSR of the Peer Group.

Next, the difference (by subtraction) between Inditex's annualised TSR and the annualised TSR of the Peer Group will be calculated. This difference will be compared against the target set by the Board of Directors at the beginning of the second cycle and a payout ratio, ranging from 0% to 100% of the maximum incentive granted, will be applied in accordance with the specified scale.

In order to be eligible to receive the relevant incentive, as a general rule, beneficiaries must remain in the Company until expiry of the accrual period.

c) 2019-2023 LONG-TERM INCENTIVE PLAN:

The second cycle (2020-2023) of the **2019-2023 Long-Term Incentive Plan** approved at the Annual General Meeting held on 16 July 2019 expired on 31 January 2023. The characteristics and incentive amounts associated with each of the cycles are specified in section B of this Report, which includes information on the application of the Remuneration Policy in financial year 2022.

A.1.7. Main characteristics of long-term savings systems.

Pursuant to the Current Text of the Remuneration Policy, the CEO is not a beneficiary of any long-term saving system, including retirement and/or any other survivor benefit, partly or wholly funded by the Company. In any event, provision is made for the possibility that the Board of Directors may implement such a system for executive directors during its term.

A.1.8. Any type of payment or indemnification for early termination or dismissal, or deriving from the termination of the contractual relationship, in the terms provided, between the company and the director, whether at the company's or the director's initiative, as well as any type of agreement reached, such as exclusivity, post-contractual non-competition, minimum contract term or loyalty, that entitles the director to any kind of remuneration.

No severance pay has been agreed in case of termination of duties as director, except for that provided in subparagraphs iii) and iv) of the following section regarding the CEO for the performance of executive functions.

A.1.9. State the conditions that contracts should

respect for those exercising senior management duties as executive directors.

Pursuant to the provisions of sections 249 and 529*octodecies* LSC and section 30.3 of the Board of Directors' Regulations, the relevant terms of the contracts entered into with executive directors are detailed below:

(i) Term

The Chief Executive Officer's contract has an indefinite term.

(ii) Notice period

Both in case of termination of the contract on account of certain grounds attributable to Inditex, and on account of voluntary resignation of the executive director, notice shall be given at least 3 months in advance. Such notice may be replaced with an amount equivalent to the fixed remuneration of the non-observed term of notice.

(iii) Golden parachute clause

The CEO shall be entitled to severance pay in a gross amount equivalent to the remuneration of **two (2) years** calculated based upon the sum of his **annual fixed and variable remuneration**, established for the current year, where the relevant contract is terminated by unilateral decision of the Company, as well as in case of resignation tendered by the CEO under certain premises (including the succession in the company or a change in control in the Company that affects more than 50% of the share capital or of the voting rights, provided that a significant refreshment of the governing bodies of the Company or a change in the contents or purpose of the main business activity of the Company takes place at the same time, if such request for termination is made within six months of the occurrence of such succession or change. For such purpose, no succession or change in control shall be deemed to have taken place in the event of direct or indirect family succession in the ownership of the Company).

(iv) Agreement on exclusivity and post-contractual non-compete obligation

For as long as his contractual relationship with Inditex remains in force, the CEO shall perform his senior management functions exclusively for the Company and the Inditex Group, and he shall refrain from working either directly or indirectly for any third parties, or for his own account, even where the activities he may carry out would not compete with those of the Inditex Group. This provision does not apply to the office of non-executive director on the board of other companies which do not compete with Inditex, subject to the restrictions set out in the Board of Directors' Regulations.

Under the terms and conditions of his contract, compensation for the post-contractual non-compete obligation is included in the severance payment.

With regard to the post-employment non-compete agreement and as regards all members of the Board of Directors, irrespective of their directorship type, section 24.3 of the Board of Directors' Regulations provides that "the director who ends his/her mandate or for any other cause should cease to hold his/her office may not render service in another entity having a corporate purpose that is similar to that of the company for a period of two years".

(v) Clawback provision

Pursuant to the provisions of section A.1 above, should (i) any event or circumstance occur that would result in the negative change or variation, in final terms, of the financial statements, results, economic data, performance data or otherwise, upon which the accrual and payment to the executive director of any amount in terms of variable remuneration would have been based, and, (ii) should such change or variation determine that, if they had become known at the date of accrual or payment, the executive director would have received a lesser amount than the one initially paid, the Company shall be entitled to claim from him clawback of any excess paid.

Additionally, as explained in section A.1 above, the Company may cancel and/or claim the clawback of the long-term incentive previously paid to the executive director, in full or in part, in the event of occurrence of certain unforeseen circumstances during the 2 years following the delivery of the incentive.

A.1.10. The nature and estimated amount of any other supplementary remuneration accrued by directors in the current year in consideration for services rendered other than those inherent in their position.

Directors will not receive in the current year any remuneration other than that accrued for the services rendered in their position.

A.1.11. Other items of remuneration such as any deriving from the company's granting the director advances loans or guarantees or any other remuneration.

The granting of advance payments, loans or guarantees to directors is not covered in the Current Text of the Remuneration Policy.

As at the date of this Report, no advanced payment, loans or guarantees have been granted to any director.

A.1.12. The nature and estimated amount of any other planned supplementary remuneration to be accrued by directors in the current year that is not included in the foregoing sections, whether paid by the company or by another group company.

No supplementary remuneration other than the one explained above is provided in the Current Text of the Remuneration Policy.

As at the date of this Report, no supplementary remuneration has been accrued to directors in consideration for services rendered other than those inherent in their position, nor any additional remuneration item other than those addressed in the sections above.

A.2. Significant changes in the Remuneration Policy applicable in the current year.

No changes to the Current Text of Inditex's Remuneration Policy are expected in 2023, which, as explained in section A.1.1. above, is the consolidated text of the Remuneration Policy approved at the 2021 AGM, with 98.42% of votes in favour, after its amendment, approved at the 2022 AGM, with 98.6% of votes in favour. The Policy expires on 31 January 2024.

The Board of Directors plans to submit for approval at the 2023 Annual General Meeting the following proposed resolutions as separate agenda items: (i) the Annual Report on Remuneration of Directors for the year ended 31 January 2023 (to be submitted to an advisory say-on-pay vote); (ii) the new Directors' Remuneration Policy for financial years 2024, 2025 and 2026; and (iii) a cash and shares Long-Term Incentive Plan for the management team, including the executive directors and other Inditex Group employees. The terms of this new plan will be in line with the Current Text of the Remuneration Policy.

The new Remuneration Policy for financial years 2024, 2025 and 2026 is expected to have the same approach as the current one, maintaining the fundamental lines applied in previous years, although it might include some adjustments to reinforce its alignment with all stakeholders, particularly, the shareholders, with the Group's strategy and with the best corporate governance recommendations on remuneration matters.

A.3. Direct link to the document containing the company's current remuneration policy, which must be available on company's website.

A link to the Current Text of the Remuneration Policy applicable for financial year 2023 is provided below:

https://www.inditex.com/itxcomweb/api/media/6ff2001c-e0c9-4ce1-b8c9-46d12fe882f1/13.+AGM2022_Amendment+Remuneration+Policy+2021_2023.pdf?t=1657885632301

A.4. Consideration on the voting by the General Shareholders' Meeting on the annual report on remuneration for the previous year.

The 2022 AGM approved the following:

- The amendment to the Remuneration Policy approved at the 2021 AGM with 98.6% of votes in favour.
- The Annual Report on the Remuneration of Directors for financial year 2021 with 97.07% of votes in favour.

Since the first directors' remuneration policy was approved, the Annual Reports on the Remuneration of Directors have been broadly supported by shareholders in the advisory say-on-pay vote and, in addition, by institutional investors and proxy advisors.

B. Overall summary of how remuneration policy has been applied during the year ended

As discussed in section A.1.1. of the Report on the Remuneration of Directors for financial year 2021, a distinction must be made between two periods in financial year 2022 based on the corporate governance structure in place and the Remuneration Policy that has been applied during the period:

- From 1 February to 31 March 2022, a transitional period for the transfer of duties from Mr Pablo Isla Álvarez de Tejera, Executive Chairman during such period, to the CEO, Mr Óscar García Maceiras. The Directors' Remuneration Policy approved at the 2021 AGM was applicable in this period.
- From 1 April 2022 to 31 January 2023, the period starting with a new (non-executive) Chair of the Board of Directors, Ms Marta Ortega Pérez, and the CEO as the sole executive director. Again, two different time intervals should be considered in this period:
 - Between 1 April and the date of the 2022 AGM, directors' remuneration was in accordance with the Remuneration Policy approved at the 2021 AGM.
 - From the 2022 AGM until 31 January 2023, remuneration was in accordance with the Current Text of the Remuneration Policy and the agreement regarding the novation of Mr Isla's post-contractual non-compete clause, both of which were approved at the 2022 AGM.

Corporate governance structure	Period	Remuneration to be paid under the following Remuneration Policy
Transitional period for the transfer of duties from the previous Executive Chairman to the CEO	01/02/22 – 31/03/22	Remuneration Policy approved at the 2021 AGM.
(Non-executive) Chair of the Board of Directors and CEO fully in office	01/04/22 – Date of the 2022 AGM	Current Text of the Remuneration Policy (as amended and approved at the 2022 AGM).
	Date of the 2022 AGM – 31/01/23	Specific resolution of the 2022 AGM on the post-contractual non-compete clause.

The following sections detail the application of the Remuneration Policy applicable to financial year 2022.

B.1.1. Process followed to apply the remuneration policy and determine the individual remuneration contained in Statistical Appendix. Role of the Remuneration Committee, decisions made by the Board of Directors and role played by external advisors.

B.1.1. a) Composition of the Remuneration Committee.

As provided in Article 30 of the Articles of Association, section 17 of the Board of Directors' Regulations, and section 7 of the Remuneration Committee's Regulations, the Remuneration Committee shall be made up of a number of at least 3 and at most 7 non-executive directors, a majority of whom must be independent directors.

Members of the Remuneration Committee are appointed by the Board of Directors following a report of the Nomination Committee. The Chair of the Remuneration Committee is also appointed by the Board of Directors, out of the independent members of such Committee.

As of 31 January 2023 and as at the date of this Report, the Remuneration Committee was made up of the following members, **most** of them **independent directors** (all, except Mr José Arnau Sierra, proprietary director):

Mr Rodrigo Echenique Gordillo (Chair, Independent Director)	Bns. Denise Patricia Kingsmill (Member, Independent Director)
Mr José Arnau Sierra (Member, Proprietary Director)	Mr José Luis Durán Schulz (Member, Independent Director)
Mr Emilio Saracho Rodríguez de Torres (Member, Independent Director)	

As of 31 January 2023, Mr Javier Monteoliva Díaz is the Secretary non-member of the Committee, having been appointed by the Board of Directors following a favourable report from the Nomination Committee, on 29 November 2021.

The Remuneration Committee meets whenever it is deemed appropriate for its smooth operations, and in any case, whenever the Board of Directors or its Chair requests the issuing of a report or the issue of proposals within its purview. Moreover, the Remuneration Committee shall hold a regular meeting every year to prepare the information on the remuneration of directors, which the Board of Directors has to approve and include as part of its annual public documentation.

During the meeting that the Board of Directors holds immediately after each meeting of the Remuneration Committee, the Chair of the latter informs Board members of the business transacted in the course of such meeting.

B.1.1. b) Process followed to enforce the Remuneration Policy and determine individual remunerations.

The duties of the Remuneration Committee are covered in Article 30 of the Articles of Association, section 17 of the Board of Directors' Regulations and sections 5 and 6 of the Remuneration Committee's Regulations.

The Remuneration Committee met five (5) times in 2022, with the attendance of all its members (either in person or by proxy). This represents a 100% attendance rate. In financial year 2023 to the date of release of this Report, the Committee has met once.

At the aforementioned meetings, the Remuneration Committee has discussed, inter alia, the following matters and has resolved, where appropriate, to submit them to the Board of Directors for approval:

- In the meeting held on 14 March 2022:
 - Regarding Mr Isla and the outgoing CEO:
 - The evaluation of the level of achievement of the targets tied to the annual variable remuneration of the former Executive Chairman, Mr Isla, and the former CEO, Mr Crespo, for financial year 2021 and the payout level for each one. The Board of Directors approved the achievement of these targets at its meeting held on 15 March 2022 along with the corresponding level of the incentive payment.
 - The evaluation of the level of achievement of the targets for the various metrics to which the first cycle (2019-2023) of the 2019-2023 Long-Term Incentive Plan was tied and the corresponding payout level for the former Executive Chairman and CEO. At its meeting held on 15 March 2022, the Board of Directors approved the achievement of these targets and the corresponding level of the incentive payment.
 - In relation to the former Executive Chairman's departure:
 - The proposed settlement of the current long-term incentives, i.e. the second cycle (2020-2023) of the 2019-2023 Long-Term Incentive Plan and the first cycle (2021-2024) of the 2021-2025 Long-Term Incentive Plan. The proposed settlement was approved by the Board of Directors on 15 March 2022.
 - The proposal to the Board of Directors regarding the assessment of the target to which the annual variable remuneration for the period from 1 February to 31 March 2022 was tied and the settlement of such remuneration. The Board of Directors approved the proposed settlement at its meeting held on 15 March 2022.
 - The proposed settlement of the pro-rated part of the accrued fixed remuneration for FY2022 corresponding to the payments for the months of July and December. The Board of Directors approved the proposed settlement at its meeting held on 15 March 2022.

– Regarding the new CEO:

- The assessment of the level of achievement of the targets tied to the CEO's annual variable remuneration for financial year 2021, and the corresponding payout level (pro-rated according to the time spent in office in the aforementioned financial year). At its meeting held on 15 March 2022, the Board of Directors approved the achievement of these targets and the level of the incentive payment.
- The assessment of the level of achievement of the targets for the various metrics to which the first cycle (2019-2022) of the 2019-2023 Long-Term Incentive Plan was tied and the corresponding payout level. At its meeting held on 15 March 2022, the Board of Directors approved the achievement of these targets and the level of the incentive payment.
- The proposal to the Board of Directors on the new total remuneration package of the CEO for the performance of his duties and responsibilities as chief executive under the new corporate governance structure, including the terms of his contract, for financial year 2022. Thus:

With a view to proposing to the Board of Directors the **fixed remuneration** of the position of **CEO**, the Remuneration Committee carried out a reflection exercise where it considered the following **factors and** applied the following **criteria**:

- The principles and foundations set out in the Remuneration Policy approved at the 2021 AGM. In particular, the principle whereby this fixed remuneration must represent a sufficient part of their compensation package for the sake of achieving an appropriate balance between fixed and variable remuneration items.
- The new corporate governance structure under which the roles of Chair and CEO are separate and the position of Chair of the Board of Directors is non-executive.
- The consistency with the responsibility and duties as chief executive and leadership within the organisation, in line with the remuneration paid in the market by comparable companies.
- The extent to which fixed and total remuneration is appropriate to reward the value of the contribution of the position and the individual, both to the Company and to shareholders.
- Internal fairness with regard to the remuneration of the members of the Management Committee, made up of officers of the Inditex Group with a long track record and from different corporate and business areas.
- Guidelines from institutional investors and proxy advisors, as well as feedback received from them in the Company's regular consultation process.
- Total remuneration benchmarking for the lead executive in various comparator groups.

In view of the foregoing considerations, the Remuneration Committee proposed to set a fixed remuneration for the CEO amounting to €2,500 thousand on an annualised basis.

On the other hand, the specific amount of the **annual variable remuneration** (expressed as a percentage of the annual fixed remuneration) and the amount of the **long-term incentive** remained **unchanged** from those set out in the Remuneration Policy approved at the 2021 AGM.

The CEO's total remuneration was midway between the remuneration set out in the Remuneration Policy approved at the AGM 2021 (prior to its amendment) for the former Executive Chairman and CEO of the Company.

In addition, the Remuneration Committee reviewed Mr García Maceiras' contractual conditions as CEO specifically in relation to the **golden parachute and post-contractual non-compete clause**, in order to protect the interests of the Company and its shareholders, as detailed in section B.11. below.

The Board of Directors approved Mr Óscar García Maceiras' proposed remuneration for the performance of his executive functions, along with the terms of his new contract, at its meeting held on 15 March 2022.

- The proposal to the Board of Directors regarding the remuneration of the (non-executive) Chair of the Board of Directors in the new corporate governance structure.

In order to propose this specific remuneration to the Board of Directors, the Committee carried out a reflection exercise in financial year 2022, taking into account the following factors:

- The intrinsic value of the person holding the position, due to her knowledge of the retail business in the fashion industry and of the Inditex Group, where she has carried out different roles and performed different duties, and her importance from an institutional perspective.
- The special responsibility of the position and the criticality of the duties inherent thereto. Specifically, in addition to the duties inherent to the position of Board Chair, the (non-executive) Chair of the Board of Directors of Inditex has under her direct responsibility the areas of Internal Audit, General Counsel's Office, and Communication.
- Exclusive and additional dedication with respect to the members of the Board of Directors.
- Recommendations from institutional investors and proxy advisors, as well as general corporate governance recommendations.

- Market practices in relevant European countries. For this purpose, the amounts and remuneration practices for the remuneration of (non-executive) board chairs in the companies that make up the main stock market indices (Ibex-35 in Spain, CAC40 in France, FTSE MIB in Italy, DAX40 in Germany, SMI20 in Switzerland and FTSE 100 in the United Kingdom) were analysed.

As a result of the aforementioned analyses, the Remuneration Committee proposed to the Board of Directors to establish a specific fixed remuneration for the position of (non-executive) Chair of the Board of Directors, which amounts to €900,000 (annualised) and which will be paid in cash. Such proposal was approved by the Board of Directors on 15 March 2022.

- The proposal to increase the maximum amount of remuneration that the Company may pay annually to all directors in their status as such up to €3,380 thousand. Such proposal was approved by the Board of Directors on 15 March 2022.
 - The proposal to amend the Remuneration Policy approved at the 2021 AGM, for evaluation and approval by the Board of Directors and subsequent submission to the binding vote at the 2022 AGM. The Board of Directors approved such Report on 15 March 2022.
 - The proposed Annual Report on Remuneration of Directors for financial year 2021 to be submitted to the Board of Directors for evaluation and subsequent approval, and then to be submitted to an advisory say-on-pay vote at the 2022 AGM. The Board of Directors approved such Report on 15 March 2022.
- In the meeting held on 12 September 2022:
 - The Committee submitted to the Board of Directors the proposal for the CEO's new contract in accordance with the Current Text of the Remuneration Policy, approved at the 2022 AGM, which sets out the new remuneration package for the CEO for the performance of his duties and responsibilities as the only executive director under the current corporate governance structure. The Board of Directors approved such contract on 13 September 2022.
 - Monitoring and assessing the impact of the crisis arising from the Russia-Ukraine conflict on the conditions of the current long-term incentive plans.

- In the meeting held on 12 December 2022:
 - Monitoring of the expected level of achievement of the second cycle (2020-2023) of the 2019-2023 Long-Term Incentive Plan.

- The proposal of a new peer group and calculation methodology for the Relative TSR and of performance scales for the second cycle (2022-2025) of the 2021-2025 Long-Term Incentive Plan for each metric and the favourable report on the draft Annex III to the Regulations of such Plan. The Board of Directors approved the text of the aforementioned Annex III to the Regulations of the Plan at its meeting held on 14 December 2022.
- The acknowledgement of the list of beneficiaries for this second cycle.
- In the meeting held on 13 March 2023:
 - The evaluation of the level of achievement of the targets tied to the annual variable remuneration and the second cycle (2020-2023) of the 2019-2023 Long-Term Incentive Plan for the CEO for financial year 2022. The Board of Directors evaluated the achievement of such targets in the meeting held on 14 March 2023.
 - The proposal submitted to the Board of Directors on the remuneration of the CEO for the performance of executive functions in 2023, with regard to the amount and the remaining terms thereof. Such proposal was approved by the Board of Directors on 14 March 2023.
 - The draft of the Annual Report on Remuneration of Directors for financial year 2022 to be submitted to the Board of Directors for evaluation and subsequent approval, and to be subsequently submitted to an advisory say-on-pay vote at the 2023 Annual General Meeting. The Board of Directors approved such Report on 14 March 2022.

The information on the remaining proceedings of the Remuneration Committee in 2022 will be included in the Annual Corporate Governance Report and in the Annual Activities Report of the Remuneration Committee, which will be published in June.

B.1.1. c) Identity and role of external advisors.

To better perform its functions, the Remuneration Committee may request the Board of Directors to engage legal, accounting, financial or other experts at the expense of the Company.

In this regard, the Remuneration Committee has been advised in financial year 2022 by WTW, an independent consultant specialising in the field of compensation of directors and senior managers, (i) in the preparation of the Annual Report on the Remuneration of Directors for financial year 2021, (ii) the design of the 2021-2025 Long-Term Incentive Plan, (iii) the preparation of remuneration benchmarking on the remuneration of non-executive chairs of the board of directors and executive directors with full executive functions, (iv) the amendment of the Remuneration Policy and (v) the assessment of the implications for remuneration arising from the departure of the previous Executive Chairman. On this latter issue, the Committee was also assisted by law firm Uría & Menéndez, which provided legal advice on corporate governance and post-contractual non-compete clauses.

B.1.2. Explain any deviation from the procedure established for the application of the remuneration

policy that has occurred during the year.

Regarding the former Executive Chairman, section B.10. sets out the terms of the novation of the executive services contract entered into between Mr Isla and the Company, dated 17 March 2015, the purpose of which was to update the post-contractual non-compete agreement. Since the amount in this update exceeded the provisions in the Remuneration Policy approved at the 2021 AGM with regard to severance payments for executive directors, at its meeting held on 14 December 2021 and on the proposal of the Remuneration Committee, the Board of Directors resolved to submit to the Annual General Meeting for approval the proposal regarding the Novation of Mr Isla's contract, the offer for which Mr Isla accepted on 15 March 2022. The 2022 AGM approved this resolution with 97.89% of votes in favour.

There were no other deviations from the established procedure for the application of the Remuneration Policy in financial year 2022.

B.1.3. Temporary exceptions to the remuneration policy and exceptional circumstances that have led to the application of these exceptions, the specific components of the remuneration policy affected and the reasons why the company deems that these exceptions have been necessary to serve the long-term interests and sustainability of the company as a whole or to ensure its viability. Quantification of the impact the application of these exceptions has had on the remuneration of each director in the financial year.

No temporary exceptions to the Remuneration Policy (in the two applicable versions thereof) have been applied during financial year 2022.

B.2. Actions taken to align the remuneration system with the long-term targets, values and interests of the Company, and measures to guarantee that the long-term results of the Company have been taken into consideration in the remuneration accrued. Actions taken regarding the remuneration system to reduce exposure to excessive risks and measures to avoid conflicts of interest.

B.2.1. Actions taken to align the remuneration system with the long-term targets, values and interests of the Company, and measures to guarantee that the long-term results of the Company have been taken into consideration in the remuneration accrued.

The measures taken in 2022 to ensure that **long-term results** of the Company **are considered** in the **application** of the Remuneration Policy are described below:

- Executive directors' total remuneration comprises different remuneration elements, mainly consisting of: (i) a fixed remuneration, (ii) a short-term variable remuneration (annual), and (iii) a long-term variable remuneration (multi-year).
- In financial year 2022, this long-term element had a weighting of approximately 40% of the total remuneration (fixed + short-term variable + long-term variable) for the executive directors.
- Long-term variable remuneration plans are part of a multi-year framework to ensure that the evaluation is based upon long-term results and that the underlying economic cycle of the Company is considered therein.
- Part of this remuneration is granted and delivered in shares, based upon shareholder value creation, so that the interests of executive directors and officers are aligned with shareholders' interests.
- The CEO has undertaken to hold for a term of at least 3 years the net shares that he may receive as a result of any element of variable remuneration, until he holds a number of shares equivalent to at least 2 years of his fixed remuneration. In any case, once this shareholding target has been reached, the CEO must comply with the holding obligations under the long-term incentive plans, which involve holding a number of shares equivalent to the incentive received in shares, net of applicable taxes, for two years after their delivery.

While Mr Isla held the position of Executive Chairman, he committed to the Company to maintain in his personal wealth a number of shares equivalent to at least 2 years of fixed remuneration.

These courses of action result in a better alignment of the interests of executive directors with those of the shareholders.

The Remuneration Policy in effect in 2022 (in the two applicable versions thereof) set an **appropriate balance between fixed and variable** items of the remuneration as described below:

- The design of the remuneration scheme shows an efficient balance between fixed and variable items, as described in section A.1. above.
- Variable remuneration items were flexible enough to allow their shaping, to the extent that it was possible that no amount was paid on in terms of variable remuneration, whether annual or multi-year; in such case, fixed remuneration would have represented 100% of total compensation.
- Variable remuneration is not guaranteed.

B.2.2. Actions taken regarding the remuneration system to reduce exposure to excessive risks and measures to avoid conflicts of interest.

The **measures** taken in 2022 with regard to **those members of staff** whose professional activity may have a **material impact on the risks profile** of the Company were:

- The Remuneration Committee was responsible for considering and reviewing the Directors' and Senior Managers' Remuneration Policy and for enforcing it. Those professionals whose activity may have a material impact on the risks' profile of the Company are included among them.
- All members of the Remuneration Committee also sit on the Audit and Compliance Committee. Therefore, the Chair of the Remuneration Committee is a member of the Audit and Compliance Committee. This ensures that risks associated to remuneration are considered in the course of the debates of the Remuneration Committee and of the Audit and Compliance Committee and in proposals submitted by both Committees to the Board of Directors, on both the determination and the process to assess annual and multi-year incentives.
- Likewise, three ordinary members of the Remuneration Committee also sit on the Sustainability Committee. In particular, the Chair of the Sustainability Committee is a member of the Remuneration Committee. The Sustainability Committee is responsible for overseeing and monitoring proposals in the field of sustainability, on social and environmental issues, on health and safety of the products that the Company places on the market, and the relations with the different stakeholders in the field of sustainability. Thus, the fact that the same directors sit on different committees allows ensuring that alignment with the Group's priorities in the field of sustainability for all its stakeholders is considered upon establishing and enforcing the Remuneration Policy.

With regard to **clawback** provisions in order to be entitled to claim the refund of variable items of the remuneration that are based on results, when such items have been paid on the basis of information clearly shown later to be inaccurate:

- A clawback clause is included in the contract executed with executive directors in respect of variable items of their remuneration in such cases. Additionally, the Company may cancel and/or claim the refund of the long-term incentive previously paid in full or in part, upon occurrence of certain unforeseen circumstances, as described in section A.1 above.
- The Remuneration Committee may propose to the Board of Directors the cancellation of payment or, where appropriate, the refund of the variable items of the remuneration of directors based on results, when they have been paid on the basis of information clearly shown to be inaccurate, as well as the termination of the relationship with the relevant supervisor and the filing of the relevant claims, pursuant to the terms of section 6 of the Remuneration Committee's Regulations.

The measures taken to detect, determine and resolve potential **conflicts of interest** have been addressed in section A.1.2.c) above.

B.3. How the remuneration accrued in the financial year complies with the provisions of the applicable remuneration policy and how it contributes to the long-term and sustainable performance of the company. Relationship between the remuneration accrued by the directors and the results or other performance measures of the company in the short and long term.

The Directors' Remuneration Policy for 2022 was approved at the 2021 AGM and the subsequent amendment was approved at the 2022 AGM.

The amounts set out in section A.1 above are the only remuneration paid in 2022 to directors in their status as such for membership on the Board of Directors of Inditex, or of any Group companies, except for the remuneration of executive directors for the performance of senior management functions. Directors have not received any other remuneration under a profit-sharing scheme or bonus, nor any remuneration systems or schemes covering a variable remuneration or based on results or other indicators of performance of the Company.

As regards executive directors, certain items of their remuneration for the performance of senior management functions are tied to results and other indicators of performance of the Company. In particular, in 2022:

• **Short-term or annual variable remuneration:**

As explained below, the Board of Directors resolved, on the proposal of the Remuneration Committee, that the annual variable remuneration for financial year 2022 should be determined in accordance with the following criteria for the CEO, Mr Óscar García Maceiras:

Weighting	Target	Measurement criteria
70%	Net sales (35%) and contribution margin (35%)	The same criteria established for senior managers according to the budget of the Company are applied
15%	Personal performance	Assessment by the Board of Directors, on the proposal of the Nomination Committee
	Strategic development of the Company	Boost of store and online integration, through the development and implementation of new processes and tools allowing to provide a differentiated customer experience, pursuant to the Groups' targets
15%	Progress in the implementation of the strategy towards global sustainability, measured against the following indicators:	(i) Increase in the number of sustainable items, measured against the following parameters: a More sustainable raw materials: cotton, linen, polyester and cellulose fibres. b Garments featuring the Join Life sustainability label. (ii) Number of audits and control of discharges at dyeing facilities (wet processes) within the scope of the Zero Discharge of Hazardous Chemicals (ZDHC) Programme; (iii) Percentage of waste reduction in respect of waste generated at Inditex facilities (HQ, logistics centres and own stores) (Zero Waste); (iv) Percentage of packaging material collected to be recycled or reused in the supply chain (Green to Pack); (v) Percentage of internal consumption of renewable energy at Inditex facilities (HQ, logistics centres and own stores); (vi) Progress in the roll-out of the "Reusable shopping bag" project; (vii) Progress in the elimination of single-use plastics from customer sales; (viii) Innovation projects related to textile recyclability:
	Progress in corporate governance	Degree of compliance with the recommendations of the Good Governance Code of Listed Companies and alignment with international best practices
	Progress in implementing diversity and compliance programmes	Approval of internal regulations and degree of international roll-out

In order to assess the criteria above for the purpose of determining the CEO's annual variable remuneration for financial year 2022, the Remuneration Committee has taken into account the target achievement levels and the performance scales associated with each target, with their corresponding slopes (i.e. the relation between the level of achievement and the payout level):

- The Inditex Group's net sales were €32.569 billion in financial year 2022, beyond the maximum achievement scenario which implies a 125% payout level for this target.
- The contribution margin was €5.520 billion in financial year 2022, beyond the maximum achievement scenario, which implies a 125% payout level for this target.

With regard to such results, the excellent operating performance of the Group in a highly volatile and uncertain context marked by cost inflation and disruption of the supply chain, should be underscored. This has resulted in the need for a very efficient management of every operating expense item, and in particular for an inventory position that balances appropriate levels of procurement with a high level of quality in terms of commercial success.

This operating performance of the Group has absorbed the impact of the Russia/Ukraine conflict and has entailed the end of operations in both markets since the beginning of FY2022. To the subsequent relevant loss of sales, and in particular, of contribution to the consolidated profit, an extraordinary negative accounting impact should be added, in the amount of €231 million. This is shown in the Income Statement for 2022.

Also noteworthy is the profound transformation of the Group's retail space, with different actions in terms of store openings, closings, absorptions and refurbishments aimed at creating a privileged space to showcase the commercial offer in a framework of omnichannel and eco-efficiency.

It also bears mentioning the Group's strong net cash position, in excess of €10 billion at year-end, that guarantees the financial soundness as well as the investment requirements associated with the company's operating performance in addition to an attractive remuneration policy predictable to our shareholders.

- For the remaining targets, with a 30% weight, the Remuneration Committee has assessed a level of achievement and a payout level of 125% for these targets. In this respect, the Remuneration Committee has considered the following:

- In terms of progress related to the Company's strategic development, throughout 2022 the Group continued to advance its strategy of integration between online and in-store. The most obvious example of this is Zara's latest store image, with boutique spaces dedicated to specific collections such as Lingerie, Beauty or Athleticz, combined with the introduction of new processes and technological improvements in the customer experience such as *Pay&Go*, the silo for online orders or the Store Mode. New openings such as Madrid Plaza de España or London Battersea provide unique retail spaces that offer customers a distinctive shopping experience, where they can choose to visit and browse directly or browse online, check available stock, pay without having to go to the till or buy products from the store online and pick them up within two hours.

- The findings of the evaluation of the CEO's performance, carried out by the Board of Directors at the meeting held on 14 December 2022, following a report from the Nomination Committee, with a high rating. This evaluation has particularly highlighted both his good and rapid adaptation to the position as well as his integrated management and his shared commitment to the Company's values and strategic vision.

A very positive assessment was made of the systematic bolstering of good corporate governance practices, which has resulted mainly in a notable improvement in the working dynamics of the meetings of the Board and its committees, promoting open and constructive dialogue among directors, direct dialogue with the management team and transparency of information through the regular updates on business performance provided to the directors.

- Progress has continued in 2022 towards achievement of sustainability targets in accordance with the current Road Map. Thus:

- Increase in the number of sustainable items, measured by the following parameters: (i) more sustainable raw materials: cotton, linen, polyester and cellulosic fibres and (ii) garments under the *Join Life* sustainability label.

In 2022, more than 60% of our products met *Join Life* requirements, far exceeding the commitment to have 50% of our collection under *Join Life* this year. In addition, in 2022, consumption of preferential raw materials, based on the classification established by the industry's benchmark organisations such as Textile Exchange, will already account for 60% of the total used, 43% more than in the previous year.

- Number of audits and control of discharges at dyeing facilities where wet processing is carried out in the framework of Inditex's commitment to the Zero Discharge of Hazardous Chemicals (ZDHC) Programme: *The List, by Inditex* ensures compliance with the chemical restrictions of the *Clear to Wear* product health standard and Inditex's commitment to achieve Zero Discharge of Unwanted Substances (also known as Zero Discharge or ZDHC Commitment (Zero Discharge of Hazardous Chemicals)). Over the course of 2022, the Company has adopted the MRSL (Manufacturing Restricted Substances List) that regulates the quality of the ZDHC Foundation's discharges, thus taking a further step in industry convergence by facilitating compliance with manufacturing requirements by chemical suppliers as well as the facilities that use these chemicals. Likewise, *The List by Inditex* programme has been integrated into the ZDHC Foundation's chemical control strategy. This means that the whole industry will be able to benefit from crucial information to determine whether a chemical product complies with both the MRSL discharge parameters and the legal requirements applicable to the textile or leather article being marketed.

Verification of compliance with the GtW 2.1 standard is evaluated periodically, through environmental audits, performed at suppliers and factories that belong to the Inditex supply chain and that carry out wet processes. These audits are carried out by independent external auditors. During financial year 2022, 2,065 audits have been carried out under this standard.

- Percentage of waste reduction in respect of waste generated at Inditex facilities (HQ, logistics centres and own stores) (*Zero Waste*): In 2022, the Company has continued to make progress in the programme to reduce waste generated internally at Inditex facilities (*Zero Waste*). As a result, during the year, waste generated per unit sold was reduced by 4% compared to 2021. In 2022, 92.2% of the waste collected at our facilities was sent for reuse and recycling or energy recovery. Headway was also made in the programme to ensure that store waste is managed correctly.
- Percentage of packaging material collected to be recycled or reused in the supply chain (*Green to Pack*): In 2022, the *Green to Pack* boxes used for transport and distribution of our products contained more than 75% post-consumer recycled cardboard.
- Percentage of internal consumption of renewable energy at Inditex facilities (HQ, logistics centres and own stores): In 2022, the target of 100% renewable electricity consumption in our facilities (including all the Company facilities - HQ, logistics centres, factories and stores, with the exception of international offices) was reached.
- Progress in the roll-out of the "*Reusable shopping bag*" project: The roll out of the "*Reusable shopping bag*" project continued in 2022, reaching 59 markets at year-end, with a consequent reduction in the volume of bags used.
- Progress in the elimination of single-use plastics from customer sales: In 2022 all packaging coming into the store was mapped, both plastic items accompanying our products and in-store items, eliminating or replacing the vast majority of these items. In addition, efforts continue to replace residual packaging and strengthen the necessary control mechanisms to avoid single-use plastics at source, and their arrival in warehouses and stores.

The Company is also participating in *The Fashion Pact's* (RE)SET project, which involves the development of alternative and recycled material solutions for all single-use plastics in the textile value chain.

- Innovation projects related to textile recyclability: Through the collaborative *Sustainability Innovation Hub*, the Company collaborated with more than 200 start-ups and participated in more than 30 pilot tests in 2022. Two particularly noteworthy initiatives that have become a reality in 2022 result from this collaborative effort: (i) Infinited Fiber, with whom a purchase commitment for more than €100 million has been signed, and (ii) the contribution made to Circ, an innovative start-up promoting a disruptive recycling technology with the aim of generating new sustainable fibres for use by the textile industry.

– Progress in **corporate governance**.

- In terms of the composition and structure of the corporate bodies, financial year 2022 was the year in which the changes in the organisational structure approved by co-optation by the Board of Directors at its meeting held on 29 November 2021 took full effect, following a careful transition period, thus bringing the orderly and planned process of succession to the chairmanship to a successful conclusion.

The resulting organisational structure has contributed to: (i) strengthening diversity among directors and reducing their average tenure, (ii) strengthening female representation, exceeding the 40% target established for 2022, (iii) fully separating the position of Board Chair from that of the Company's CEO, (iv) maintaining the existence of a balanced composition between proprietary and independent directors, while meeting the requirements that non-executive directors represent a broad majority on the board and that the proportion of independent directors be at least equal to the company's free float, (v) upholding the values of Inditex and the continuity of the founding partner and main shareholder's vision, while at the same time ensuring the stability of the company due to the extensive experience of both the CEO and the new Chair, (vi) providing expertise in areas such as digital transformation, sustainability, compliance, corporate governance and relations with regulators, along with leadership and commercial strategy management, in particular in the areas of product, design, innovation and brand image, which are strategic priorities for the Company and (vii) at the same time, this gradual board refreshment has resulted in a younger, more diverse and plural Board with the ability to address issues in a more up-to-date manner and in line with the expectations and demands of new generations of customers and other stakeholders.

In view of the aforementioned far-reaching changes in the composition of Inditex's governing bodies, at its meeting held on 12 May 2022, the Board of Directors approved a skills matrix. This board skills matrix is designed as an instrument to provide objective criteria in the selection and appointment of directors and is very useful for projecting aspects such as diversity on the Board, not only in terms of experience and knowledge, but also with regard to aspects such as gender, age, origin and years in office (for the purpose of complying with the principle of progressive renewal).

It should also be noted that this new organisation came hand in hand with a change in the Company's management model, with the creation of the Management Committee to support the CEO in the exercise of his functions, promoting an environment of collegiate decision-making, in line with international corporate governance best practices. In 2022, the Management Committee met 15 times to discuss all aspects of business operations.

- As regards organisational and operational aspects, one of the key features of the 2022 financial year was the increase in the number of meetings held by the Board of Directors (a total of 10, compared to 7 in the previous financial year), combining in person meetings with hybrid meetings, with directors attending the meetings both physically and remotely. The agenda of business transacted by Inditex's different corporate bodies (duly planned) is increasingly dominated by sustainability.

In addition, the ITX Board Academy director training plan, launched in 2021 by the General Counsel's Office together with the Board committees responsible for these matters, was stepped up.

- As far as the Annual General Meeting is concerned, an external advisor was commissioned in financial year 2022 to review compliance with the standards, rules and procedures that the Board of Directors of Inditex has put in place in relation to (i) the publication of the notice of meeting, (ii) the management of shareholders' rights, and (iii) the preparation and holding of the 2022 AGM. This verification resulted in the issuance of an unqualified report.

Bearing in mind the foregoing and other aspects addressed in the relevant corporate governance reports, the Audit and Compliance Committee has conducted an analysis of the suitability of the Corporate Governance system and has positively assessed such system. It has considered that the Company has achieved full compliance with the regulatory requirements in the applicable law and with the recommendations of the Good Corporate Governance Code of Listed Companies, approved by CNMV in February 2015, and amended in June 2020, as can also be seen in section G. "Degree of compliance with Corporate Governance recommendations" in the Annual Corporate Governance Report for financial year 2022.

- With regard to progress in terms of Compliance, several projects and initiatives were implemented in financial year 2022, among which the following are worth highlighting:
 - A process was started to review and update the Code of Conduct and Responsible Practices in order to bring its contents, structure and approach into line with the new regulatory realities and challenges, the commitments undertaken by the Company, especially in the area of sustainability, and the digital transformation of the Company. Following the applicable good practices, the process is being carried out with the cooperation of different areas of the Company, external advisors and Inditex's Social Advisory Board, as the main point of contact with the Group's different

stakeholders.

- A review has been carried out and the transformation of the Model of Criminal Risk Prevention and the local compliance models into a Global Compliance Model has begun with the aim of improving the efficiency of risk identification, prioritisation and management. With this aim in mind, an analysis of legislation, the main international standards and best practices in the field of Compliance was carried out. As part of the project carried out during the year, a comprehensive review of the Risk and Control Matrix of the Model of Criminal Risk Prevention was carried out in accordance with legislative developments, internal regulations and changes in the Organisation.
- A number of initiatives were implemented to ensure the operation of the Ethics Channel is in line with new regulatory requirements and applicable best practices. Specifically, the Regulations of the Ethics Committee were amended in order, inter alia, to strengthen the supervisory and management functions of this body with respect to the Ethics Line, to make certain changes to its operations and, where necessary under the applicable regulations, to provide it with the authority to set up local bodies similar to the Ethics Committee. In addition, successive national transpositions of Directive (EU) 2019/1937 on Whistleblower Protection were monitored and analysed to ensure the Ethics Channel's compliance with the applicable requirements.
- Moreover, in financial year 2022, the Compliance Training Plan was redesigned to include both the training, awareness and sensitisation actions aimed at addressing the Group's primary compliance risks and the role of the Compliance Function in the coordination and management of the Training Framework Plan, which aims to organise and standardise, under the same umbrella, the training provided by the main corporate areas exposed to compliance risks. In this context, with the aim of promoting the Group's corporate ethical culture and compliance system, a global compliance training course was launched in 2022 on "TraIn", the corporate e-learning platform, which also has a specific area dedicated to "Culture and values". This course is mandatory for a certain group of Group employees who, either because of their position or responsibilities or because of the type of work they perform, are exposed to a higher risk of Compliance. In addition, in order to bolster Compliance training and awareness among the third parties with which Inditex has business relationships, a specific compliance e-learning training course was launched in 2022. It is aimed at the Group's main product suppliers, which are present in more than 50 markets. This course will make it possible to convey to these suppliers the principles and guidelines of behaviour that the Company expects from them within the framework of the commercial or professional relationship with Inditex.

In addition, further progress was made during financial year 2022 in the implementation of third-party due diligence, by regularising all the Group's existing suppliers and broadening knowledge and control over the members of the production supply chain.

In financial year 2022, the Board of Directors approved the Global sexual harassment and sex or gender identity-based harassment at the workplace prevention Policy and reviewed and/or updated the Policy on statutory auditor contracting for the provision of non-audit services, the Indirect Procurement Policy, the Sustainability Policy, the Community Investment Policy and the Internal Code of Conduct in the Securities Markets. In addition, four procedures and nine terms of reference or charters of board committees or internal function were approved and/or revised.

- As regards progress in the area of Diversity and Inclusion, during this year 2022, internal awareness of the Group's Diversity and Inclusion Policy was further strengthened through various training activities, as well as the active participation of the diversity team in a number of operational meetings in different countries. The recognition of "Diversity Champions" has also been extended to all the Group's chains to act as internal ambassadors of the diversity policy and diversity strategy. In terms of training, this year we created our own diversity and inclusion channel for the TraIn e-learning platform, which will make it possible to have all the training activities related to this area in one place and organised by level, target groups and specific themes. This channel was launched as a pilot to all *champions and changemakers* in the Company (around 1,500 people) and will be made public to all teams worldwide at the beginning of financial year 2023. 2022 also saw the renewal of GEEIS, our gender equality certification for corporate departments and areas. It was extended to include certification in the area of diversity, and our Nordic hub was certified for the first time. All the projects carried out were accompanied by 4 awareness-raising and sensitisation initiatives: (i) 8 March for gender equality, (ii) 21 May for cultural and socio-ethnic diversity, (iii) the "I'm proud" initiative for LGBTIQ+ people in July and (iv) the 3rd edition of *Impact Week* for the inclusion of people with disabilities in December. Regarding this latter pillar of the Company's diversity strategy, the inclusion of people with disabilities, a direct boost was given in 2022 with the commitment to recruit 1,500 more people in the teams around the world in the next two years, doubling the current number. This commitment was bolstered by the signature of the Global Business Disability Network (GBDN) Charter of the International Labour Organization (ILO). 2022 was a year of consolidation in the diversity and inclusion strategy in its four pillars of activity, allowing to further strengthen the values of respect, fairness and non-discrimination.

Therefore, on the proposal of the Remuneration Committee, the Board of Directors resolved an overall payout level of the annual variable remuneration for financial year 2022 for the CEO equivalent to 125% of target, i.e. €3,750 thousand (150% of his annual fixed remuneration).

The settlement of Mr Isla's annual variable remuneration for his period of service in financial year 2022 is detailed in section B.10.

• **Multi-year or Long-term variable remuneration:**

The second cycle (2020-2023) of the 2019-2023 Long-Term Incentive Plan (the **"2019-2023 Plan"**), approved at the Annual General Meeting held on 16 July 2019, ended on 31 January 2023.

The features and amounts for the second cycle (2020-2023) are set out below:

- This cycle began on 1 February 2020 and ended on 31 January 2023.
- The amount of the incentive for the second cycle (2020-2023) assigned to the CEO was as follows:

Executive Director	Target Incentive	=	Cash	+	Shares
CEO	70% of annual fixed remuneration		€700 thousand		33,460 shares

In a scenario of overachievement, the incentive would be equivalent to 185% of the above referred target incentive.

- The metrics to which this cycle is tied, and their weightings, are as follows:

Weighting	Target	Measurement criteria
30%	Profit before Taxes ("PBT")	PBT in a certain period of time.
30%	Same-store Sales ("MMTT")	Sales in comparable physical and online stores, according to the information released by the Company.
30%	Relative Total Shareholder Return ("TSR")	Comparison of the evolution of an investment in Inditex's shares with the evolution of an investment in shares of any of the companies included in the Peer Group of companies (as defined below), determined by the ratio (expressed as a percentage) between the final value of a hypothetical investment in shares (reinvesting the dividends from time to time) and the initial value of that same hypothetical investment.
10%	Sustainability index (comprising 4 indicators)	(i) Percentage of factories within Inditex's supply chain where wet processing (such as washing, dyeing and printing) is carried out, that use <i>The List, by Inditex</i> standard as a reference to select the chemical products used in their processes. This percentage will be verified by means of the relevant audits. It is measured at the end of each cycle. (ii) Percentage of waste (in terms of waste similar to urban waste and hazardous waste) internally generated at Inditex headquarters, and at all own factories and logistics centres, that is recycled, evaluated and appropriately managed to be made available as a resource for repurposing through reuse or recycling. It is measured at the end of each cycle. (iii) Greenhouse as direct emissions reduction ratio in own operations in respect of total net sales of the Group. It is measured at the end of each cycle. (iv) Percentage of Inditex's suppliers of goods ranked A and B following their social audit. The average of the three years of each cycle is measured.

- In order to calculate the incentive achieved for each level of achievement of objectives, a Maximum Incentive level and a **performance scale** for each metric, have been determined. The performance scales are described below:

– Regarding PBT and MMTT:

Level of achievement	Level of Incentive (% of Maximum Incentive)
Below minimum	0%
Minimum	50%
Target	75%
Maximum	100%
Overachievement	125%

Intermediate figures are calculated by linear interpolation.

– Regarding the evolution of relative TSR:

- The Peer Group is made up of the companies included in the Dow Jones Retail Titans 30 index as of 1 February 2020 (the “Peer Group”).
- For the purposes of Inditex’s TSR and the TSR of each company within the Peer Group, initial value shall be understood as the average weighted closing share price of each company on the 30 trading days immediately prior to 1 February 2020 (excluded) (the “Initial Value”).
- For the purposes of Inditex’s TSR and the TSR of each of the companies included in the Peer Group, final value shall be understood as the average weighted closing share price of each company on the 30 trading days immediately prior to 31 January 2023 (included) (the “Final Value”).
- To this end, for calculating such Final Value, the dividends or other similar amounts received by shareholders on said investment during the respective period of time will be considered, as if the gross amount thereof (before taxes) would have been reinvested in more shares of the same class on the first date on which the dividend or any similar amount is payable to shareholders and at the closing share price on that date.
- At the end of the cycle, Inditex’s TSR and the TSR of each company included in the Peer Group is calculated. The companies within such Peer Group are ranked in descending order, based upon the highest or lowest TSR of each of them. A payout ratio ranging from 0% to 125% of Maximum Incentive is assigned to each position in the ranking, in accordance with the following scale:

Level of achievement	Place in ranking	Level of incentive
Below minimum	< 15th (median)	0%
Minimum	= 15th (median)	30%
Maximum	5th to 8th (75th percentile but below 90th percentile)	100%
Overachievement	1st to 4th (ranked at or above 90th percentile)	125%

For intermediate positions between median and 75th percentile within the Peer Group, the payout ratio will be calculated by linear interpolation.

- Afterwards, Inditex’s TSR will be compared with the TSR of the companies within the Peer Group to identify between which positions Inditex is ranked. Subsequently, the portion of the incentive to be delivered shall be calculated, interpolating between the payout ratios of such positions, according to the difference between the values of TSR.
- Regarding the Sustainability index: the Remuneration Committee jointly evaluates the 4 indicators above referred based upon the results achieved, disclosed by the Company’s Sustainability Department, in accordance with the following performance scales defined for each of them:
 - Indicator no. 1: ensuring the use of the *The List* by Inditex standard for chemical products used in the textile industry:

Percentage of factories where wet processing is carried out across Inditex’s supply chain that use <i>The List</i> as a reference standard	Level of Incentive (% of maximum incentive)
< 45%	0%
45%	50%
48%	75%
51%	100%
>55%	125%

- Indicator no. 2: Improvement of own waste management:

Percentage of waste similar to urban waste	Percentage of hazardous waste appropriately managed to be recovered	Level of Incentive (% of maximum incentive)
< 85%	< 80%	0%
85%	80%	50%
88%	82.5%	75%
91%	85%	100%
> 95%	> 88%	125%

- Indicator no. 3: GHG emissions reduction:

Percentage of reduction of GHG emissions upon expiry of each cycle of the 2019-2023 Plan	Level of Incentive (% of maximum incentive)
< 4%	0%
4%	50%
5%	75%
6%	100%
> 8%	125%

- Indicator no. 4: concentrating production in suppliers ranked A and B following their social audits:

Percentage of concentration of production in suppliers ranked A and/or B following their social audit upon expiry of each cycle of the 2019-2023 Plan	Level of Incentive (% of maximum incentive)
< 90%	0%
90%	50%
92%	75%
94%	100%
> 95%	125%

- The incentive will be delivered within the calendar month following the publication of the 2022 annual accounts.

In order to determine the level of achievement reached and the resulting level of payment, at its meeting held on 14 March 2023 and on the proposal of the Remuneration Committee, the Board of Directors has taken into account the following results:

- Growth in Same-store Sales in the period from 1 February 2020 to 31 January 2023 was 13.3% on an annualised basis. This growth is significantly above the overachievement scenario set at the beginning of the cycle.
- The Group's PBT in financial year 2022 was €5.358 billion. This growth is significantly above the overachievement scenario set at the beginning of the cycle.
- Inditex's Total Shareholder Return ("TSR") position is below the median TSR ranking of the Peer Group. Therefore, the payout level is zero.
- Regarding the sustainability index:
 - The percentage of factories within Inditex's supply chain where wet processing (such as washing, dyeing and printing) is carried out, that use *The List by Inditex* standard as a reference to select the chemical products used in their processes, was above 55% on 31 January 2023 according to the audits conducted.
 - The percentage of waste reduction internally generated at Inditex headquarters, and at all own factories and logistics centres, that is appropriately recycled, evaluated and managed to be recovered, preventing discharge to landfill, was 92.4% for urban assimilable waste and 80.9% for hazardous waste on 31 January 2023.

- The ratio of direct greenhouse gas emission reductions in own operations to the Group's total sales volume has been reduced by more than 8% from 1 February 2020 to 31 January 2023.
- The percentage of Inditex's product suppliers with a social ranking of A and B has exceeded 95% in the average of the three years of the cycle.

The Remuneration Committee has assessed the results with a full view of the achievements in the second cycle period to ensure that the level of pay is consistent with them, carrying out an appropriate balance between the Company's performance and the protection of shareholders' interests. Without prejudice to underscoring the good performance of sustainability metrics, the level of achievement of financial metrics has been considered, which is significantly above the initial overachievement scenario:

- Growth in Same-store Sales exceeds the long-term rate of between 4% and 6% expected in 2019 before the COVID-19 pandemic (announced in the financial year 2019 results report) and is 8 p.p. above the growth achieved in the previous 2019-2021 cycle (5.28%).
- Inditex Group's PBT in 2022 amounts to €5.358 billion, versus the PBT in the previous year which stood at €4.199 billion. This is 14% above the levels achieved in financial year 2019. These results were achieved without operations in Russia and Ukraine since March 2022. Russia and Ukraine's PBT represented 11.1% on total PBT in 2021 (the year before the end of the cycle) and 10.5% in 2019 (beginning of the cycle).
- Regarding relative Total Shareholder Return (TSR), as this was totally an unpredictable event in 2020 and with a logical impact on the share value, the level of direct exposure to Russia and Ukraine of the Dow Jones Retail Titans 30 stocks set at the beginning of the second cycle of the 2019-2023 Plan was assessed. Specifically, 21 companies with no commercial presence in Russia and Ukraine have been identified, and the remaining 8 companies have medium or low exposure. Inditex had a higher level of exposure.

Viewed by geography, these findings are even more relevant for the purpose of understanding the different evolution of TSR for the various index constituents:

- Of the 17 North American companies comprising the Dow Jones Retail Titans 30 as of 1 February 2020 (and representing 59% of the index), 15 companies (88%) have no direct exposure to Russia and Ukraine and only 2 of them have exposure, albeit to a low degree. This factor partially explains the better TSR performance of companies based in the United States and Canada.
- Of the 7 companies with headquarters in Asia-Pacific and Africa (24% of the index), 3 of them have no direct exposure to Russia and Ukraine, 3 have a low degree of exposure and only one has a medium degree of exposure.
- Of the 5 European companies (17% of the index), only 2 have a medium-high degree of exposure to Russia and Ukraine. The rest have no direct exposure or a low degree.

Based on this analysis, the Remuneration Committee proposed

to recognise an overall achievement of the financial targets of 116.7% of the incentive granted in the scenario of overachievement. As a result, the **overall incentive payout level is 80% of the incentive** allocated in the overachievement scenario.

On the proposal of the Remuneration Committee, the Board of Directors resolved the following incentive amounts:

For the CEO:

- A cash incentive of €1,035 thousand.
- A share incentive equivalent to 49,477 shares.

The settlement of the incentive for Mr Isla, in his capacity as former Executive Chairman of the Company, has been detailed in section B.10.

B.4. Report on the result of the advisory say-on-pay vote at the Annual General Meeting on remuneration in the previous year, indicating the number of votes in favour, votes against, abstentions and blank ballots:

The Annual Report on the Remuneration of Directors for 2022 was submitted to the advisory say-on-pay vote at the Annual General Meeting on 12 July 2022, as agenda item number 9, with the following outcome:

	Number	% of total
Votes cast	2,732,426,019	99.54 %

	Number	% cast
Votes against	79,935,473	2.93 %
Votes in favour	2,652,490,546	97.07 %
Abstentions	12,744,943	0.46 %
Blank votes	78	0 %

B.5. Determination of the fixed components accrued and vested during the year by the directors in their capacity as such, and their change with respect to the previous year.

To determine the remuneration accrued by the directors in their status as such in 2022, the amounts fixed in the Remuneration Policy approved at the 2021 AGM and in the Current Text of the Remuneration Policy as amended and approved at the 2022 AGM have been considered. These amounts have been applied since the resolution passed at the Annual General Meeting held on 19 July 2011, except for the position of non-executive Chair of the Board of Directors, which was created in financial year 2022..The different items and amounts have been detailed in section A.1.7. above.

Pursuant to the foregoing, and based on the current composition of the Board of Directors and its Committees, in 2022 the total amount accrued by the directors in their status as such for the performance of supervisory and collegiate decision-making duties amounted to €3,230 thousand, of which €100,000 correspond to the CEO, Mr Óscar García Maceiras, who held the position of director throughout financial year 2022 and €16 thousand to Mr Isla for holding the position of director in the transitional period from 1 February until 31 March 2022.

B.6. Determination of the salaries accrued and vested by each of the executive directors over the past financial year for the performance of management duties, and their change with respect to the previous year.

The fixed remuneration accrued by the CEO for senior management functions in financial year 2022 totalled €2,041 thousand. This amount is the sum of the following payments:

- From 1 February to 11 July 2022, remuneration for this item was in accordance with the Remuneration Policy approved at the 2021 AGM for this position. Therefore, in this period, the fixed remuneration accrued amounted to €689 thousand.
- From the 2022 AGM until 31 January 2023, remuneration was in accordance with the Current Text of the Remuneration Policy. Therefore, in this period, the fixed remuneration accrued amounted to €1,352 thousand.

The payments were made in 14 instalments and entirely in cash.

For Mr Isla, as mentioned in the Annual Report on the Remuneration of Directors for financial year 2021, the remuneration for the period from 1 February to 31 March 2022, the effective date of his resignation, was in accordance with the terms set at the Remuneration Policy approved at the 2021 AGM for the position. Therefore, the fixed remuneration accrued by Mr Isla in this period was €597 thousand (this amount includes the payments for the months of February and March and the prorated part of the 13th and 14th months extraordinary

payments).

B.7. Nature and main characteristics of the variable items of the remuneration systems accrued in the year ended.

A detailed breakdown of annual variable remuneration and long-term incentive plans is provided in sections A.1. and B.3. of this report.

B.8. Reduction or return (clawback) of certain variable components, and, where appropriate, amounts reduced or clawed back, grounds for reduction or clawback and years to which they refer.

No such proceedings have taken place in 2022.

B.9. Main characteristics of the long-term savings systems.

In financial year 2022 Inditex has made no contributions to the defined contribution pension schemes.

B.10. Severance pay or any other type of payment deriving from early cessation, accrued and/or received by directors during the year ended.

At its meeting held on 29 November 2021 and following a report from the Nomination Committee, the Board of Directors of Inditex resolved by unanimous vote, inter alia, to accept the resignation tendered by Mr Pablo Isla Álvarez de Tejera as member and Executive Chairman of the Board of Directors of Inditex and as member and Chairman of its Executive Committee. The termination took effect on 31 March 2022, until which time Mr Isla continued to perform his duties.

As stated in section A.1. 8. of the Directors' Remuneration Report for financial year 2021, upon the departure of Mr Isla as Executive Chairman of the Company, on the proposal of the Remuneration Committee and after an in-depth analysis process, the Board of Directors approved at its meeting held on 14 December 2021 the offer to amend the Service Contract entered into between the Company and Mr Isla in 2015 (the "**Contract**"), in order to update the post-contractual non-compete clause included therein, both in terms of a broader definition of the scope of the post-contractual non-compete clause of Mr Isla (covering the marketing of any products that are the same, similar or complementary to those marketed by the Inditex Group, through online channels, and logistics services) and also, accordingly, as regards the compensation to be paid by the Company (increased to a total amount equivalent to two (2) annual payments of his total target remuneration) and the multiplier applicable to the penalty in the event of breach of such obligation (double the compensation received). The

novation was intended to increase the deterrent effect and thus improve the protection of the Company's legitimate interests (the "**Novation of the Contract**"). Mr Isla accepted the offer on 15 March 2022.

Based on the above, the total amount to be paid by the Company to Mr Isla in consideration of his post-contractual non-compete obligation amounted to nineteen million seven hundred and forty thousand euros (€19,740,000.00).

In any case, under no circumstances did the sum of this amount and the severance payment also agreed (the gross amount equivalent to one (1) year's fixed remuneration established for financial year 2022, i.e. €3,250 thousand) exceed an amount equal to two (2) years of Mr Isla's maximum total remuneration.

Since the total amount of compensation for the aforementioned non-compete obligation exceeds the provisions of the then applicable Remuneration Policy as regards payments for termination of executive directors' contracts, the effectiveness of such Novation of the Contract was subject to the proviso that it be approved at the Company's Annual General Meeting in accordance with the provisions of section 529^{novodecies}(5) LSC. The 2022 AGM approved the Novation of the Contract with 97.89% of votes in favour.

In accordance with the provisions of the Remuneration Policy approved at the 2021 AGM, the Company paid Mr Isla the following amounts within 15 days following the date of termination of his Contract: (i) €3,250 thousand as severance pay for termination and (ii) €3,250 thousand, as compensation for the post-contractual non-compete obligation. The Company paid the remaining €16,490 thousand to Mr Isla within 15 days after the date of the 2022 AGM in accordance with the Current Text of the Remuneration Policy.

At its meeting held on 15 March 2022 and on the proposal of the Remuneration Committee, the Board of Directors resolved to pay the following amounts to Mr Isla as settlement of current incentives and fixed remuneration:

- Settlement of the incentive for the second cycle (2020-2023) of the 2019-2023 Long-Term Incentive Plan.

As shown in section B.3. above, this cycle ran from 1 February 2020 to 31 January 2023. Therefore, on Mr Isla's effective termination date, i.e. 31 March 2022, 2 year and 2 months had elapsed out of a total accrual period of 3 years. Since the metrics associated with this cycle (PBT, MMTT, relative TSR and sustainability index) are measured at the end of the cycle, it was not possible to determine an accurate level of achievement. Therefore, the Board of Directors resolved to consider as the level of achievement solely for the purposes of the early settlement a "target" level of achievement in view of the good results of Inditex in 2021. As a result, the target incentive, pro-rated for the time elapsed from the commencement of the cycle until the termination date, would amount to €980 thousand and 46,859 shares.

- Settlement of the incentive for the first cycle (2021-2024) of the 2021-2025 Long-Term Incentive Plan.

As shown in section A.1.6. above, this cycle runs from 1 February 2021 to 31 January 2024. Therefore, on Mr Isla's effective termination date, i.e. 31 March 2022, 1 year and 2

months had elapsed out of a total accrual period of 3 years. Since the metrics associated with this cycle (PBT, TTTT, total TSR, relative TSR and sustainability index) are measured at the end of the cycle, it was not possible to determine a precise level of achievement. Therefore, the Board of Directors resolved to consider as the level of achievement solely for the purposes of the early settlement a “target” level of achievement in view of the good results of Inditex in 2021. As a result, the target incentive, pro-rated for the time elapsed from the commencement of the cycle until the termination date, would amount to €421 thousand and 24,418 shares.

- Settlement of the annual variable remuneration for financial year 2022.

The Board of Directors deemed that the transfer of duties from Mr Isla to the (non-executive) Chair of the Board of Directors and to the CEO has been successfully completed. In addition, sales continued to improve compared to the same months in the previous year. On this basis, the Board of Directors has resolved to consider a maximum level of achievement for the incentive (125% of target). As a result, the early settlement amount of the annual variable remuneration for financial year 2022, prorated for the time elapsed from the beginning of the financial year (1 February 2022) until the termination date (31 March 2022), amounted to €788 thousand.

- Settlement of the accrued pro-rated share of the fixed remuneration for financial year 2022 corresponding to extraordinary payments.

Pursuant to the Remuneration Policy approved at the 2021 AGM and as stated in Mr Isla's Contract, the amount of the annual fixed remuneration for his executive duties was paid in 14 instalments. As a result, 2 payments were due for the period between 1 February and 31 March 2022, and the prorated part of the extraordinary payments that would have been made in July and December was also accrued. This amount was €132 thousand.

Lastly, for information purposes, the features of the pension scheme of which Mr Isla was a beneficiary and the amount of the accumulated funds are set out below.

From 2011 to 31 January 2015, Mr Isla was the beneficiary of a defined contribution pension scheme, implemented through a group life insurance policy underwritten with an insurance company of repute in Spain (the “**Policy**”).

Contributions to such pension scheme up to the specified date were made by Inditex in the month of September of each of the years referred to in the paragraph above. The amount of the annual contributions each year was equivalent to 50% of the fixed remuneration paid each year by Inditex to Mr Isla.

As has been the norm since 2015, in financial year 2022, no contributions have been made to the pension scheme for Mr Isla.

Pursuant to the terms and conditions of the Policy, in case of termination at Inditex before the retirement age, Mr Isla would keep 100% of the entitlement to the accumulated funds under the Policy. However, this being a pension commitment, Mr Isla or his successors, as the case may be, shall not materialise such rights until any of the contingencies covered by the Policy would

occur. General contingencies covered are retirement (regular or early), permanent disability while in performance of professional duties (ranked as total/absolute and severe disability) and death while in performance of professional duties. As an exception, acute illness and long-term unemployment will also be considered.

Pursuant to the provisions of Royal Decree 681/2014 of 1 August, whereby the Regulations on Pension Plans and Funds approved by Royal Decree 304 of 20 February 2004 were amended, the Policy also covers the possibility of receiving retirement benefit upon attaining 65 years where the Social Security retirement benefit is not available, as well as receiving the retirement benefit in advance on account of termination of the employment agreement and joining the ranks of unemployed following the loss by the company of its legal personality, collective dismissal, dismissal on objective grounds and insolvency proceedings. These benefits are separate from any other to which Mr Isla may be entitled on other grounds.

At 31 December 2023, the accumulated funds amounted to €9,838 thousand.

B.11. Significant changes in the contracts entered into with executive directors.

On the proposal of the Board of Directors, the 2022 AGM passed a resolution to amend the Remuneration Policy approved at the 2021 AGM, section 3 of which defines the key aspects of the new remuneration package and other basic contractual conditions to be applied to the CEO under the new corporate governance structure.

In the context of the departure of the former Executive Chairman and the tightening of his post-contractual non-compete clause explained in section B.10 above, the Remuneration Committee also considered it appropriate to review the contractual conditions of Mr García Maceiras as CEO, specifically in relation to the golden parachute clause and the post-contractual non-compete clause, bearing in mind that the fact that when evaluating the conditions established for Mr Isla in his Contract and in the Remuneration Policy approved by the 2021 AGM, for the purposes of post-contractual non-compete, these had been deemed insufficient to protect the interests of Inditex.

When updating these conditions, the Remuneration Committee also took into account:

- The guidelines of institutional investors and proxy advisors, as well as recommendation 64 of the Good Governance Code of Listed Companies in Spain.
- Ibex-35 market practice in relation to severance payments and post-contractual non-compete clauses.

As a result, the Current Text of the Remuneration Policy fixes the gross compensation payable in the cases identified therein at an amount equivalent to the remuneration for two (2) years, calculated based on the annual fixed and variable remuneration of the CEO for the current year. This severance payment includes compensation for the post-contractual non-competition obligation.

In any case, the aforementioned severance payment is in accordance with the limits on the maximum amounts of severance payments for executive directors set out in the recommendations of the Good Governance Code of Listed Companies.

For the Executive Chairman, at its meeting held on 13 December 2021, the Remuneration Committee resolved to submit to the Board of Directors a proposal for the Novation of Mr Isla's Contract, as described in section B.10. above, in order to strengthen the post-contractual non-compete clause. Such proposal was accepted and implemented in March 2022 and approved at the 2022 AGM.

B.12. Any supplementary remuneration accrued by directors in consideration of the provision of services other than those inherent in their position.

No supplementary remuneration other than the one explained above is provided in the Current Text of the Remuneration Policy.

As at the date this Report is issued, no supplementary remuneration has been accrued by the directors in consideration for any services rendered outside of their post.

B.13. Any remuneration deriving from advance payments, loans or guarantees granted.

The granting of advance payments, loans or guarantees to directors is not covered in the Current Text of the Remuneration Policy.

As at the date of this Report, no advance payment, loans or guarantees have been granted to any director.

B.14. Remuneration in kind accrued by the directors over the year.

No remunerations in kind exist.

B.15. Remuneration accrued by directors by virtue of payments settled by the listed company to a third company at which the director renders services when these payments seek to remunerate the director's services to the company.

As at the date this Report is issued, no such remuneration has been accrued by any director.

B.16. Any other items of remuneration other than those mentioned in the

previous sections.

As at the date this Report is issued, no other additional item of remuneration other than the ones mentioned in the previous sections are provided in the remuneration system for directors.

C. Statistical Appendix III to the annual report on the remuneration of directors of listed public companies (CNMV's Circular 2/2018, of 12 June), corresponding to Industria de Diseño Textil, S.A.

ISSUER IDENTIFICATION

Ending date of reference period: 31/01/2023

CIF: A-15075062

Company name: Industria de Diseño Textil, S.A.

Registered office: Avenida de la Diputación, Edificio Inditex, Arteixo (A Coruña)

Statistical appendix to the annual report on remuneration of directors of listed public companies

B. OVERALL SUMMARY OF HOW REMUNERATION POLICY HAS BEEN APPLIED DURING THE YEAR ENDED

B.4. Report on the result of the advisory say-on-pay vote at the Annual General Meeting on the annual remuneration report for the previous year, stating the number of votes against that may have been cast:

	Number	% of total
Votes cast	2,732,426,019	99.54 %

	Number	% cast
Votes against	79,935,473	2.93 %
Votes in favour	2,652,490,546	97.07 %
Abstentions	12,744,943	0.46 %
Blank ballots	78	0 %

C. ITEMISED INDIVIDUAL REMUNERATION PAYABLE TO EACH DIRECTOR

Name	Type	Accrual period 2022
Ms MARTA ORTEGA PÉREZ	Proprietary	From 01/04/2022 to 31/01/2023
Mr ÓSCAR GARCÍA MACEIRAS	Executive	From 01/02/2022 to 31/01/2023
Mr AMANCIO ORTEGA GAONA	Proprietary	From 01/02/2022 to 31/01/2023
Mr JOSÉ ARNAU SIERRA	Proprietary	From 01/02/2022 to 31/01/2023
PONTEGADEA INVERSIONES, S.L. (REPRESENTED BY MS FLORA PÉREZ MARCOTE)	Proprietary	From 01/02/2022 to 31/01/2023
BNS. DENISE PATRICIA KINGSMILL	Independent	From 01/02/2022 to 31/01/2023
Mr JOSÉ LUIS DURÁN SCHULZ	Independent	From 01/02/2022 to 31/01/2023
Mr RODRIGO ECHENIQUE GORDILLO	Independent	From 01/02/2022 to 31/01/2023
Ms PILAR LÓPEZ ÁLVAREZ	Independent	From 01/02/2022 to 31/01/2023
Mr EMILIO SARACHO RODRÍGUEZ DE TORRES	Independent	From 01/02/2021 to 31/01/2022
Ms ANNE LANGE	Independent	From 01/02/2022 to 31/01/2023
Mr PABLO ISLA ÁLVAREZ DE TEJERA	Executive	From 01/02/2022 to 31/03/2022

C.1. Complete the following tables regarding the individual remuneration of each director (including the remuneration paid for performing their executive duties) payable during the financial year.

a) Remuneration from the reporting company:

i) Remuneration in cash (in thousand euro)

Name	Fixed remuneration	Attendance fees	Remuneration for membership of board committees	Salary	Short-term variable remuneration	Long-term variable remuneration	Compensation	Other items	Total year 2022	Total year 2021
Ms MARTA ORTEGA PÉREZ	834	-	-	-	-	-	-	-	834	-
Mr ÓSCAR GARCÍA MACEIRAS	100	-	-	2,041	3,750	1,035	-	-	6,926	712
Mr AMANCIO ORTEGA GAONA	100	-	-	-	-	-	-	-	100	100
Mr JOSÉ ARNAU SIERRA	100	-	200	-	-	-	-	80	380	380
PONTEGADEA INVERSIONES, S.L. (REPRESENTED BY MS. FLORA PÉREZ MARCOTE)	100	-	-	-	-	-	-	-	100	100
BNS. DENISE PATRICIA KINGSMILL	100	-	150	-	-	-	-	50	300	300
Mr JOSÉ LUIS DURÁN SCHULZ	100	-	150	-	-	-	-	28	278	250
Mr RODRIGO ECHENIQUE GORDILLO	100	-	150	-	-	-	-	50	300	300
Ms PILAR LÓPEZ ÁLVAREZ	100	-	150	-	-	-	-	50	300	300
Mr EMILIO SARACHO RODRÍGUEZ DE TORRES	100	-	150	-	-	-	-	22	272	300
Ms ANNE LANGE	100	-	150	-	-	-	-	-	250	250
Mr PABLO ISLA ÁLVAREZ DE TEJERA	16	-	-	597	788	1,402	22,990	-	25,793	9,985

ii) Table of changes in share-based remuneration schemes and gross profit from vested shares or financial instruments

Name	Name of Plan	Financial instruments at start of FY2022		Financial instruments granted in FY2022		Financial instruments vested during the year				Instruments matured but not exercised	Financial instruments at end of FY2022	
		No. instruments	No. equivalent shares	No. instruments	No. equivalent shares	No. instruments	No. equivalent/ vested shares	Price of vested shares	Gross Profit from vested shares or financial instruments (thousands of euros)	No. instruments	No. instruments	No. equivalent shares
Mr ÓSCAR GARCÍA MACEIRAS	Second cycle (2020-2023) of the 2019-2023 Long-term Incentive Plan	61,854	61,854			49,477	49,477	29.27	1,448	12,377	0	0
Mr ÓSCAR GARCÍA MACEIRAS	First cycle (2021-2024) of the 2021-2025 Long-term Incentive Plan	68,562	68,562								68,562	68,562
Mr ÓSCAR GARCÍA MACEIRAS	Second cycle (2022-2025) of the 2021-2025 Long-term Incentive Plan			71,472	71,472							
Mr PABLO ISLA ÁLVAREZ DE TEJERA	Second cycle (2020-2023) of the 2019-2023 Long-term Incentive Plan	120,172	120,172			46,859	46,859	19.88	932	73,313		
Mr PABLO ISLA ÁLVAREZ DE TEJERA	First cycle (2021-2024) of the 2021-2024 Long-term Incentive Plan	116,568	116,568			24,418	24,418	19.88	485	92,150		

iii) Long-term savings systems

Name	Remuneration from vesting of rights to savings system (€ thousand)
Mr PABLO ISLA ÁLVAREZ DE TEJERA	

Name	Contribution over the year from the company (€ thousand)				Amount of accrued funds (€ thousand)			
	Savings systems with vested economic rights		Savings systems with non- vested economic rights					
					Financial year 2022		Financial year 2021	
	Financial year 2022	Financial year 2021	Financial year 2022	Financial year 2021	Systems with vested economic rights	Systems with non- vested economic rights	Systems with vested economic rights	Systems with non-vested economic rights
Mr PABLO ISLA ÁLVAREZ DE TEJERA	-	-	-	-	9,838	-	9,422	-

iv) Details of other items

Name	Concept	Amount of remuneration
No data		

b) Remuneration paid to the company's directors for being members on the boards of other group companies:

i) Remuneration in cash (in thousand euro)

Name	Fixed remuneration	Attendance fees	Remuneration for membership of Board committees	Salary	Short-term variable remuneration	Long-term variable remuneration	Indemnification	Other items	Total FY 2022	Total FY 2021
No data										

ii) Table of changes in share-based remuneration schemes and gross profit from vested shares or financial instruments

	Name of Plan	Financial instruments at start of FY2022		Financial instruments granted in FY2022		Financial instruments vested during the year				Instruments matured but not exercised	Financial instruments at end of FY2022	
Name		No. instruments	No. equivalent shares	No. instruments	No. equivalent shares	No. instruments	No. equivalent/ vested shares	Price of vested shares	EBITDA from vested shares or financial instruments (€ thousand)	No. instruments	No. instruments	No. equivalent shares
No data												

iii) Long-term savings systems

Name	Remuneration from vesting of rights to savings systems
No data	

Name	Contribution over the year from the company (thousands of euros)				Amount of accrued funds (thousands of euros)			
	Savings systems with vested economic rights		Savings systems with non-vested economic rights		Financial year 2022		Financial year 2021	
					Systems with vested economic rights	Systems with non-vested economic rights	Systems with vested economic rights	Systems with non-vested economic rights
	Financial year 2022	Financial year 2021	Financial year 2022	Financial year 2021				
No data								

iv) Details of other items

Name	Concept	Amount of remuneration
No data		

c) Summary of remuneration (in thousand euro):

This should include a summary of the amounts corresponding to all the remuneration items included in this report that have accrued to each director (in €k) .

Name	Remuneration accrued in the company					Remuneration accrued in group companies				
	Total cash remuneration	EBITDA of vested shares or financial instruments	Remuneration by way of savings systems	Other items of remuneration	Total FY2022 company	Total cash remuneration	Gross profit of vested shares or financial instruments	Remuneration by way of savings systems	Other items of remuneration	Total FY2022 group
Ms MARTA ORTEGA PÉREZ	834				834					
Mr ÓSCAR GARCÍA MACEIRAS	6,926	1,448			8,374					
Mr AMANCIO ORTEGA GAONA	100				100					
Mr JOSÉ ARNAU SIERRA	380				380					
PONTEGADEA INVERSIONES, S.L. (REPRESENTED BY MS. FLORA PÉREZ MARCOTE)	100				100					
BNS. DENISE PATRICIA KINGSMILL	300				300					
Mr JOSÉ LUIS DURÁN SCHULZ	278				278					
Mr RODRIGO ECHENIQUE GORDILLO	300				300					
Ms PILAR LÓPEZ ÁLVAREZ	300				300					
Mr EMILIO SARACHO RODRÍGUEZ DE TORRES	272				272					
Ms ANNE LANGE	250				250					
Mr PABLO ISLA ÁLVAREZ DE TEJERA	25,793	1,417			27,210					
TOTAL	35,833	2,865			38,698					

C.2. State the development over the last 5 years of the amount and the percentage change in the remuneration earned by each of the listed company's directors who have been directors during the year, the consolidated results of the company and the average remuneration on a full-time equivalent basis of the employees of the company and its subsidiaries who are not directors of the listed company.

	Total amounts accrued and annual variation								
	Financial year 2022	Percentage variation 2022/2021	Financial year 2021	Percentage variation 2021/2020	Financial year 2020	Percentage variation 2020/2019	Financial year 2019	Percentage variation 2019/2018	Financial year 2018
Executive Directors (€ thousand)									
Mr ÓSCAR GARCÍA MACEIRAS	8,374	1022%	746	0%	0	0%	0	0%	0
Mr PABLO ISLA ÁLVAREZ DE TEJERA	27,210	119%	12,443	111%	5,885	(5%)	6,209	(35%)	9,489
Non-executive Directors									
Mr AMANCIO ORTEGA GAONA	100	0%	100	0%	100	0%	100	0%	100
Mr JOSÉ ARNAU SIERRA	380	0%	380	0%	380	15%	330	0%	330
PONTEGADEA INVERSIONES, S.L. (REPRESENTED BY MS. FLORA PÉREZ MARCOTE)	100	0%	100	0%	100	0%	100	0%	100
BNS. DENISE PATRICIA KINGSMILL	300	0%	300	0%	300	20%	250	0%	250
Mr JOSÉ LUIS DURÁN SCHULZ	278	11%	250	(8%)	273	(9%)	300	0%	300
Mr RODRIGO ECHENIQUE GORDILLO	300	0%	300	0%	300	0%	300	0%	300
Ms PILAR LÓPEZ ÁLVAREZ	300	0%	300	8%	277	11%	250	87%	134
Mr EMILIO SARACHO RODRÍGUEZ DE TORRES	272	(9%)	300	0%	300	0%	300	0%	300
Ms ANNE LANGE	250	0%	250	0%	250	762%	29	0%	0
Consolidated results of the company (€ million)	5,358	28%	4,199	200%	1,401	(70%)	4,681	6%	4,428
Average employee remuneration (€ thousand)	25	9%	23	28%	18	(18%)	22 %	10%	20 %

This annual remuneration report has been approved by the Board of Directors of the Company in the meeting held on 14 March 2023.

State whether any director has voted against or abstained from approving this Report.

Yes ☐ No ☒

Name or company name of the member of the board of directors who has not voted for the approval of this report	Reasons (against, abstention, non-attendance)	Explain the reasons

Pursuant to the provisions of section 253 of the Revised Text of the Companies Act, and section 34 of the Code of Commerce, the Directors of the company Industria de Diseño Textil, S.A. proceeded at the meeting held on 14 March 2023, to issue the consolidated annual accounts and the consolidated directors' report for the financial year ended 31 January 2023. The annual accounts consist of the documents preceding this page (consolidated income statement, consolidated statement of comprehensive income, consolidated balance sheet, consolidated statement of cash flows, consolidated statement of changes in equity and notes to the consolidated financial statements). The consolidated directors' report includes the statement on non-financial information, the Annual Corporate Governance Report and the Annual Report on Remuneration of Directors.

Ms Marta Ortega Pérez
Chair

Mr Amancio Ortega Gaona
Ordinary Member

Mr José Arnau Sierra
Deputy Chairman

Mr Oscar García Maceiras
CEO

Pontegadea Inversiones, S.L.
Ordinary Member
Ms Flora Pérez Marcote

Bns Denise Patricia Kingsmill
Ordinary Member

Ms Pilar López Álvarez
Ordinary Member

Ms Anne Lange
Ordinary Member

Mr José Luis Durán Schulz
Ordinary Member

Mr Rodrigo Echenique Gordillo
Ordinary Member

Mr Emilio Saracho Rodríguez de Torres
Ordinary Member

INDITEX